

FORM 10-Q

FEDERAL DEPOSIT INSURANCE CORPORATION

WASHINGTON D.C. 20429

☒ **Quarterly Report Pursuant to Section 13 or 15(d) of the Securities Exchange Act of 1934**

For the quarterly period ended: **September 30, 2022**

☐ **Transition Report Pursuant to Section 13 or 15(d) of the Securities Exchange Act of 1934**

For the transition period from _____ to _____

FDIC Certificate Number 57053

SIGNATURE BANK

(Exact name of Company as specified in its charter)

NEW YORK

13-4149421

(State or other jurisdiction of
incorporation or organization)

(I.R.S. Employer
Identification No.)

565 FIFTH AVENUE, NEW YORK, NEW YORK

10017

(Address of principal executive offices)

(Zip Code)

(646) 822-1500

(Company's telephone number, including area code)

Securities registered pursuant to Section 12(b) of the Act:

Title of each class	Trading Symbol(s)	Name of each exchange on which registered
Common Stock, \$0.01 par value per share	SBNY	NASDAQ Global Select Market
Depository Shares, each representing a 1/40th interest in a share of 5.000% Noncumulative Perpetual Series A Preferred Stock, par value \$0.01 per share	SBNYP	NASDAQ Global Select Market

Indicate by check mark whether the registrant (1) has filed all reports required to be filed by Section 13 or 15(d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the registrant was required to file such reports), and (2) has been subject to such filing requirements for the past 90 days: Yes ☒ No ☐

Indicate by check mark whether the registrant has submitted electronically every Interactive Data File required to be submitted pursuant to Rule 405 of Regulation S-T (§232.405 of this chapter) during the preceding 12 months (or for such shorter period that the registrant was required to submit such files). Yes ☐ No ☐

Indicate by check mark whether the registrant is a large accelerated filer, an accelerated filer, a non-accelerated filer, a smaller reporting company, or an emerging growth company. See definitions of "large accelerated filer," "accelerated filer," "smaller reporting company," and "emerging growth company" in Rule 12b-2 of the Exchange Act. Large accelerated filer ☒ Accelerated filer ☐ Non-accelerated filer ☐ Smaller reporting company ☐ Emerging growth company ☐

If an emerging growth company, indicate by check mark if the registrant has elected not to use the extended transition period for complying with any new or revised financial accounting standards provided pursuant to Section 13(a) of the Exchange Act. ☐

Indicate by check mark whether the registrant is a shell company (as defined in Rule 12b-2 of the Exchange Act): Yes ☐ No ☒

Indicate the number of shares outstanding of each of the issuer's classes of common stock, as of the latest practicable date.

CLASS OF COMMON STOCK

NUMBER OF SHARES OUTSTANDING –November 8, 2022

\$.01 Par Value per share

62,928,933

SIGNATURE BANK

Form 10-Q

Table of Contents

	Page
PART I. FINANCIAL INFORMATION	
Item 1. Financial Statements (unaudited)	
Consolidated Statements of Financial Condition	<u>3</u>
Consolidated Statements of Income	<u>4</u>
Consolidated Statements of Comprehensive Income	<u>5</u>
Consolidated Statements of Changes in Shareholders' Equity	<u>6</u>
Consolidated Statements of Cash Flows	<u>8</u>
Notes to Consolidated Financial Statements	<u>9</u>
Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations	<u>49</u>
Item 3. Quantitative and Qualitative Disclosures About Market Risk	<u>82</u>
Item 4. Controls and Procedures	<u>84</u>
PART II. OTHER INFORMATION	
Item 1. Legal Proceedings	<u>85</u>
Item 1A. Risk Factors	<u>85</u>
Item 2. Unregistered Sales of Equity Securities and Use of Proceeds	<u>86</u>
Item 3. Defaults Upon Senior Securities	<u>87</u>
Item 4. Mine Safety Disclosures	<u>87</u>
Item 5. Other Information	<u>87</u>
Item 6. Exhibits	<u>88</u>
Signatures	<u>89</u>

PART I. FINANCIAL INFORMATION

ITEM 1. FINANCIAL STATEMENTS (UNAUDITED)

SIGNATURE BANK

CONSOLIDATED STATEMENTS OF FINANCIAL CONDITION

	September 30, 2022	December 31, 2021
<i>(dollars in thousands, except shares and per share amounts)</i>	(unaudited)	
ASSETS		
Cash and due from banks	\$ 11,324,426	29,547,574
Short-term investments	145,495	73,097
Total cash and cash equivalents	11,469,921	29,620,671
Securities available-for-sale (amortized cost \$21,000,568 at September 30, 2022 and \$17,398,906 at December 31, 2021); (zero allowance for credit losses at September 30, 2022 and December 31, 2021)	18,469,771	17,152,863
Securities held-to-maturity (fair value \$6,806,774 at September 30, 2022 and \$4,944,777 at December 31, 2021); (allowance for credit losses \$25 at September 30, 2022 and \$56 at December 31, 2021)	7,576,588	4,998,281
Federal Home Loan Bank stock	118,118	166,697
Loans held for sale	524,871	386,765
Loans and leases	73,840,078	64,862,798
Allowance for credit losses for loans and leases	(464,858)	(474,389)
Loans and leases, net	73,375,220	64,388,409
Premises and equipment, net	111,457	92,232
Operating lease right-of-use assets	256,458	225,988
Accrued interest and dividends receivable	402,915	306,827
Other assets	2,163,427	1,106,694
Total assets	\$ 114,468,746	118,445,427
LIABILITIES AND SHAREHOLDERS' EQUITY		
Deposits		
Non-interest-bearing	\$ 37,375,416	44,363,215
Interest-bearing	65,400,098	61,769,579
Total deposits	102,775,514	106,132,794
Federal funds purchased and securities sold under agreements to repurchase	150,000	150,000
Federal Home Loan Bank borrowings	1,454,738	2,639,245
Subordinated debt	571,280	570,228
Operating lease liabilities	286,280	254,660
Accrued expenses and other liabilities	1,540,411	857,882
Total liabilities	106,778,223	110,604,809
Shareholders' equity		
Preferred stock, par value \$.01 per share; 61,000,000 shares authorized; 730,000 shares issued and outstanding at September 30, 2022 and December 31, 2021	7	7
Common stock, par value \$.01 per share; 125,000,000 shares authorized; 63,063,150 shares issued and 62,927,326 outstanding at September 30, 2022; 60,729,674 shares issued and 60,631,944 outstanding at December 31, 2021	629	606
Additional paid-in capital	4,539,428	3,763,810
Retained earnings	5,201,514	4,298,527
Accumulated other comprehensive loss	(2,051,055)	(222,332)
Total shareholders' equity	7,690,523	7,840,618
Total liabilities and shareholders' equity	\$ 114,468,746	118,445,427

See accompanying notes to Consolidated Financial Statements.

SIGNATURE BANK
CONSOLIDATED STATEMENTS OF INCOME
(unaudited)

	<i>Three months ended September 30,</i>		<i>Nine months ended September 30,</i>	
	2022	2021	2022	2021
<i>(dollars in thousands, except per share amounts)</i>				
INTEREST INCOME				
Loans and leases	\$ 763,200	480,771	1,896,920	1,376,500
Loans held for sale	4,220	1,625	8,397	3,202
Securities available-for-sale	106,771	47,325	279,731	135,923
Securities held-to-maturity	29,524	12,549	74,635	38,750
Other investments	72,638	13,450	133,413	29,697
Total interest income	976,353	555,720	2,393,096	1,584,072
INTEREST EXPENSE				
Deposits	286,036	51,272	438,380	163,724
Federal funds purchased and securities sold under agreements to repurchase	602	602	1,779	1,799
Federal Home Loan Bank borrowings	9,558	16,803	37,834	51,045
Subordinated debt	6,167	6,167	18,448	22,900
Total interest expense	302,363	74,844	496,441	239,468
Net interest income before provision for credit losses	673,990	480,876	1,896,655	1,344,604
Provision for credit losses	29,066	3,985	36,009	43,165
Net interest income after provision for credit losses	644,924	476,891	1,860,646	1,301,439
NON-INTEREST INCOME				
Fees and service charges	29,005	20,032	76,485	53,567
Commissions	4,490	4,331	12,998	12,233
Net losses on sales of securities	—	—	(816)	—
Net gains on sales of loans	2,132	3,651	8,427	14,104
Other income	8,124	3,353	18,723	7,532
Total non-interest income	43,751	31,367	115,817	87,436
NON-INTEREST EXPENSE				
Salaries and benefits	133,491	116,924	393,331	335,781
Occupancy and equipment	13,882	11,761	38,494	34,313
Information technology	15,401	13,230	44,885	35,433
FDIC assessment fees	7,661	6,896	23,602	17,107
Professional fees	11,937	9,981	33,456	22,401
Other general and administrative	43,089	22,451	95,119	74,618
Total non-interest expense	225,461	181,243	628,887	519,653
Income before income taxes	463,214	327,015	1,347,576	869,222
Income tax expense	104,747	85,592	311,373	222,773
Net income	\$ 358,467	241,423	1,036,203	646,449
Preferred stock dividends	9,125	9,125	27,375	28,762
Net income available to common shareholders	\$ 349,342	232,298	1,008,828	617,687
PER COMMON SHARE DATA				
Earnings per common share - basic	\$ 5.59	3.91	16.21	10.79
Earnings per common share - diluted	\$ 5.57	3.88	16.11	10.68
Dividends per common share	\$ 0.56	0.56	1.68	1.68

See accompanying notes to Consolidated Financial Statements.

SIGNATURE BANK
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME (LOSS)
(unaudited)

<i>(in thousands)</i>	<i>Three months ended September 30,</i>		<i>Nine months ended September 30,</i>	
	2022	2021	2022	2021
Net income	\$ 358,467	241,423	1,036,203	646,449
Other comprehensive income (loss), net of tax:				
Net unrealized gains (losses) on securities	(849,611)	(52,925)	(2,285,572)	(134,586)
Tax effect	228,928	15,572	635,862	39,460
Net of tax	(620,683)	(37,353)	(1,649,710)	(95,126)
Reclassification adjustment for net losses on sales of securities included in net income	—	—	816	—
Tax effect	—	—	(229)	—
Net of tax	—	—	587	—
Amortization of net unrealized losses on securities transferred to held-to-maturity	397	365	732	855
Tax effect	(110)	(147)	(205)	(291)
Net of tax	287	218	527	564
Net unrealized gains (losses) on cash flow hedges	(89,700)	(843)	(274,405)	5,958
Reclassification adjustment for net losses included in net income	21,979	9,985	25,409	29,347
Tax effect	17,688	(2,844)	68,869	(10,573)
Net of tax	(50,033)	6,298	(180,127)	24,732
Total other comprehensive (loss) income, net of tax	(670,429)	(30,837)	(1,828,723)	(69,830)
Comprehensive (loss) income, net of tax	\$ (311,962)	210,586	(792,520)	576,619

See accompanying notes to Consolidated Financial Statements.

SIGNATURE BANK
CONSOLIDATED STATEMENTS OF CHANGES IN SHAREHOLDERS' EQUITY
(unaudited)

Nine months ended September 30, 2022

<i>(in thousands)</i>	Common stock	Preferred Stock	Additional paid-in capital	Retained earnings	Accumulated other comprehensive loss	Total shareholders' equity
Balance at December 31, 2021	\$ 606	7	3,763,810	4,298,527	(222,332)	7,840,618
Common stock issued	21	—	731,683	—	—	731,704
Restricted stock activity, net	2	—	13,587	—	—	13,589
Net Income	—	—	—	338,534	—	338,534
Other comprehensive loss, net of tax	—	—	—	—	(706,914)	(706,914)
Dividends paid on preferred stock (\$12.50 per share)	—	—	—	(9,125)	—	(9,125)
Dividends paid on common stock (\$0.56 per share)	—	—	—	(35,245)	—	(35,245)
Balance at March 31, 2022	\$ 629	7	4,509,080	4,592,691	(929,246)	8,173,161
Restricted stock activity, net	—	—	15,263	—	—	15,263
Net Income	—	—	—	339,202	—	339,202
Other comprehensive loss, net of tax	—	—	—	—	(451,380)	(451,380)
Dividends paid on preferred stock (\$12.50 per share)	—	—	—	(9,125)	—	(9,125)
Dividends paid on common stock (\$0.56 per share)	—	—	—	(35,315)	—	(35,315)
Balance at June 30, 2022	\$ 629	7	4,524,343	4,887,453	(1,380,626)	8,031,806
Restricted stock activity, net	—	—	15,085	—	—	15,085
Net Income	—	—	—	358,467	—	358,467
Other comprehensive loss, net of tax	—	—	—	—	(670,429)	(670,429)
Dividends paid on preferred stock (\$12.50 per share)	—	—	—	(9,125)	—	(9,125)
Dividends paid on common stock (\$0.56 per share)	—	—	—	(35,281)	—	(35,281)
Balance at September 30, 2022	\$ 629	7	4,539,428	5,201,514	(2,051,055)	7,690,523

Nine months ended September 30, 2021

<i>(in thousands)</i>	Common stock	Preferred Stock	Additional paid-in capital	Retained earnings	Treasury stock	Accumulated other comprehensive loss	Total shareholders' equity
Balance at December 31, 2020	\$ 555	7	2,583,514	3,548,260	(232,531)	(72,896)	5,826,909
Common stock issued	21	—	475,245	—	232,531	—	707,797
Restricted stock activity, net	2	—	14,167	—	—	—	14,169
Net Income	—	—	—	190,533	—	—	190,533
Other comprehensive loss, net of tax	—	—	—	—	—	(56,407)	(56,407)
Dividends paid on preferred stock (see Note 9)	—	—	—	(10,512)	—	—	(10,512)
Dividends paid on common stock (\$0.56 per share)	—	—	—	(30,086)	—	—	(30,086)
Balance at Balance at March 31, 2021	\$ 578	7	3,072,926	3,698,195	—	(129,303)	6,642,403
Restricted stock activity, net	(1)	—	11,817	—	—	—	11,816
Net Income	—	—	—	214,493	—	—	214,493
Other comprehensive income, net of tax	—	—	—	—	—	17,414	17,414
Dividends paid on preferred stock (\$12.50 per share)	—	—	—	(9,125)	—	—	(9,125)
Dividends paid on common stock (\$0.56 per share)	—	—	—	(32,438)	—	—	(32,438)
Balance at Balance at June 30, 2021	\$ 577	7	3,084,743	3,871,125	—	(111,889)	6,844,563
Common stock issued	29	—	654,721	—	—	—	654,750
Restricted stock activity, net	—	—	12,118	—	—	—	12,118
Stock options activity, net	—	—	—	—	—	—	—
Common stock repurchased	—	—	—	—	—	—	—
Net Income	—	—	—	241,423	—	—	241,423
Other comprehensive income, net of tax	—	—	—	—	—	(30,837)	(30,837)
Dividends paid on preferred stock (\$12.50 per share)	—	—	—	(9,125)	—	—	(9,125)
Dividends paid on common stock (\$0.56 per share)	—	—	—	(33,753)	—	—	(33,753)
Balance at September 30, 2021	\$ 606	7	3,751,582	4,069,670	—	(142,726)	7,679,139

See accompanying notes to Consolidated Financial Statements.

SIGNATURE BANK
CONSOLIDATED STATEMENTS OF CASH FLOWS
(unaudited)

	<i>Nine months ended September 30,</i>	
<i>(in thousands)</i>	2022	2021
CASH FLOWS FROM OPERATING ACTIVITIES		
Net income	\$ 1,036,203	646,449
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation and amortization	17,501	15,169
Provision for credit losses	36,009	43,165
Net amortization/accretion of premium/discount	283,228	230,843
Stock-based compensation expense	43,730	37,357
Net gains on sales of securities and loans	(7,611)	(14,104)
Gain on trading activities	(156)	(177)
Deferred income tax expense (benefit)	61,322	(14,491)
Purchases of loans held for sale	(1,542,546)	(1,968,667)
Proceeds from sales and principal repayments of loans held for sale	967,300	1,369,407
Purchases of securities held for trading	(31,265)	(161,451)
Proceeds from sales of securities held for trading	40,555	112,684
Net increase in accrued interest and dividends receivable	(96,088)	(34,350)
Net increase in other assets (1)	(662,385)	(139,185)
Net increase in accrued expenses and other liabilities (2)	714,149	331,554
Net cash provided by operating activities	859,946	454,203
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchases of securities available-for-sale ("AFS")	(5,550,600)	(8,078,060)
Proceeds from sales of securities AFS	9,761	—
Maturities, redemptions, calls and principal repayments on securities AFS	2,204,696	2,768,142
Purchases of securities held-to-maturity ("HTM")	(3,120,976)	(2,847,122)
Maturities, redemptions, calls and principal repayments on securities HTM	523,303	1,068,296
Purchases of Federal Home Loan Bank stock	(12,772)	(3,874)
Proceeds from redemptions of Federal Home Loan Bank stock	61,351	7,882
Net increase in loans and leases	(9,104,285)	(9,875,176)
Net purchases of premises and equipment	(37,711)	(22,545)
Net cash used in investing activities	(15,027,233)	(16,982,457)
CASH FLOWS FROM FINANCING ACTIVITIES		
Net (decrease) increase in non-interest-bearing deposits	(6,987,799)	15,626,797
Net increase in interest-bearing deposits	3,630,519	16,624,220
Proceeds from the issuance of Federal Home Loan Bank borrowings	1,250,000	1,750,000
Repayment of Federal Home Loan Bank borrowings	(2,434,507)	(1,925,000)
Repayment of other borrowings	—	(260,000)
Cash dividends paid on preferred stock	(27,375)	(28,762)
Cash dividends paid on common stock	(105,875)	(96,277)
Payments of employee taxes withheld from stock-based compensation	(40,371)	(38,691)
Issuance of common stock	731,945	1,363,293
Net cash (used) provided by financing activities	(3,983,463)	33,015,580
Net (decrease) increase in cash and cash equivalents	(18,150,750)	16,487,326
Cash and cash equivalents at beginning of period	29,620,671	12,348,331
Cash and cash equivalents at end of period	\$ 11,469,921	28,835,657
Supplemental disclosures of cash flow information:		
Interest paid during the period	\$ 482,849	244,644
Income taxes paid during the period, net	\$ 258,605	249,456
Non-cash operating and investing activities:		
Excess servicing strips from the securitization of SBA loans	\$ 42,599	40,503
Landlord provided improvement incentives	\$ 1,249	—

(1) Includes \$23.2 million and \$21.0 million of amortization of operating lease right-of-use assets for the nine months ended September 30, 2022 and 2021, respectively.

(2) Includes \$22.1 million and \$19.5 million of accretion of operating lease liabilities for the nine months ended September 30, 2022 and 2021, respectively.

See accompanying notes to Consolidated Financial Statements.

SIGNATURE BANK
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(unaudited)

In this quarterly report filed on Form 10-Q, except where the context otherwise requires, the “Bank,” the “Company,” “Signature,” “we,” “us,” and “our” refer to Signature Bank and its subsidiaries, including Signature Financial, LLC (“Signature Financial”), Signature Securities Group Corporation (“Signature Securities”) and Signature Public Funding Corporation (“Signature Public Funding”).

1. Basis of Presentation and Consolidation

The accompanying unaudited Consolidated Financial Statements of the Bank have been prepared in accordance with U.S. generally accepted accounting principles (“GAAP”) and practices within the banking industry. These financial statements have been prepared to reflect all adjustments necessary to present fairly the financial condition and results of operations as of the dates and for the periods shown. All significant intercompany accounts and transactions have been eliminated in consolidation.

The results of operations and other data presented for the quarter ended September 30, 2022 are not necessarily indicative of the results of operations that may be expected for the year ending December 31, 2022. The preparation of Consolidated Financial Statements in conformity with GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the Consolidated Financial Statements and the reported amounts of revenues and expenses during the reporting period. Actual results may differ from those estimates. The most significant estimate is the adequacy of the allowance for credit losses for loans and leases (“ACLL” or the “allowance”).

You should read these unaudited Consolidated Financial Statements and notes thereto and the related management’s discussion and analysis together with the financial information in our 2021 Annual Report on Form 10-K, previously filed with the Federal Deposit Insurance Corporation (“FDIC”).

2. Earnings Per Common Share

Basic earnings per common share ("EPS") is computed by dividing income available to common stockholders by the weighted average number of common shares outstanding for the period. Unvested stock awards with non-forfeitable rights to dividends, whether paid or unpaid, are considered participating securities and are included in the calculation of EPS using the two class method whereby net income is allocated between common stock and participating securities. Diluted earnings per common share is computed by dividing income allocated to common stockholders for basic EPS, adjusted for earnings reallocated from participating securities, by the weighted average number of common shares outstanding for the period adjusted for the dilutive effect of unvested stock awards using the treasury stock method.

The following table shows the computation of basic and diluted earnings per common and common equivalent share for the three and nine months ended September 30, 2022 and 2021:

<i>(in thousands, except per share amounts)</i>	<i>Three months ended September 30,</i>		<i>Nine months ended September 30,</i>	
	2022	2021	2022	2021
Net income	\$ 358,467	241,423	1,036,203	646,449
Preferred stock dividends	9,125	9,125	27,375	28,762
Net income available to common shareholders	\$ 349,342	232,298	1,008,828	617,687
Less: Dividends paid on and earnings allocated to participating securities	194	211	676	816
Earnings applicable to common stock	\$ 349,148	232,087	1,008,152	616,871
Common and common equivalent shares:				
Weighted average common shares outstanding	62,440	59,284	62,186	57,152
Weighted average common equivalent shares	233	461	411	588
Weighted average common and common equivalent shares	62,673	59,745	62,597	57,740
Basic earnings per common share	\$ 5.59	3.91	16.21	10.79
Diluted earnings per common share	\$ 5.57	3.88	16.11	10.68

Restricted stock units whose issuance is contingent upon the satisfaction of certain performance and market conditions ("PSUs"), are included in the computation of diluted EPS if all necessary conditions have been satisfied by the end of the reporting period. Otherwise, the number of contingently issuable shares included in diluted EPS is the number of shares, if any, that would be issuable based on current period earnings and period-end market price, and if the result would be dilutive. These contingently issuable shares are included in the computation of diluted EPS as of the beginning of the period or as of the date of the contingent stock agreement, if later. For the three and nine months ended September 30, 2022, average dilutive potential common shares associated with these contingently issuable PSUs was 116,991 shares. For the three and nine months ended September 30, 2021, average dilutive potential common shares associated with these contingently issuable PSUs was 102,606 shares.

3. Fair Value Measurements

The Bank uses fair value measurements to record fair value adjustments to certain assets and liabilities and to determine fair value disclosures. Fair value measurements are recorded on a recurring basis for certain assets and liabilities when fair value is the measure for accounting purposes, such as investment securities classified as available-for-sale and derivatives. Certain other assets and liabilities are measured at fair value on a non-recurring basis and are subject to fair value adjustments in certain circumstances, such as when there is evidence of impairment.

U.S. GAAP establishes a three-level fair value hierarchy that prioritizes techniques used to measure the fair value of assets and liabilities, based on the transparency and reliability of inputs to valuation methodologies. The three levels are defined as follows:

- Level 1 – Valuations are based on quoted prices in active markets for identical assets or liabilities. Accordingly, valuation of these assets and liabilities does not entail a significant degree of judgment. Examples include most U.S. Treasury securities and exchange-traded equity securities.
- Level 2 – Valuations are based on either quoted prices in markets that are not considered to be active or significant inputs to the methodology that are observable, either directly or indirectly. Examples include U.S. Government Agency securities, municipal bonds, corporate bonds, certain residential and commercial mortgage-backed securities, deposits, and most structured notes.
- Level 3 – Valuations are based on inputs to the methodology that are unobservable and significant to the fair value measurement. These inputs reflect management's own judgments about the assumptions that market participants would use in pricing the assets and liabilities. Examples include certain commercial loans, certain residential and commercial mortgage-backed securities, private equity investments, and complex over-the-counter derivatives.

Valuation Methodology

The Bank has an established and documented process for determining fair values. The Bank uses quoted market prices, when available, to determine fair value and classifies such items as Level 1. In many cases, the Bank utilizes valuation techniques, such as matrix pricing, to determine fair value, in which case the items are classified as Level 2. Fair value estimates may also be based upon internally-developed valuation techniques that use current market-based inputs such as discount rates, credit spreads, default and delinquency rates, and prepayment speeds. Items valued using internal valuation techniques are classified according to the lowest level input that is significant to the valuation, and are typically classified as Level 3.

We utilize independent third-party pricing sources to value most of our investment securities. In order to ensure the valuations obtained are appropriate, we typically compare data from two or more independent third-party pricing sources. If there is a price discrepancy greater than thresholds established by management between two pricing sources for an individual security, we utilize industry market spread data or other market data to assist in determining the most appropriate valuation. In addition, the third-party pricing sources have an established challenge process in place for all security valuations, which facilitates identification and resolution of potentially erroneous prices. We believe that the prices received from our pricing sources are representative of prices that would be received to sell the assets at the measurement date (exit prices) and are classified appropriately in the hierarchy.

The valuations provided by the pricing services are derived from quoted market prices or using matrix pricing. Matrix pricing is a valuation technique consistent with the market approach of determining fair value. The market approach uses prices and other relevant information generated by market transactions involving identical or comparable assets. Matrix pricing is a mathematical technique used principally to value debt securities without relying exclusively on quoted prices of specific securities, but rather on the securities' relationship to other benchmark quoted securities. This technique leverages observable inputs including quoted prices for similar assets, benchmark yield curves, and other market corroborated inputs. Most of our securities portfolio is priced using this method, and as such, these securities are classified as Level 2.

Securities are classified within Level 3 of the valuation hierarchy in cases where there is limited activity or less transparency around inputs to the valuation. In these cases, the valuations are determined based upon an analysis of the cash flow structure and credit analysis for each position. Relative market spreads are utilized to discount the cash flow to determine current market values, as well as analysis of relative coverage ratios, credit enhancements, and collateral characteristics. Small Business Administration ("SBA") interest-only strip securities, pooled trust preferred securities, and certain private collateralized mortgage obligations ("CMOs") are all included in the Level 3 fair value hierarchy.

Markets for SBA interest-only strip securities are relatively inactive, with limited observable secondary market transactions. Our SBA interest-only strip securities are classified as other debt securities available-for-sale ("AFS") and reported at fair value, with changes in fair value recognized in accumulated other comprehensive loss. The securities are valued using Level 3 inputs and had fair values of \$233.3 million at September 30, 2022 and \$232.7 million at December 31, 2021. Since the cash flows of the SBA interest-only strip securities are guaranteed by the U.S. Government, there is limited credit risk involved. Therefore, the primary assumption built into the pricing model to generate the projected cash flows used to compute the fair values of the SBA interest-only strip securities is the discount yield. The Bank determined the inputs to the discounted cash flow model based on historical performance and information provided by brokers.

Fair value measurements of equity warrant assets of private portfolio companies are priced based on a Black-Scholes option pricing model to estimate the asset value by using stated strike prices, option expiration dates, risk-free interest rates and option volatility assumptions. Option volatility assumptions used in the Black-Scholes model are based on public market indices whose members operate in similar industries as companies in our private company portfolio. These equity warrants assets are included in the Level 3 fair value hierarchy.

Financial Instruments Measured at Fair Value on a Recurring Basis

The following tables present the assets and liabilities that are measured at fair value on a recurring basis as of September 30, 2022 and December 31, 2021, classified according to the three-level valuation hierarchy:

<i>(in thousands)</i>	Quoted Prices in Active Markets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Total Carrying Value
September 30, 2022				
ASSETS				
Securities available-for-sale:				
U.S. Treasury securities	\$ 155,685	—	—	155,685
Residential mortgage-backed securities:				
U.S. Government Agency	—	90,238	—	90,238
Government-sponsored enterprises	—	5,884,484	—	5,884,484
Collateralized mortgage obligations:				
U.S. Government Agency	—	1,118,970	—	1,118,970
Government-sponsored enterprises	—	7,273,212	—	7,273,212
Private	—	901,078	3,436	904,514
Securities of U.S. states and political subdivisions:				
Municipal bonds	—	245,675	—	245,675
Other debt securities:				
Commercial mortgage-backed securities	—	76,131	—	76,131
Single issuer trust preferred & corporate debt securities	—	1,375,494	—	1,375,494
Pooled trust preferred securities	—	—	14,184	14,184
Other	—	1,079,053	252,131	1,331,184
Total securities available-for-sale	155,685	18,044,335	269,751	18,469,771
Equity securities	—	20,061	—	20,061
Derivatives (1)	—	42,879	1,449	44,328
Total assets	\$ 155,685	18,107,275	271,200	18,534,160
LIABILITIES				
Derivatives (1)	\$ —	522,808	81	522,889
Total liabilities	\$ —	522,808	81	522,889

(1) Level three derivative assets are associated with equity warrants obtained in connection with negotiating credit facilities and certain other services to acquire stock in primarily private, venture-backed companies in the technology and life science/healthcare industries. Level three derivative liabilities are associated with risk participation agreements.

<i>(in thousands)</i>	Quoted Prices in Active Markets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Total Carrying Value
December 31, 2021				
ASSETS				
Securities available-for-sale:				
U.S. Treasury securities	\$ 9,983	—	—	9,983
Residential mortgage-backed securities:				
U.S. Government Agency	—	83,189	—	83,189
Government-sponsored enterprises	—	5,318,389	—	5,318,389
Collateralized mortgage obligations:				
U.S. Government Agency	—	1,057,750	—	1,057,750
Government-sponsored enterprises	—	6,815,083	—	6,815,083
Private	—	1,167,131	3,958	1,171,089
Securities of U.S. states and political subdivisions:				
Municipal bonds	—	250,372	—	250,372
Other debt securities:				
Commercial mortgage-backed securities	—	118,662	—	118,662
Single issuer trust preferred & corporate debt securities	—	1,328,981	—	1,328,981
Pooled trust preferred securities	—	—	21,143	21,143
Other	—	726,126	252,096	978,222
Total securities available-for-sale	9,983	16,865,683	277,197	17,152,863
Equity securities	—	22,861	—	22,861
Derivatives (1)	—	16,958	2,059	19,017
Total assets	\$ 9,983	16,905,502	279,256	17,194,741
LIABILITIES				
Derivatives (1)	\$ —	48,657	215	48,872
Total liabilities	\$ —	48,657	215	48,872

(1) Level three derivative assets are associated with equity warrants obtained in connection with negotiating credit facilities and certain other services to acquire stock in primarily private, venture-backed companies in the technology and life science/healthcare industries. Level three derivative liabilities are associated with risk participation agreements.

Changes in Level 3 Fair Value Measurements

We recognize transfers between levels of the valuation hierarchy at the end of reporting periods. There were no transfers of assets between Level 1 and Level 2 during the three and nine months ended September 30, 2022 and 2021. Additionally, the following tables present information for AFS securities and derivatives measured at fair value on a recurring basis and classified by the Bank within Level 3 of the valuation hierarchy for the periods indicated:

<i>(in thousands)</i>	<i>Fair Value Measurements Using Significant Unobservable Inputs (Level 3)</i>		
	AFS Securities	Derivative Assets (1)	Derivative Liabilities (2)
Three months ended September 30, 2022			
Beginning balance - Level 3	\$ 265,723	1,440	(70)
Issuance of equity warrant assets	—	19	—
Formation of SBA interest-only strip securities	15,550	—	—
Transfers into Level 3	—	—	—
Transfers out of Level 3	—	—	—
Total gains or (losses) (realized/unrealized):			
Included in earnings			
Non-interest (expense)/ income	—	(10)	(12)
Interest income	(12,535)	—	—
Included in other comprehensive income	1,013	—	—
Ending balance - Level 3	\$ 269,751	1,449	(82)
Three months ended September 30, 2021			
Beginning balance - Level 3	\$ 255,693	1,860	(274)
Issuance of equity warrant assets	—	182	—
Formation of SBA interest-only strip securities	19,046	—	—
Transfers into Level 3	—	—	—
Transfers out of Level 3	—	—	—
Total gains or (losses) (realized/unrealized):			
Included in earnings			
Non-interest income		(156)	43
Interest income	(10,060)	—	—
Included in other comprehensive income	4,136	—	—
Ending balance - Level 3	\$ 268,815	1,886	(231)

(1) Derivative assets are associated with equity warrants obtained in connection with negotiating credit facilities and certain other services to acquire stock in primarily private, venture-backed companies in the technology and life science/healthcare industries.

(2) Derivative liabilities are associated with risk participation agreements.

*Fair Value Measurements Using
Significant Unobservable Inputs (Level 3)*

<i>(in thousands)</i>	AFS Securities	Derivative Assets (1)	Derivative Liabilities (2)
Nine months ended September 30, 2022			
Beginning balance - Level 3	\$ 277,197	2,059	(215)
Issuance of equity warrant assets	—	176	—
Formation of SBA interest-only strip securities	42,599	—	—
Transfers into Level 3	—	—	—
Transfers out of Level 3	—	—	—
Total gains or (losses) (realized/unrealized):			
Included in earnings			
Non-interest (expense)/ income	—	(786)	133
Interest income	(36,155)	—	—
Included in other comprehensive income	(13,890)	—	—
Ending balance - Level 3	\$ 269,751	1,449	(82)
Nine months ended September 30, 2021			
Beginning balance - Level 3	\$ 238,680	1,425	(481)
Issuance of equity warrant assets	—	395	—
Formation of SBA interest-only strip securities	40,504	—	—
Transfers into Level 3	—	—	—
Transfers out of Level 3	—	—	—
Total gains or (losses) (realized/unrealized):			
Included in earnings			
Non-interest income	—	66	250
Interest income	(30,565)	—	—
Included in other comprehensive income	20,196	—	—
Ending balance - Level 3	\$ 268,815	1,886	(231)

(1) Derivative assets are associated with equity warrants obtained in connection with negotiating credit facilities and certain other services to acquire stock in primarily private, venture-backed companies in the technology and life science/healthcare industries.

(2) Derivative liabilities are associated with risk participation agreements.

Assets Measured at Fair Value on a Non-recurring Basis

Certain assets are measured at fair value on a non-recurring basis. These assets are not measured at fair value on an on-going basis but are subject to fair value adjustments only in certain circumstances, such as when there is impairment or when an adjustment is required to reduce the carrying value to the lower of cost or fair value. These assets may include collateral-dependent loans, loans held-for-sale, repossessed assets, and certain long-lived assets.

The following table presents the assets that were measured at fair value on a non-recurring basis as of September 30, 2022 and December 31, 2021, classified according to the three-level valuation hierarchy:

<i>(in thousands)</i>	Quoted Prices in Active Markets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Total Carrying Value
September 30, 2022				
Collateral-dependent loans:				
Commercial property	\$ —	—	89,593	89,593
Multi-family residential property	—	—	67,264	67,264
Acquisition, development and construction	—	—	2,640	2,640
1-4 family residential property	—	—	843	843
Home equity lines of credit	—	—	1,977	1,977
Commercial and industrial (1)	—	—	30,504	30,504
Other repossessed assets	—	—	65	65
Total assets	\$ —	—	192,886	192,886
December 31, 2021				
Collateral-dependent loans:				
Commercial property	\$ —	—	125,861	125,861
Multi-family residential property	—	—	30,046	30,046
1-4 family residential property	—	—	2,678	2,678
Home equity lines of credit	—	—	1,441	1,441
Commercial and industrial (1)	—	—	25,346	25,346
Other repossessed assets	—	—	3,242	3,242
Total assets	\$ —	—	188,614	188,614

(1) Includes \$13.2 million and \$16.6 million of specialty finance loans as of September 30, 2022 and December 31, 2021, respectively.

Collateral-dependent loans are reported at the fair value of the underlying collateral, less selling costs, as applicable. Fair value estimates for collateral-dependent loans are determined based on individual appraisals that may be discounted by management for unobservable factors resulting from its knowledge of the property, or internal valuations performed leveraging net operating income information specific to the property and market capitalization rates.

Fair value adjustments for collateral-dependent loans are recorded through direct loan charge-offs and/or through a specific allocation of the ACLLL. During the three and nine months ended September 30, 2022, we recorded fair value adjustments ((gain)/loss) on collateral-dependent loans totaling \$15.8 million and \$17.2 million, respectively, compared to \$10.9 million and \$29.6 million, respectively, recorded for the three and nine months ended September 30, 2021. For both the three and nine month periods in 2022, the adjustments are principally related to increases in reserves and/or charge-offs related to two nonaccrual commercial property loans and one nonaccrual multi-family loan.

Repossessed assets are comprised of any property ("other real estate" or "ORE") or other asset acquired through loan restructurings, foreclosure proceedings, or acceptance of a deed-in-lieu of foreclosure. Repossessed assets are carried at the lower of cost or fair value, less estimated selling costs. Fair value is determined through current appraisals or recent observable market transfer prices. Fair value adjustments are reported through a valuation allowance against the asset. During the three and nine months ended September 30, 2022, we recorded positive fair value adjustments of \$382,000 and \$359,000, respectively, compared to negative fair value adjustments of zero and \$7.5 million, respectively, for the three and nine months ended September 30, 2021, on repossessed assets.

Other Fair Value Disclosures

The preparation of financial statements in accordance with U.S. GAAP requires disclosure of the fair value of financial assets and liabilities, including those items that are not measured and reported at fair value on a recurring or non-recurring basis. The methodologies for estimating the fair value of financial assets and liabilities that are measured at fair value on a recurring or non-recurring basis are discussed above. The methodologies for estimating the fair value of other items, which are carried on the Consolidated Statements of Financial Condition at cost or amortized cost, are discussed below.

Fair value estimates for our financial instruments are made at a specific point in time, based on relevant market information and information about the financial instrument. Fair value estimates are not necessarily representative of our total enterprise value.

The carrying amounts for cash and cash equivalents are reasonable estimates of fair value.

Federal Home Loan Bank stock, which is required as part of membership, has no trading market and is redeemable at par. Accordingly, its fair value is presented at the redemption (par) value.

Our loans held for sale consist of the government-guaranteed portion of SBA loans. The fair value of our loans held for sale approximates cost, as these loans have adjustable rates and are backed by the full faith and credit of the U.S. Government.

The estimated fair value of our loans and leases, net, is based on the discounted value of contractual cash flows using interest rates that approximate those offered for loans with similar maturities and collateral requirements to borrowers of comparable credit worthiness. Other factors, such as credit risk and liquidity risk are incorporated in the fair value measurement.

Deposits are mostly non-interest-bearing or NOW and money market deposits that bear floating interest rates that are re-priced based on market considerations and the Bank's strategy. Therefore, the carrying value approximates fair value. The carrying and fair values do not include the intangible fair value of core deposit relationships, which comprise a significant portion of our deposit base. Management believes that the Bank's core deposit relationships represent a relatively stable, low-cost source of funding that has a substantial intangible value separate from the deposit balances. Time deposits, 86.9% which mature within one year, had a carrying value and estimated fair value both at \$2.42 billion at September 30, 2022. The estimated fair value is based on the discounted value of contractual cash flows using interest rates that approximated those offered for time deposits with similar maturities and terms.

The estimated fair value of our borrowings is based on the discounted value of contractual cash flows using interest rates that approximate those offered for borrowings with similar maturities and collateral requirements. The estimated fair value of our subordinated debt is based on a quoted market price.

The following table summarizes the carrying amounts and estimated fair values of our financial assets and liabilities:

<i>Estimated Fair Value Measurements</i>					
<i>(in thousands)</i>	Carrying Amount	Total	Quoted Prices in Active Markets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
September 30, 2022					
FINANCIAL ASSETS					
Cash and cash equivalents	\$ 11,469,921	11,469,921	11,469,921	—	—
Securities available-for-sale (1)	18,469,771	18,469,771	155,685	18,044,335	269,751
Securities held-to-maturity (2)	7,576,588	6,806,774	—	6,806,774	—
Federal Home Loan Bank stock (3)	118,118	118,118	—	118,118	—
Loans held for sale	524,871	524,871	—	524,871	—
Loans and leases, net (4)	73,375,220	71,021,148	—	—	71,021,148
Equity securities (5)	20,061	20,061	—	20,061	—
Derivatives (6)	44,328	44,328	—	42,879	1,449
Total financial assets	\$ 111,598,878	108,474,992	11,625,606	25,557,038	71,292,348
FINANCIAL LIABILITIES					
Deposits (7)	\$ 102,775,514	102,761,043	—	102,761,043	—
Federal Home Loan Bank borrowings	1,454,738	1,451,360	—	1,451,360	—
Broker repurchase agreements	150,000	136,935	—	136,935	—
Subordinated debt	571,280	542,300	—	542,300	—
Derivatives (8)	522,889	522,889	—	522,808	81
Total financial liabilities	\$ 105,474,421	105,414,527	—	105,414,446	81
December 31, 2021					
FINANCIAL ASSETS					
Cash and cash equivalents	\$ 29,620,671	29,620,671	29,620,671	—	—
Securities available-for-sale (1)	17,152,863	17,152,863	9,983	16,865,683	277,197
Securities held-to-maturity (2)	4,998,281	4,944,777	—	4,944,777	—
Federal Home Loan Bank stock (3)	166,697	166,697	—	166,697	—
Loans held for sale	386,765	386,765	—	386,765	—
Loans and leases, net (4)	64,388,409	64,448,949	—	—	64,448,949
Equity securities (5)	22,861	22,861	—	22,861	—
Derivatives (6)	19,017	19,017	—	16,958	2,059
Total financial assets	\$ 116,755,564	116,762,600	29,630,654	22,403,741	64,728,205
FINANCIAL LIABILITIES					
Deposits (7)	\$ 106,132,794	106,132,108	—	106,132,108	—
Federal Home Loan Bank borrowings	2,639,245	2,680,360	—	2,680,360	—
Broker repurchase agreements	150,000	152,327	—	152,327	—
Subordinated debt	570,228	608,500	—	608,500	—
Derivatives (8)	48,872	48,872	—	48,657	215
Total financial liabilities	\$ 109,541,139	109,622,167	—	109,621,952	215

(1) Fair value amount includes zero ACL related to AFS securities both as of September 30, 2022 and December 31, 2021, which is included in Securities available-for-sale in the Consolidated Statements of Financial Condition.

(2) Amortized cost amount includes ACL related to HTM securities of \$25,000 and \$56,000 as of September 30, 2022 and December 31, 2021, respectively, which is included in Securities held-to-maturity in the Consolidated Statements of Financial Condition.

(3) FHLB stock has no trading market and is redeemable at par. As such, fair value is presented at the redemption (par) value.

(4) The estimated fair value measurements for loans and leases include adjustments related to market interest rates, and other factors such as credit risk and liquidity risk.

(5) Equity securities primarily represent Community Reinvestment Act ("CRA") qualifying closed-end bond fund investments which are included in Other assets on the Consolidated Statements of Financial Condition.

(6) Level three derivative assets are associated with equity warrants obtained in connection with negotiating credit facilities and certain other services to acquire stock in primarily private, venture-backed companies in the technology and life science/healthcare industries.

(7) The carrying and fair values of deposits do not include the intangible fair value of core deposit relationships.

(8) Level three derivative liabilities are Risk Participation Agreements.

4. Securities

We generally invest in U.S. Government agency obligations, securities guaranteed by U.S. Government-sponsored enterprises, and other investment grade securities. The fair value of these investments fluctuates based on several factors, including general interest rate changes. For collateralized mortgage obligations and certain other debt securities, fair value fluctuates based on credit quality, changes in credit spreads, and the degree of market liquidity, among other factors.

The following table summarizes the components of our securities portfolios as of the dates indicated:

	At September 30, 2022				At December 31, 2021			
	Amortized Cost	Gross Unrealized Gains	Gross Unrealized Losses	Fair Value	Amortized Cost	Gross Unrealized Gains	Gross Unrealized Losses	Fair Value
<i>(in thousands)</i>								
AVAILABLE-FOR-SALE								
U.S. Treasury securities	\$ 160,322	—	(4,637)	155,685	9,998	—	(15)	9,983
Residential mortgage-backed securities:								
U.S. Government Agency	100,222	13	(9,997)	90,238	82,877	1,436	(1,124)	83,189
Government-sponsored enterprises	6,812,945	29	(928,490)	5,884,484	5,365,674	10,088	(57,373)	5,318,389
Collateralized mortgage obligations:								
U.S. Government Agency	1,206,828	—	(87,858)	1,118,970	1,072,210	1,052	(15,512)	1,057,750
Government-sponsored enterprises	8,403,732	29	(1,130,549)	7,273,212	6,975,502	9,272	(169,691)	6,815,083
Private	1,062,444	145	(158,075)	904,514	1,188,166	1,034	(18,111)	1,171,089
Securities of U.S. states and political subdivisions:								
Municipal bonds	288,517	—	(42,842)	245,675	247,968	2,976	(572)	250,372
Other debt securities:								
Commercial mortgage-backed securities	87,056	—	(10,925)	76,131	120,280	226	(1,844)	118,662
Single issuer trust preferred & corporate debt securities	1,511,013	94	(135,613)	1,375,494	1,326,216	16,103	(13,338)	1,328,981
Pooled trust preferred securities	15,484	280	(1,580)	14,184	20,915	1,456	(1,228)	21,143
Other (1)	1,352,005	3,316	(24,137)	1,331,184	989,100	3,704	(14,582)	978,222
Total available-for-sale (2)	\$21,000,568	3,906	(2,534,703)	18,469,771	17,398,906	47,347	(293,390)	17,152,863
HELD-TO-MATURITY								
FHLB, FNMA and FHLMC Debentures	\$ 2,582,911	—	(228,486)	2,354,425	1,988,244	10	(20,815)	1,967,439
Residential mortgage-backed securities:								
U.S. Government Agency	85,998	8	(4,866)	81,140	15,589	253	(56)	15,786
Government-sponsored enterprises	1,329,995	615	(176,282)	1,154,328	1,056,525	2,611	(13,105)	1,046,031
Collateralized mortgage obligations:								
U.S. Government Agency	848,779	779	(40,284)	809,274	173,669	451	(4,330)	169,790
Government-sponsored enterprises	2,663,660	—	(315,693)	2,347,967	1,697,859	10,131	(34,193)	1,673,797
Private	809	—	(31)	778	932	57	—	989
Other debt securities:								
Single issuer trust preferred & corporate debt securities	64,461	27	(5,626)	58,862	65,519	5,834	(408)	70,945
Total held-to-maturity (3)	\$ 7,576,613	1,429	(771,268)	6,806,774	4,998,337	19,347	(72,907)	4,944,777

(1) Amount includes SBA interest-only strip securities of \$233.3 million and \$232.7 million and SBA pools of \$1.04 billion and \$653.2 million related to AFS securities as of September 30, 2022 and December 31, 2021, respectively, resulting from the Company's securitization of the U.S. Government guaranteed portion of Small Business Administration ("SBA") loans. The guaranteed portion of SBA loans is backed by the full faith and credit of the US government. Therefore, no credit risk is deemed to be associated with this portfolio.

(2) Fair value amount excludes ACL to AFS securities. As of September 30, 2022 and December 31, 2021, zero ACL related to AFS securities is included in Securities available-for-sale in the Consolidated Statements of Financial Condition

(3) Excludes ACL related to HTM securities of \$25,000 as of September 30, 2022 and \$56,000 as of December 31, 2021, which is included in Securities held-to-maturity in the Consolidated Statements of Financial Condition.

The credit loss standard prescribes a separate impairment model for debt securities classified as AFS (carried at fair value) compared to HTM securities (carried at amortized cost). As HTM securities are carried at amortized cost, they are subject to the current expected lifetime credit loss ("CECL") model.

Available-for-Sale Securities

The following tables present information regarding AFS securities, categorized by type of security and length of time that individual securities have been in a continuous unrealized loss position at the dates indicated below.

	Less than 12 months		12 months or longer		Total	
	Fair Value	Unrealized Losses	Fair Value	Unrealized Losses	Fair Value	Unrealized Losses
<i>(in thousands)</i>						
September 30, 2022						
Available-for-Sale Securities						
U.S. Treasury securities	\$ 145,711	(4,612)	9,975	(25)	155,686	(4,637)
Residential mortgage-backed securities:						
U.S. Government Agency	49,323	(2,932)	40,558	(7,065)	89,881	(9,997)
Government-sponsored enterprises	3,829,905	(527,405)	2,052,653	(401,085)	5,882,558	(928,490)
Collateralized mortgage obligations:						
U.S. Government Agency	624,169	(36,403)	494,763	(51,455)	1,118,932	(87,858)
Government-sponsored enterprises	3,674,370	(439,255)	3,592,341	(691,294)	7,266,711	(1,130,549)
Private	251,633	(32,491)	647,018	(125,584)	898,651	(158,075)
Securities of U.S. states and political subdivisions:						
Municipal Bond	215,198	(35,233)	30,478	(7,609)	245,676	(42,842)
Other debt securities:						
Commercial mortgage-backed securities	6,400	(212)	69,731	(10,713)	76,131	(10,925)
Single issuer trust preferred & corporate debt securities	898,786	(56,404)	454,020	(79,209)	1,352,806	(135,613)
Pooled trust preferred securities	2,950	(529)	7,685	(1,051)	10,635	(1,580)
Other	45,946	(2,509)	247,979	(21,628)	293,925	(24,137)
Total AFS securities	\$ 9,744,391	(1,137,985)	7,647,201	(1,396,718)	17,391,592	(2,534,703)

	Less than 12 months		12 months or longer		Total	
	Fair Value	Unrealized Losses	Fair Value	Unrealized Losses	Fair Value	Unrealized Losses
<i>(in thousands)</i>						
December 31, 2021						
Available-for-Sale Securities						
U.S. Treasury securities	\$ 9,983	(15)	—	—	9,983	(15)
Residential mortgage-backed securities:						
U.S. Government Agency	18,907	(186)	35,922	(938)	54,829	(1,124)
Government-sponsored enterprises	3,862,438	(38,522)	380,204	(18,851)	4,242,642	(57,373)
Collateralized mortgage obligations:						
U.S. Government Agency	760,014	(9,605)	122,882	(5,907)	882,896	(15,512)
Government-sponsored enterprises	4,006,960	(76,295)	1,413,377	(93,396)	5,420,337	(169,691)
Private	931,471	(13,644)	119,462	(4,467)	1,050,933	(18,111)
Securities of U.S. states and political subdivisions:						
Municipal Bond	65,916	(557)	697	(15)	66,613	(572)
Other debt securities:						
Commercial mortgage-backed securities	92,170	(1,750)	9,550	(94)	101,720	(1,844)
Single issuer trust preferred & corporate debt securities	549,694	(9,004)	108,765	(4,334)	658,459	(13,338)
Pooled trust preferred securities	—	—	8,706	(1,228)	8,706	(1,228)
Other	50,602	(486)	239,400	(14,096)	290,002	(14,582)
Total AFS securities	\$ 10,348,155	(150,064)	2,438,965	(143,326)	12,787,120	(293,390)

For AFS securities, the credit losses standard requires us to determine whether a decline in fair value below amortized cost is due to credit-related or noncredit-related factors, such as interest rate risk, prepayment risk or liquidity risk. Credit attributable losses are recognized as an allowance in the Consolidated Statements of Financial Condition with a corresponding adjustment to current earnings; while the non-credit related component is recognized in Other comprehensive income (loss) ("OCI") net of applicable taxes. The total amount of impairment loss is limited to the difference between the security's amortized cost and fair value, i.e., the "fair value floor." Both the allowance and the adjustment to net income can be reversed if conditions change subsequently.

The total amount of AFS securities was \$18.47 billion as of September 30, 2022, among which, \$14.52 billion, or 78.6% were either U.S. Treasury or residential mortgage-backed securities (“RMBS”) or collateralized mortgage obligations (“CMO”) issued by either a U.S. Government agency or government sponsored entity (“GSE”). Historical events have shown the ability of the U.S. Government, as well as the GSEs, to honor their contractual obligations through financial crises. As a result, a zero reserve was applied since we do not believe the decline in fair value for these securities would be attributable to credit related factors. Therefore, changes in fair value for these securities for the period ended September 30, 2022 were recognized in OCI, net of taxes. We continue to evaluate this assumption on a quarterly basis when considering the potential for credit risk throughout the entire AFS portfolio.

The remaining \$3.95 billion of AFS securities includes primarily private CMO, trust preferred and corporate debt securities which are subject to credit risks. In evaluating whether a reserve for potential credit losses is required for these securities, we follow a three step impairment analysis.

The first step is to determine whether the security’s fair value is less than its carrying amount. If it is, the second step is to determine whether we intend to sell the security or if it is more likely than not (“MLTN”) we will be required to sell the security before it recovers its value. If either is true, the unrealized loss will be charged through earnings. Any existing allowance for credit losses is considered and written off first and the amortized cost basis is written down to the security’s fair value with any incremental impairment reported in earnings.

If there is no intent to sell the security and it is MLTN that we will not be required to sell the security, the final step is to evaluate whether the unrealized loss is attributable to credit related factors. For private CMO and CMBS debt securities, this evaluation is performed at an individual security level to assess collectability considering the Voluntary Prepayment Rate, Constant Default Rate (“CDR”), and Severity (“SEV”). For Single Issuer Trust Preferred and Corporate Debt Securities, key financial information is reviewed for each borrower to consider their adequacy of capital, liquidity, and credit quality measurements as well as the industry dynamic. If it is determined that a portion of the unrealized loss is attributable to credit risk, that portion will be charged through earnings, with the establishment of an allowance for credit losses or a reserve change recorded through earnings to adjust the prior period allowance for credit loss estimate to the current period estimate.

The impairment analysis performed following the aforementioned three steps did not identify any credit risk driven unrealized losses as of September 30, 2022 and December 31, 2021. As of September 30, 2022 and December 31, 2021, there was no AFS security with an associated allowance for credit losses.

Held-to-Maturity Securities

Under the credit loss standard, all HTM securities are presumed to be exposed to credit losses immediately upon origination/acquisition and in the subsequent periods through their expected life. At the date of acquisition, the HTM security is reviewed to determine whether it has experienced a more-than-insignificant deterioration in credit quality since its original issuance date. If yes, the security will be accounted as a purchase credit deteriorated asset (“PCD”) with a balance sheet gross-up in both investments and allowance for credit losses on the date of purchase. No HTM securities were identified as a PCD as of September 30, 2022 and December 31, 2021.

We held \$7.58 billion of HTM securities as of September 30, 2022, among which, \$7.51 billion, or 99.1% were issued by the U.S. Government or guaranteed by a GSE. Given the explicit and implicit U.S. Government backing, a zero credit loss assumption is applied to all U.S. government and agency HTM securities. For the remaining \$65.3 million of non-agency HTM securities that have a risk of loss, a lifetime loss method is used to estimate the allowance for credit losses (“ACL”) based on the respective credit rating of each security at the reporting date. This approach includes applying a lifetime default rate (PD) to the carrying amount of the related security based on its respective risk rating and assuming 100% Loss Given Default (“LGD”). Specifically, the default rate used for calculating the estimated credit losses for non-agency HTM securities was a third-party historical annual corporate default rate study by credit rating.

The following table represents the amortized cost and associated risk rating of non-agency HTM securities as of September 30, 2022 by year of origination:

<i>(in thousands)</i>	2021	2015 and Prior	Total Amortized Cost
A or Above	\$ 20,000	25,475	45,475
BBB	8,000	10,986	18,986
Below BBB	—	809	809
Total (1)	\$ 28,000	37,270	65,270

(1) There were no HTM debt securities with credit risk exposure with a year of origination of 2016 thru 2020 and 2022.

An ACL is recorded to reflect the expected lifetime credit loss on these non-agency HTM securities. Subsequent favorable or adverse changes in expected cash flows are assessed at each reporting period to adjust the allowance for credit losses. If the change in expected cash flows has reduced the allowance to a level below zero, the accretable yield is adjusted on a prospective basis.

Nonaccrual & Charge-off

A debt security, either AFS or HTM, is designated as nonaccrual if the payment of interest is past due and unpaid for 30 days or more. Once a security is placed on nonaccrual, accrued interest receivable is reversed and further interest income recognition is ceased. The security will not be restored to accrual status until the security has been current on interest payments for a sustained period, i.e., a consecutive period of six months or two quarters; and the Bank expects repayment of the remaining contractual principal and interest. However, if the security continues to be in deferral status, or the Bank does not expect to collect the remaining interest payments and the contractual principal, charge-off is to be assessed. Upon charge-off, the allowance is written off and the loss represents a permanent write-down of the cost basis of the security.

As of September 30, 2022, no AFS and HTM securities were on nonaccrual status. As of December 31, 2021, one AFS security totaling \$700,000 was on nonaccrual status. For the three and nine months ended September 30, 2022 and 2021, there were no charge-offs or recoveries related to AFS and HTM securities.

The tables below present the rollforward of the allowance for credit losses on AFS securities and HTM securities for the three and nine months ended September 30, 2022:

<i>(in thousands)</i>	AFS	HTM
Three months ended September 30, 2022		
Balance at June 30, 2022	\$ —	25
Provision for (release of) credit losses	—	—
Charge-offs	—	—
Recoveries	—	—
Ending Balance at September 30, 2022	\$ —	25
Three months ended September 30, 2021		
Balance at June 30, 2021	\$ —	78
Provision for (release of) credit losses	—	23
Charge-offs	—	—
Recoveries	—	—
Ending Balance at September 30, 2021	\$ —	101

<i>(in thousands)</i>	AFS	HTM
Nine months ended September 30, 2022		
Balance at December 31, 2021	\$ —	56
Provision for (release of) credit losses	—	(31)
Charge-offs	—	—
Recoveries	—	—
Ending Balance at September 30, 2022	\$ —	25
Nine months ended September 30, 2021		
Balance at December 31, 2020	\$ 4	51
Provision for (release of) credit losses	(4)	50
Charge-offs	—	—
Recoveries	—	—
Ending Balance at September 30, 2021	\$ —	101

Gross realized gains on sales of AFS securities were zero and \$313,000 for the three and nine months ended September 30, 2022, respectively and zero for the three and nine months ended September 30, 2021. Gross realized losses on sales of AFS securities were zero and \$1.1 million for the three and nine months ended September 30, 2022, respectively and zero for the three and nine months ended September 30, 2021.

The contractual maturities of investments in AFS and HTM debt securities are summarized in the following table. Expected maturities will differ from contractual maturities since borrowers may have the right to call or prepay obligations with or without call or prepayment penalties.

(in thousands)	September 30, 2022	
	Amortized Cost	Fair Value
AVAILABLE-FOR-SALE		
Due in one year or less	\$ 123,754	122,955
Due after one year through five years	982,923	918,710
Due after five years through ten years	1,761,515	1,600,583
Due after ten years	18,132,376	15,827,523
Total available-for-sale debt securities	\$ 21,000,568	18,469,771
HELD-TO-MATURITY (1)		
Due in one year or less	\$ 7,499	7,474
Due after one year through five years	2,207,818	2,039,268
Due after five years through ten years	733,162	635,869
Due after ten years	4,628,134	4,124,163
Total held-to-maturity debt securities	\$ 7,576,613	6,806,774

(1) Amortized cost amount excludes ACL related to HTM securities of \$25,000 as of September 30, 2022.

We use securities as collateral for debtor-in-possession deposit accounts in excess of FDIC insurance limits, clients' treasury tax and loan deposits, public deposits, securities sold under agreements to repurchase and borrowings from the Federal Home Loan Bank of New York ("FHLB"). In addition, while we had no borrowings from the Federal Reserve Bank of New York ("FRB") at September 30, 2022 and December 31, 2021, we would use securities as collateral to borrow from the FRB. As of September 30, 2022 and December 31, 2021, the Bank did not have any securities pledged with the FHLB and the FRB. However, the securities held by the FHLB and the FRB as custodian totaled \$16.04 billion and \$2.13 billion, respectively, at September 30, 2022 and \$10.38 billion and \$1.76 billion, respectively, at December 31, 2021. These securities were not pledged and can be used to pledge towards future borrowings, as necessary.

5. Loans and Leases, Net

The following table summarizes our loan portfolio as of the dates indicated:

<i>(in thousands)</i>	September 30, 2022	December 31, 2021
Mortgage loans:		
Multi-family residential property	\$ 18,930,325	16,113,590
Commercial property	11,453,602	10,682,276
Acquisition, development and construction loans	1,533,990	1,514,011
1-4 family residential property	392,248	450,782
Home equity lines of credit	57,229	69,156
Total mortgage loans	32,367,394	28,829,815
Commercial & industrial loans:		
Fund banking	29,789,283	26,300,495
Specialty finance	6,381,854	5,276,337
Other commercial and industrial	5,185,387	3,689,486
PPP loans	170,396	835,743
Consumer	7,108	7,509
Total other loans	41,534,028	36,109,570
Net deferred fees and costs and other unearned income	(61,344)	(76,587)
ACLLL	(464,858)	(474,389)
Net loans	\$ 73,375,220	64,388,409

In order to manage credit quality, we view the Bank's loan portfolio by various segments and classes of loans. For commercial loans, we assign individual credit ratings ranging from 1 (lowest risk) to 9 (highest risk) as an indicator of credit quality ("credit-rated commercial loans"). These ratings are based on specific risk factors including (i) historical and projected financial results of the borrower, (ii) market conditions of the borrower's industry that may affect the borrower's future financial performance, (iii) business experience of the borrower's management, (iv) nature of the underlying collateral, if any, including the ability of the collateral to generate sources of repayment, and (v) history of the borrower's payment performance. These specific risk factors are then utilized as inputs in certain of our credit models to determine the associated allowance for credit loss. Non-rated loans generally include commercial loans with outstanding principal balances below \$100,000, overdrafts, residential mortgages, and consumer loans.

The following table summarizes our CRE loan portfolio by risk rating and year of origination as of September 30, 2022:

	2022	2021	2020	2019	2018 & Prior	Revolving Loans	Revolving Loans Converted to Term	Total
<i>(in thousands)</i>								
September 30, 2022								
Commercial loans secured by real estate:								
Multi-family residential property								
Pass (Rating 1-6)	\$5,758,643	4,412,815	3,494,975	1,148,217	3,108,693	58,175	—	17,981,518
Special Mention (Rating 7)	88,841	141,562	95,114	—	85,431	—	—	410,948
Substandard (Rating 8)	98,655	190,445	183,062	1,861	63,836	—	—	537,859
Doubtful (Rating 9)	—	—	—	—	—	—	—	—
Total multi-family residential property	\$5,946,139	4,744,822	3,773,151	1,150,078	3,257,960	58,175	—	18,930,325
Commercial property								
Pass (Rating 1-6)	\$2,800,132	2,518,078	1,714,416	786,459	2,367,513	9,722	—	10,196,320
Special Mention (Rating 7)	24,730	81,290	42,710	80,920	17,293	—	—	246,943
Substandard (Rating 8)	107,203	537,889	238,115	47,975	79,157	—	—	1,010,339
Doubtful (Rating 9)	—	—	—	—	—	—	—	—
Total commercial property	\$2,932,065	3,137,257	1,995,241	915,354	2,463,963	9,722	—	11,453,602
1-4 family residential property								
Pass (Rating 1-6)	\$ 65,473	49,568	56,209	50,108	110,285	5,572	—	337,215
Special Mention (Rating 7)	—	—	7,542	—	—	—	—	7,542
Substandard (Rating 8)	—	—	5,438	—	—	—	—	5,438
Doubtful (Rating 9)	—	—	—	—	—	—	—	—
Total 1-4 family residential property	\$ 65,473	49,568	69,189	50,108	110,285	5,572	—	350,195
Acquisition, development and construction								
Pass (Rating 1-6)	\$ 566,238	385,766	219,121	91,257	24,423	142,537	—	1,429,342
Special Mention (Rating 7)	2,000	15,295	32,550	—	1,917	—	—	51,762
Substandard (Rating 8)	29,854	19,730	2,300	—	1,002	—	—	52,886
Doubtful (Rating 9)	—	—	—	—	—	—	—	—
Total acquisition, development and construction	\$ 598,092	420,791	253,971	91,257	27,342	142,537	—	1,533,990
Total commercial loans secured by real estate	\$9,541,769	8,352,438	6,091,552	2,206,797	5,859,550	216,006	—	32,268,112
Commercial loans secured by real estate:								
Current period gross charge-offs (1)	\$ —	(1,367)	(7,603)	—	—	—	—	(8,970)
Current period recoveries (1)	—	—	—	—	—	—	—	—
Current period net charge-offs (1)	\$ —	(1,367)	(7,603)	—	—	—	—	(8,970)

(1) Excludes amounts related to loans that had a zero outstanding balance as of September 30, 2022.

The following table summarizes our C&I loan portfolio by risk rating and year of origination as of September 30, 2022:

	2022	2021	2020	2019	2018 & Prior	Revolving Loans	Revolving Loans Converted to Term	Total
<i>(in thousands)</i>								
September 30, 2022								
Commercial & industrial loans:								
Specialty finance								
Pass (Rating 1-6)	\$ 2,364,366	1,561,375	1,047,812	672,974	652,363	—	—	6,298,890
Special Mention (Rating 7)	1,696	645	3,437	10,420	12,490	—	—	28,688
Substandard (Rating 8)	1,620	4,585	3,719	29,274	15,078	—	—	54,276
Doubtful (Rating 9)	—	—	—	—	—	—	—	—
Total specialty finance	\$ 2,367,682	1,566,605	1,054,968	712,668	679,931	—	—	6,381,854
Fund banking								
Pass (Rating 1-6)	\$ 3,098	—	—	—	—	29,786,143	—	29,789,241
Special Mention (Rating 7)	—	—	—	—	—	—	—	—
Substandard (Rating 8)	—	—	—	—	—	—	—	—
Doubtful (Rating 9)	—	—	—	—	—	—	—	—
Non-rated	42	—	—	—	—	—	—	42
Total fund banking	\$ 3,140	—	—	—	—	29,786,143	—	29,789,283
Other commercial and industrial								
Pass (Rating 1-6)	\$ 1,149,227	473,554	261,032	137,493	544,714	2,479,598	4,691	5,050,309
Special Mention (Rating 7)	—	—	9,279	—	15,389	7,953	—	32,621
Substandard (Rating 8)	14,962	1,281	1,105	10,432	15,597	18,700	—	62,077
Doubtful (Rating 9)	—	—	—	—	—	—	—	—
Non-rated	37,474	673	1,064	122	225	822	—	40,380
Total other commercial and industrial	\$ 1,201,663	475,508	272,480	148,047	575,925	2,507,073	4,691	5,185,387
Paycheck Protection Program (1)								
Pass (Rating 1)	\$ —	105,726	64,670	—	—	—	—	170,396
Special Mention (Rating 7)	—	—	—	—	—	—	—	—
Substandard (Rating 8)	—	—	—	—	—	—	—	—
Doubtful (Rating 9)	—	—	—	—	—	—	—	—
Total Paycheck Protection Program	\$ —	105,726	64,670	—	—	—	—	170,396
Total commercial & industrial loans	\$ 3,572,485	2,147,839	1,392,118	860,715	1,255,856	32,293,216	4,691	41,526,920
Commercial & industrial loans:								
Current period gross charge-offs (2)	\$ —	—	—	—	—	—	—	—
Current period recoveries (2)	18	—	—	—	—	—	—	18
Current period net charge-offs (2)	\$ 18	—	—	—	—	—	—	18

(1) All PPP loans are rated 1 and there is no allowance associated with them as a result of the associated U.S. Government guarantee.

(2) Excludes amounts related to loans or leases that had a zero outstanding balance as of September 30, 2022.

The following table summarizes our CRE loan portfolio by risk rating and year of origination as of December 31, 2021:

	2021	2020	2019	2018	2017 & Prior	Revolving Loans	Revolving Loans Converted to Term	Total
<i>(in thousands)</i>								
December 31, 2021								
Commercial loans secured by real estate:								
Multi-family residential property								
Pass (Rating 1-6)	\$4,340,321	4,027,501	1,435,758	1,545,913	2,828,768	55,581	—	14,233,842
Special Mention (Rating 7)	417,157	697,718	27,121	96,960	183,840	—	—	1,422,796
Substandard (Rating 8)	226,327	127,963	57,002	—	45,660	—	—	456,952
Doubtful (Rating 9)	—	—	—	—	—	—	—	—
Total multi-family residential property	\$4,983,805	4,853,182	1,519,881	1,642,873	3,058,268	55,581	—	16,113,590
Commercial property								
Pass (Rating 1-6)	\$2,507,729	1,942,716	918,711	1,123,202	2,445,067	9,573	—	8,946,998
Special Mention (Rating 7)	313,317	293,925	85,020	24,485	88,268	—	—	805,015
Substandard (Rating 8)	486,710	304,932	56,361	39,038	43,222	—	—	930,263
Doubtful (Rating 9)	—	—	—	—	—	—	—	—
Total commercial property	\$3,307,756	2,541,573	1,060,092	1,186,725	2,576,557	9,573	—	10,682,276
1-4 family residential property								
Pass (Rating 1-6)	\$ 61,096	69,565	41,907	44,550	146,739	8,799	—	372,656
Special Mention (Rating 7)	10,236	8,102	—	—	3,507	—	—	21,845
Substandard (Rating 8)	—	—	—	—	—	—	—	—
Doubtful (Rating 9)	—	—	—	—	—	—	—	—
Total 1-4 family residential property	\$ 71,332	77,667	41,907	44,550	150,246	8,799	—	394,501
Acquisition, development and construction								
Pass (Rating 1-6)	\$ 733,880	326,202	109,202	29,081	64,825	140,978	—	1,404,168
Special Mention (Rating 7)	54,711	25,526	—	—	2,064	—	—	82,301
Substandard (Rating 8)	19,207	4,119	—	—	4,216	—	—	27,542
Doubtful (Rating 9)	—	—	—	—	—	—	—	—
Total acquisition, development and construction	\$ 807,798	355,847	109,202	29,081	71,105	140,978	—	1,514,011
Total commercial loans secured by real estate	\$9,170,691	7,828,269	2,731,082	2,903,229	5,856,176	214,931	—	28,704,378
Commercial loans secured by real estate:								
Current period gross charge-offs (1)	\$ —	(24,430)	—	—	—	—	—	(24,430)
Current period recoveries (1)	—	—	—	—	—	—	—	—
Current period net charge-offs (1)	\$ —	(24,430)	—	—	—	—	—	(24,430)

(1) Excludes amounts related to loans that had a zero outstanding balance as of December 31, 2021.

The following table summarizes our C&I loan portfolio by risk rating and year of origination as of December 31, 2021:

	2021	2020	2019	2018	2017 & Prior	Revolving Loans	Revolving Loans Converted to Term	Total
<i>(in thousands)</i>								
December 31, 2021								
Commercial & industrial loans:								
Specialty finance								
Pass (Rating 1-6)	\$1,939,413	1,313,636	931,541	454,434	467,102	—	—	5,106,126
Special Mention (Rating 7)	329	5,142	6,988	6,175	5,021	—	—	23,655
Substandard (Rating 8)	5,604	23,444	52,228	25,159	40,121	—	—	146,556
Doubtful (Rating 9)	—	—	—	—	—	—	—	—
Total specialty finance	\$1,945,346	1,342,222	990,757	485,768	512,244	—	—	5,276,337
Fund banking								
Pass (Rating 1-6)	\$ 109,158	—	—	—	—	26,191,337	—	26,300,495
Special Mention (Rating 7)	—	—	—	—	—	—	—	—
Substandard (Rating 8)	—	—	—	—	—	—	—	—
Doubtful (Rating 9)	—	—	—	—	—	—	—	—
Total fund banking	\$ 109,158	—	—	—	—	26,191,337	—	26,300,495
Other commercial and industrial:								
Pass (Rating 1-6)	\$ 724,559	371,170	184,072	262,911	474,296	1,499,062	3,873	3,519,943
Special Mention (Rating 7)	18,558	10,623	6,000	5,684	15,558	5,495	—	61,918
Substandard (Rating 8)	1,518	12,239	8,002	64	17,723	26,470	—	66,016
Doubtful (Rating 9)	—	—	—	—	—	—	—	—
Non-rated	38,255	1,472	336	221	125	1,200	—	41,609
Total other commercial and industrial	\$ 782,890	395,504	198,410	268,880	507,702	1,532,227	3,873	3,689,486
Paycheck Protection Program (1)								
Pass (Rating 1)	\$ 587,166	248,577	—	—	—	—	—	835,743
Special Mention (Rating 7)	—	—	—	—	—	—	—	—
Substandard (Rating 8)	—	—	—	—	—	—	—	—
Doubtful (Rating 9)	—	—	—	—	—	—	—	—
Total Paycheck Protection Program	\$ 587,166	248,577	—	—	—	—	—	835,743
Total commercial & industrial loans	\$3,424,560	1,986,303	1,189,167	754,648	1,019,946	27,723,564	3,873	36,102,061
Commercial & industrial loans:								
Current period gross charge-offs (2)	\$ (300)	(14)	(1,198)	(240)	—	—	—	(1,752)
Current period recoveries (2)	—	—	—	—	—	—	—	—
Current period net charge-offs (2)	\$ (300)	(14)	(1,198)	(240)	—	—	—	(1,752)

(1) All PPP loans are rated 1 and there is no allowance associated with them as a result of the associated U.S. Government guarantee.

(2) Excludes amounts related to loans or leases that had a zero outstanding balance as of December 31, 2021.

For consumer loans, including residential mortgages and home equity lines of credit, we consider the borrower's payment history and current payment performance as leading indicators of credit quality. Effective January 2016, we no longer originate personal residential mortgages and home equity lines of credit, though we continue to service the existing portfolios. A consumer loan is considered nonperforming generally when it becomes 90 days delinquent based on contractual terms, at which time the accrual of interest income is discontinued. In the case of residential mortgages and home equity lines of credit, exceptions may be made if the loan has sufficient collateral value, based on a current appraisal, and is in process of collection.

The following table summarizes the delinquency and accrual status of our loan portfolio, excluding loans held for sale, as of the dates indicated:

<i>(in thousands)</i>	Past Due 30-89 Days (1)	Past Due 90+ Days (1)	Total Past Due (1)	Current	Total Loans	Loans Past Due 90+ Days & Accruing	Non- accruing Loans
September 30, 2022							
Commercial loans							
Loans secured by real estate:							
Multi-family residential property	\$ 39,821	10	39,831	18,890,494	18,930,325	10	39,486
Commercial property	36,978	15,417	52,395	11,401,207	11,453,602	—	122,953
1-4 family residential property	—	—	—	350,195	350,195	—	—
Acquisition, development and construction loans	—	7,300	7,300	1,526,690	1,533,990	7,300	—
Commercial & industrial loans:							
Specialty finance	7,518	794	8,312	6,373,542	6,381,854	8	7,772
Fund banking	28,404	7,425	35,829	29,753,454	29,789,283	7,425	—
Commercial and industrial	13,366	21,658	35,024	5,320,759	5,355,783	14,793	9,620
Consumer loans							
Residential mortgages	268	1,956	2,224	39,829	42,053	—	2,832
Home equity lines of credit	809	1,102	1,911	55,318	57,229	—	2,637
Consumer loans	747	—	747	6,361	7,108	—	—
Total	\$ 127,911	55,662	183,573	73,717,849	73,901,422	29,536	185,300
December 31, 2021							
Commercial loans							
Loans secured by real estate:							
Multi-family residential property	\$ 8,865	30,151	39,016	16,074,574	16,113,590	105	30,046
Commercial property	26,217	15,272	41,489	10,640,787	10,682,276	—	160,017
1-4 family residential property	—	—	—	394,501	394,501	—	—
Acquisition, development and construction loans	20,280	2,300	22,580	1,491,431	1,514,011	2,300	—
Commercial & industrial loans:							
Specialty finance	5,730	3,836	9,566	5,266,771	5,276,337	—	14,721
Fund banking	30,386	—	30,386	26,270,109	26,300,495	—	—
Commercial and industrial	8,264	5,490	13,754	4,511,475	4,525,229	673	6,590
Consumer loans							
Residential mortgages	1,565	66	1,631	54,650	56,281	—	3,347
Home equity lines of credit	—	—	—	69,156	69,156	—	3,574
Consumer loans	841	—	841	6,668	7,509	—	—
Total	\$ 102,148	57,115	159,263	64,780,122	64,939,385	3,078	218,295

(1) Includes nonaccrual loans. As of September 30, 2022, excluding nonaccrual loans, our 30-89 day past due loans totaled \$68.8 million and loans past due 90 days or more totaled \$33.7 million.

Nonaccrual loans at September 30, 2022 and December 31, 2021 totaled \$185.3 million and \$218.3 million, respectively. The decrease in nonaccrual loans was primarily attributable to the charge-off of two retail commercial property loans totaling \$44.5 million, and the sale of three multi-family loans totaling \$30.0 million. The decrease was also attributable to certain commercial property and Specialty Finance loans returning to accrual status totaling \$15.8 million and \$5.6 million, respectively. The decrease in nonaccrual loans was partially offset by the addition of four multi-family loans totaling \$39.5 million, four commercial property loans totaling \$29.6 million, and six commercial and industrial loans totaling \$5.4 million.

There were no commitments at September 30, 2022 to lend additional funds on nonaccrual loans, except for a \$7.5 million letter of credit that was issued in 2018 to a borrower that has a loan that was newly designated as nonaccrual during the current quarter. For further discussion, see Allowance for Credit Losses footnote to our Consolidated Financial Statements.

As of September 30, 2022, our 30-89 day past due and accruing loans decreased by \$28.7 million, or 29% to \$68.8 million, when compared to December 31, 2021.

As of September 30, 2022, loans past due 90 days or more and still accruing totaled \$33.7 million, including \$4.2 million of government-guaranteed SBA loans and two ADC loans totaling \$2.3 million that were well secured and in process of collection.

As of September 30, 2022 and December 31, 2021, the Bank held residential consumer mortgage loans in the process of foreclosure of \$2.5 million and \$4.5 million, respectively. The COVID-19 foreclosure suspension was lifted on January 15, 2022 and we resumed our outstanding foreclosure processes beginning the first quarter of 2022. The Bank did not hold any foreclosed residential real estate at September 30, 2022 or December 31, 2021.

Other repossessed assets that principally consist of taxi medallions totaled \$1.6 million and \$5.7 million as of September 30, 2022 and December 31, 2021, respectively.

As of September 30, 2022 and December 31, 2021, the Bank had pledged \$10.96 billion and \$8.13 billion, respectively, of commercial real estate loans through a blanket assignment to secure borrowings from the Federal Home Loan Bank ("FHLB") to meet collateral requirements of \$3.33 billion and \$3.92 billion, respectively, on FHLB borrowings.

Commercial loans (including commercial and industrial loans and loans to commercial borrowers that are secured by real estate) constitute a substantial portion of our loan portfolio. Substantially all of the real estate collateral for the loans in our portfolio is located within the New York metropolitan area. As a result, our financial condition and results of operations may be affected by changes in the economy and the real estate market of the New York metropolitan area. A prolonged period of economic recession or other adverse economic conditions in the New York metropolitan area, such as implications from the COVID-19 pandemic, may result in an increase in nonpayment of loans, a decrease in collateral value, and an increase in our ACLLL.

6. Allowance for Credit Losses

The table below presents a breakdown of our ACL by financial instrument type as of the dates indicated:

<i>(in thousands)</i>	September 30, 2022	December 31, 2021
ACL related to loans and leases	\$ 464,858	474,389
ACL related to unfunded commitments	6,712	8,014
ACL related to accrued interest receivable (1)	454	2,558
ACL related to HTM debt securities (2)	25	56
Total ACL	\$ 472,049	485,017

(1) Included in Accrued interest and dividends receivable in the consolidated statements of financial condition. See below for further discussion.

(2) Amount represents ACL related to investment securities. See Securities footnote for further discussion.

The tables below present a summary by loan portfolio segment of our ACL for loans and leases (ACL_{LL}), loan loss experience, and provision for credit losses for loans and leases for the periods indicated:

	Credit-rated loans			Non-rated loans			
	Commercial Real Estate	1-4 Family Residential Property	Commercial & Industrial	Commercial	Residential Mortgages	Consumer	Total
(in thousands)							
Three months ended September 30, 2022							
Beginning balance - ACLLL	\$ 331,373	6,051	100,685	4,249	2,965	642	445,965
Provision (Release)	20,660	758	6,457	(393)	1,488	150	29,120
Charge-offs	(9,416)	(303)	(519)	(102)	(1,286)	(37)	(11,663)
Recoveries	273	—	1,101	40	15	7	1,436
Ending balance - ACLLL	\$ 342,890	6,506	107,724	3,794	3,182	762	464,858
Three months ended September 30, 2021							
Beginning balance - ACLLL	\$ 412,932	8,968	82,540	5,077	4,723	554	514,794
Provision (Release)	4,227	(2,044)	3,786	(1,711)	(964)	90	3,384
Charge-offs	(14,886)	—	(4,432)	(102)	—	(24)	(19,444)
Recoveries	22	—	2,026	53	19	8	2,128
Ending balance - ACLLL	\$ 402,295	6,924	83,920	3,317	3,778	628	500,862

	Credit-rated loans			Non-rated loans			
(in thousands)	Commercial Real Estate	1-4 Family Residential Property	Commercial & Industrial	Commercial	Residential Mortgages	Consumer	Total
Nine months ended September 30, 2022							
Beginning balance - ACLLL	\$ 369,763	6,300	90,002	3,932	3,595	797	474,389
Provision (Release)	19,923	509	16,506	(177)	1,404	(20)	38,145
Charge-offs	(49,680)	(303)	(2,141)	(131)	(1,926)	(59)	(54,240)
Recoveries	2,884	—	3,357	170	109	44	6,564
Ending balance - ACLLL	\$ 342,890	6,506	107,724	3,794	3,182	762	464,858
Nine months ended September 30, 2021							
Beginning balance - ACLLL	\$ 407,956	13,137	77,186	4,785	4,557	678	508,299
Provision (Release)	34,084	(5,352)	16,475	(1,281)	(803)	(46)	43,077
Charge-offs	(39,821)	(861)	(14,537)	(372)	—	(44)	(55,635)
Recoveries	76	—	4,796	185	24	40	5,121
Ending balance - ACLLL	\$ 402,295	6,924	83,920	3,317	3,778	628	500,862

For the three months ended September 30, 2022, the ACLLL increased \$18.9 million, or 4.2% which was primarily attributable to a deteriorating macroeconomic forecast, slower forecasted GDP growth, higher unemployment rate forecasts, persisting inflation, higher interest rates due to the Federal Reserve's frequent rate hikes, and forecasted widening credit spreads which impacted reserves in both our commercial real estate portfolio and commercial and industrial portfolio (excluding fund banking). For the nine months ended September 30, 2022, the ACLLL decreased \$9.5 million, or 2.0%. The decrease was predominantly due to the release of specific reserves covering charge-offs related to certain retail commercial property loans totaling \$44.5 million. The decline is further attributable to the continued recovery and improving forecast in the NYC multi-family sector. Partially offsetting these declines are reserve increases due to the aforementioned impact of the deterioration in the overall macroeconomic forecast, as well as updated and declined net operating income metrics in our commercial property portfolio throughout 2022.

Our current forecast as of September 30, 2022 exhibits a more pessimistic outlook for unemployment and Gross Domestic Product ("GDP") growth for the reasonable and supportable period, as compared to the second quarter of 2022. Unemployment is forecasted at approximately 4.0% through 2024 and GDP is projected under 1% throughout 2023 and approximately 1.9% for 2024. The slower GDP forecast is largely attributable to inflation pressure, the accelerated rising interest environment, the potential impact of the Russian and Ukraine conflict, as well as concerns of a potential recession. These factors also lead to the forecasted widening of credit spreads, which impact reserves associated with our commercial and industrial portfolio (excluding fund banking). The forecast also incorporates several additional anticipated interest rate hikes by the Federal Reserve during the fourth quarter of 2022 and the first quarter of 2023. The multi-family price index forecast includes the expectation for continued recovery and positive performance in 2022 and 2023. Whereas, the commercial property price index forecast, which remains relatively unchanged compared to the second quarter of 2022, indicates pressure in the asset class will continue through 2025 before recovery begins. Any changes in the forecast for the multifamily and commercial property price index, interest rates, unemployment, GDP, credit spreads, the Russian and Ukraine conflict or any changes in our borrowers' debt service coverage ratios, could have a significant impact on our provision levels in the future.

The following table presents our ACLLL and outstanding balances by loan portfolio segment:

	Credit-rated loans			Non-rated loans			
(in thousands)	Commercial Real Estate	1-4 Family Residential Property	Commercial & Industrial	Commercial	Residential Mortgages (1)	Consumer	Total
As of September 30, 2022							
ACLLL:							
Individually evaluated for impairment (2)	\$ 17,980	—	11,213	—	1,226	—	30,419
Collectively evaluated for impairment	324,911	6,506	96,510	3,794	1,956	762	434,439
Recorded investment in loans:							
Individually evaluated for impairment (2)	489,707	—	48,019	—	5,468	—	543,194
Collectively evaluated for impairment	\$31,428,210	350,195	41,438,521	40,380	93,813	7,108	73,358,227
As of December 31, 2021							
ACLLL:							
Individually evaluated for impairment (2)	\$ 55,703	—	11,763	5	1,741	—	69,212
Collectively evaluated for impairment	314,060	6,300	78,239	3,927	1,854	797	405,177
Recorded investment in loans:							
Individually evaluated for impairment (2)	480,372	—	54,410	27	6,921	—	541,730
Collectively evaluated for impairment	\$27,829,504	394,501	36,006,043	41,581	118,517	7,509	64,397,655

(1) Includes home equity lines of credit.

(2) Includes reasonably expected TDRs, if any.

A loan is individually evaluated for impairment if it does not share similar risk characteristics with other loans that also have an asset specific risk exposure. This includes modified or reasonably expected to be modified in a TDR, collateral-dependent loans, as well as, risk-rated loans that have been placed on nonaccrual status. In determining whether a loan is individually assessed for impairment, we review the payment performance and we consider a loan to be impaired once it is placed on nonaccrual status. A loan may also be individually evaluated for impairment if it is past due and is not well-secured and in the process of collection. In years subsequent to the TDR designation, we do not consider the restructured loan for individual assessment if it was restructured at a market rate and continues to perform in accordance with the modified terms for a sustained period. Other TDRs, however, are reported as such for as long as the loan remains outstanding.

To encourage institutions to work with impacted borrowers during the COVID-19 pandemic, the Coronavirus Aid, Relief, and Economic Security ("CARES") Act provided relief from TDR accounting in 2020 and 2021. The reliefs included that loans modified as a result of COVID-19 that were current as of December 31, 2019 were exempt from TDR classification under US GAAP. Additionally, banking regulatory agencies issued interagency guidance that COVID-19 related short-term modifications (i.e., six months or less) granted to borrowers that were current as of the loan modification program implementation date were not TDRs. For past due status, the CARES Act also provided relief for lenders to continue to report loans in the same delinquency status they were in at the time of modification. The aforementioned reliefs provided under the CARES Act guidance and banking regulatory agencies were applied from March 1, 2020 through December 31, 2021 when they expired on January 1, 2022.

From early 2020 through December 31, 2021, we received payment relief requests and provided certain borrowers with full payment deferral, whereas others who were initially provided a three to six month deferral either returned to pay in full, or exited the full payment deferral period and entered into a modified interest-only payment structure.

As of September 30, 2022, the Bank had zero outstanding non-payment deferrals, compared with non-payment deferrals of \$8.3 million, or 0.01% of total loans, at December 31, 2021. Additionally, as of September 30, 2022, \$657.1 million, or 0.89% of total loans, is comprised of modified principal and interest payments, predominantly interest-only structures. This compares to the modified principal and interest payments of \$1.88 billion, or 2.9% of total loans at December 31, 2021.

Generally, we elect not to measure an ACL on accrued interest receivable ("AIR") because we write-off (or reverse) the uncollectible accrued interest receivable balance in a timely manner when the related loan is placed on nonaccrual status. However, due to the uncertainty of the impact of the pandemic on certain borrowers, we reserved \$454,000 primarily on outstanding COVID-19 deferred AIR of \$7.9 million as of September 30, 2022 and \$2.6 million on outstanding COVID-19 deferred AIR of \$77.1 million as of December 31, 2021.

The following table summarizes the recorded investment, unpaid principal balance, and related allowance for our nonaccrual loans as of the dates indicated:

	September 30, 2022				September 30, 2021			
(in thousands)	Unpaid Principal Balance	Recorded Investment	Related Allowance	Average Carrying Value	Unpaid Principal Balance	Recorded Investment	Related Allowance	Average Carrying Value
With no related allowance recorded:								
Commercial loans secured by real estate:								
Commercial property	\$ 195,095	97,430	—	79,080	101,774	72,356	—	35,798
Multi-family residential property	28,816	24,311	—	13,589	29,400	22,710	—	6,714
Commercial and industrial loans	—	—	—	—	10,694	6,913	—	8,780
With an allowance recorded:								
Commercial loans secured by real estate:								
Commercial property	33,553	25,523	6,121	61,698	38,737	36,222	10,451	61,979
Multi-family residential property	18,509	15,175	4,474	11,322	—	—	—	—
Commercial and industrial loans	18,150	17,392	3,478	13,910	21,042	19,950	5,815	18,386
Residential mortgages	2,889	2,832	566	2,887	3,680	3,362	672	2,290
Home equity lines of credit	2,637	2,637	659	3,342	3,913	3,871	1,161	3,629
Total:								
Commercial loans secured by real estate	275,973	162,439	10,595	165,689	169,911	131,288	10,451	104,491
Commercial and industrial loans	18,150	17,392	3,478	13,910	31,736	26,863	5,815	27,166
Residential mortgages	2,889	2,832	566	2,887	3,680	3,362	672	2,290
Home equity lines of credit	2,637	2,637	659	3,342	3,913	3,871	1,161	3,629
Total nonaccrual loans (1)	\$ 299,649	185,300	15,298	185,828	209,240	165,384	18,099	137,576

(1) There was one residential 1-4 family nonaccrual loan accounted for on cash basis, recognizing interest income totaling \$1,000, for the nine months ended September 30, 2022. For the nine months ended September 30, 2021, there were no nonaccrual loans accounted for on cash basis, so no interest income was recognized during this period.

For economic reasons and to maximize the recovery of loans, we may work with borrowers experiencing financial difficulties, and will consider modifications to a borrower's existing loan terms and conditions that we would not otherwise consider, commonly referred to as TDRs. Our TDRs consist of those loans where we modify the contractual terms of the loan, such as (i) a deferral of the loan's principal amortization through either interest-only or reduced principal payments, (ii) a reduction in the loan's contractual interest rate, (iii) principal forgiveness or (iv) an extension of the loan's contractual term. In response to the COVID-19 pandemic, the CARES Act and banking regulatory agencies provided relief from TDR accounting for modifications and borrowers that met certain conditions. We applied this guidance from March 1, 2020 through December 31, 2021 and discontinued it when the CARES Act guidance expired on January 1, 2022.

The following table presents loans that were classified as TDRs during the three and nine months ended September 30, 2022 and 2021. The pre-modification balances represents the recorded investment immediately prior to modification, and the post-modification balances represent the recorded investment as of the dates indicated:

	Three months ended September 30, 2022			Three months ended September 30, 2021		
(dollars in thousands)	Number of Loans	Pre-Modification Balance	Post-Modification Balance	Number of Loans	Pre-Modification Balance	Post-Modification Balance
Commercial loans secured by real estate:						
Commercial property	1	\$ 3,957	3,957	1	\$ 60,295	60,295
Multi-family residential property	3	32,341	32,341	3	12,838	12,838
Commercial and industrial loans:						
Other commercial and industrial	1	2,116	2,116	—	—	—
Specialty finance	—	—	—	5	1,681	1,681
Total (1)	5	\$38,414	\$38,414	9	\$ 74,814	74,814

(1) Excludes reasonably expected TDRs.

	Nine months ended September 30, 2022			Nine months ended September 30, 2021		
(dollars in thousands)	Number of Loans	Pre-Modification Balance	Post-Modification Balance	Number of Loans	Pre-Modification Balance	Post-Modification Balance
Commercial loans secured by real estate:						
Commercial property	1	\$ 3,957	3,957	6	\$ 88,575	87,965
Multi-family residential property	3	32,341	32,341	3	12,838	12,838
Commercial and industrial loans:						
Other commercial and industrial	1	2,116	2,116	2	990	903
Specialty finance	—	—	—	15	6,807	6,603
Total (1)	5	38,414	38,414	26	\$ 109,210	108,309

(1) Excludes reasonably expected TDRs.

The following tables summarize how TDR loans recorded during three and nine months ended September 30, 2022 and 2021 were modified:

(in thousands)	Term Extension	Term Extension with Other Concession (1)	Deferred Principal Amortization	Principal Amortization with Other Concession (1)	Total
Three months ended September 30, 2022					
Commercial loans secured by real estate:					
Multifamily residential property	\$ —	32,253	—	—	32,253
Commercial Property	—	—	3,957	—	3,957
Commercial and industrial loans:					
Other commercial and industrial	2,116	—	—	—	2,116
Total (2)	\$ 2,116	32,253	3,957	—	38,326
Three months ended September 30, 2021					
Commercial loans secured by real estate:					
Commercial property	\$ —	60,295	—	—	60,295
Multifamily residential property	—	12,838	—	—	12,838
Commercial and industrial loans:					
Specialty finance	1,681	—	—	—	1,681
Total (2)	\$ 1,681	73,133	—	—	74,814

(1) Other concessions may include a reduction of the loan's interest rate, principal forgiveness and/or a term extension.

(2) Excludes reasonably expected TDRs.

<i>(in thousands)</i>	Term Extension	Term Extension with Other Concession (1)	Deferred Principal Amortization	Deferred Principal Amortization with Other Concession (1)	Total
Nine months ended September 30, 2022					
Commercial loans secured by real estate:					
Commercial property	\$ —	—	3,957	—	3,957
Multifamily residential property	—	32,253	—	—	32,253
Commercial and industrial loans:					
Other Commercial and industrial	2,116	—	—	—	2,116
Specialty finance	—	—	—	—	—
Total	\$ 2,116	32,253	3,957	—	38,326
Nine months ended September 30, 2021					
Commercial loans secured by real estate:					
Commercial property	\$ —	60,295	27,670	—	87,965
Multifamily residential property	—	12,838	—	—	12,838
Commercial and industrial loans:					
Other Commercial and industrial	—	—	603	300	903
Specialty finance	1,681	—	4,922	—	6,603
Total	\$ 1,681	73,133	33,195	300	108,309

(1) Other concessions may include a reduction of the loan's interest rate, principal forgiveness and/or a term extension.

(2) Excludes reasonably expected TDRs.

As of September 30, 2022 and December 31, 2021, our ACLLL for TDRs (including reasonably expected TDRs) totaled \$16.7 million and \$65.9 million, respectively. There were no loans that were modified as a TDR within the previous 12 months that subsequently defaulted on payments as of September 30, 2022. There were two commercial and industrial loans totaling \$849,000 that were modified as a TDR within the previous 12 months that subsequently defaulted on payments as of December 31, 2021.

As of September 30, 2022, we have provided certain borrowers with principal and interest, or interest-only, payment deferrals due to the impact of COVID-19. In accordance with the guidance from the CARES Act and interagency guidance issued by banking regulatory agencies, loans modified between March 1, 2020 and December 31, 2021 and meeting the applicable criteria had not been classified as TDRs. For past due status, the CARES Act also provided relief for lenders to continue to report loans in the same delinquency status they were in at the time of modification. This guidance was applied to from March 1, 2020 through December 31, 2021 and discontinued when the CARES Act guidance expired on January 1, 2022. Due to the expiration of the CARES Act, we reported loans based on their actual delinquency status as of September 30, 2022 regardless of its delinquency status at the time of modification.

7. Deposits

The types of deposits are summarized as follows as of the dates indicated:

<i>(in thousands)</i>		September 30, 2022	December 31, 2021
Non-interest-bearing demand	\$	37,358,603	44,065,003
NOW and interest-bearing demand		23,090,322	17,147,840
Money market		38,123,594	42,142,651
Time deposits		1,791,310	1,532,321
Brokered deposits (1)		2,411,685	1,244,979
Total deposits	\$	102,775,514	106,132,794

(1) Includes non-interest bearing deposits of \$16.8 million and \$298.2 million as of September 30, 2022 and December 31, 2021, respectively.

8. Repurchase Agreements

As of September 30, 2022 and December 31, 2021, we had repurchase agreements with brokers accounted for as secured borrowings totaling \$150.0 million, among which \$100.0 million was expected to mature in August 2025 and the remaining \$50.0 million was expected to mature in August 2026, respectively.

Collateral for these types of transactions typically consists of government agency and government-sponsored enterprise securities. Securities collateralizing these agreements are classified as Securities available-for-sale or Securities held-to-maturity in the Consolidated Statements of Financial Condition. The amount of excess collateral required is governed by each individual contract. The primary risk associated with these repurchase agreements is the requirement to pledge a balance of market value based collateral in excess of the borrowed amount. The excess collateral pledged represents an unsecured exposure to the lending counterparty. As the market value of the collateral changes, additional collateral may need to be pledged. In accordance with our policies, eligible counterparties are defined and monitored to minimize exposure. As of September 30, 2022, all repurchase agreements were collateralized with government-sponsored enterprise securities.

9. Preferred Stock

On December 17, 2020, the Bank issued 5.00% Noncumulative Perpetual Series A Preferred Stock. Net proceeds, after underwriting discounts and expenses, were approximately \$708.0 million. The public offering consisted of 29,200,000 depository shares, each representing a 1/40th interest in a share of the Series A Preferred Stock, at a public offering price of \$25.00 per depository share. The Series A Preferred Stock is redeemable at the option of the Bank, subject to all applicable regulatory approvals, on or after December 30, 2025. At September 30, 2022, the Bank was authorized to issue 61,000,000 shares of preferred stock, par value \$0.01 per share, of which, 730,000 shares were issued and outstanding. Each share of preferred stock has a liquidation preference of \$1,000.

Dividends on shares of the Series A Preferred Stock are non-mandatory and noncumulative. Dividend payment dates are the 30th day of March, June, September and December of each year, commencing on March 30, 2021. During the three months ended September 30, 2022 and 2021, the Bank paid a quarterly cash dividend of \$9.1 million, or \$12.50 per share to preferred shareholders. For the nine months ended September 30, 2022, the Bank paid a cash dividend of \$27.4 million, or \$37.50 per share to preferred shareholders. For the nine months ended September 30, 2021, we paid a cash dividend of \$28.8 million, or \$39.40 per share, to preferred shareholders, including the dividend period from the issuance date through the third quarter of 2021.

The Bank also declared a cash dividend of \$12.50 per share payable on or after December 30, 2022 to preferred shareholders of record at the close of business on December 16, 2022.

10. Equity Incentive Plan

We have an equity incentive plan designed to assist us in attracting, retaining and motivating officers, employees, directors and/or consultants and to provide us and our subsidiaries and affiliates with incentives directly related to increases in our shareholder value. Activity related to the equity incentive plan for the three and nine months ended September 30, 2022 is summarized as follows:

	<i>Three months ended September 30, 2022</i>	<i>Nine months ended September 30, 2022</i>
Shares available for future awards at beginning of period (1)	1,799,955	1,901,948
Restricted stock		
Granted	(1,690)	(244,875)
Forfeited	3,015	11,399
Shares sold to cover minimum tax withholding upon vesting	56	132,864
Shares available for future awards at end of period	1,801,336	1,801,336

(1) Includes the additional 1,225,000 shares approved by the Bank's shareholders at the 2021 Annual Shareholders' Meeting.

Restricted Stock

The following table summarizes information regarding outstanding grants of restricted stock for the three and nine months ended September 30, 2022:

	<i>Three months ended September 30, 2022</i>		<i>Nine months ended September 30, 2022</i>	
	Shares	Weighted Average Grant Price	Shares	Weighted Average Grant Price
Outstanding at beginning of period	624,096	\$ 215.38	726,752	\$ 141.44
Granted	1,690	184.99	244,875	317.05
Vested	(70)	242.96	(337,527)	129.90
Forfeited	(3,015)	224.74	(11,399)	183.58
Outstanding at end of period	622,701	221.50	622,701	221.50

As of September 30, 2022, our total unrecognized compensation cost related to unvested restricted shares was \$96.4 million which is expected to be recognized over a weighted-average period of 1.53 years. During the three and nine months ended September 30, 2022, we recognized compensation expense of \$15.1 million and \$43.7 million, respectively for restricted shares. The total fair value of restricted shares that vested during the three and nine months ended September 30, 2022 was eight thousand and \$108.4 million, respectively.

11. Accumulated Other Comprehensive Loss

The following tables presents information regarding items reclassified out of Accumulated Other Comprehensive Loss ("AOCL") during the three and nine months ended September 30, 2022 and 2021:

(in thousands)	Three months ended September 30, 2022		Three months ended September 30, 2021	
	Amount Reclassified Out of AOCL		Amount Reclassified Out of AOCL	Affected Line Item in the Consolidated Statement of Income
Details About AOCL				
Net unrealized gains (losses) on derivatives (cash flow hedges)				
Reclassifications, before tax	\$	(774)	9,985	Interest expense - FHLB borrowings
Reclassifications, before tax		(21,205)	—	Interest income - loans and leases
		6,060	(3,051)	Income tax (expense)/benefit
Total reclassifications, net of tax	\$	(15,919)	6,934	

(in thousands)	Nine months ended September 30, 2022		Nine months ended September 30, 2021	
	Amount Reclassified Out of AOCL		Amount Reclassified Out of AOCL	Affected Line Item in the Consolidated Statement of Income
Details About AOCL				
Net unrealized losses on AFS securities				
Total reclassifications, before tax	\$	(816)	—	Net losses on sales of securities
		229	—	Income tax (expense)/benefit
Total reclassifications, net of tax	\$	(587)	—	
Net unrealized gains (losses) on derivatives (cash flow hedges)				
Reclassifications, before tax	\$	(16,210)	29,347	Interest expense - FHLB borrowings
Reclassifications, before tax		(9,199)	—	Interest income - loans and leases
		7,028	(8,789)	Income tax (expense)/benefit
Total reclassifications, net of tax	\$	(18,381)	20,558	

The following table presents changes in AOCL, net of tax, for the three and nine months ended September 30, 2022 and 2021:

(in thousands)	AFS Securities	HTM Securities Transferred from AFS	Cash Flow Hedges	Total
Three months ended September 30, 2022				
Balance at June 30, 2022	\$ (1,198,992)	(3,906)	(177,728)	(1,380,626)
Net change in unrealized gain (loss)	(620,683)	—	(65,952)	(686,635)
Amortization of net unrealized loss on securities transferred to HTM	—	287	—	287
Amounts reclassified out of AOCL	—	—	15,919	15,919
Net current period other comprehensive income (loss)	(620,683)	287	(50,033)	(670,429)
Balance at September 30, 2022	\$ (1,819,675)	(3,619)	(227,761)	(2,051,055)
Three months ended September 30, 2021				
Balance at June 30, 2021	\$ (54,292)	(4,314)	(53,283)	(111,889)
Net change in unrealized gain (loss)	(37,353)	—	(636)	(37,989)
Amortization of net unrealized loss on securities transferred to HTM	—	218	—	218
Amounts reclassified out of AOCL	—	—	6,934	6,934
Net current period other comprehensive income	(37,353)	218	6,298	(30,837)
Balance at September 30, 2021	\$ (91,645)	(4,096)	(46,985)	(142,726)

<i>(in thousands)</i>	AFS Securities	HTM Securities Transferred from AFS	Cash Flow Hedges	Total
Nine months ended September 30, 2022				
Balance at December 31, 2021	\$ (170,552)	(4,146)	(47,634)	(222,332)
Net change in unrealized gain (loss)	(1,649,710)		(198,508)	(1,848,218)
Amortization of net unrealized loss on securities transferred to HTM		527		527
Amounts reclassified out of AOCL	587		18,381	18,968
Net current period other comprehensive income (loss)	(1,649,123)	527	(180,127)	(1,828,723)
Balance at September 30, 2022	\$ (1,819,675)	(3,619)	(227,761)	(2,051,055)
Nine months ended September 30, 2021				
Balance at December 31, 2020	\$ 3,481	(4,660)	(71,717)	(72,896)
Net change in unrealized gain (loss)	(95,126)	—	4,174	(90,952)
Amortization of net unrealized loss on securities transferred to HTM	—	564	—	564
Amounts reclassified out of AOCL	—	—	20,558	20,558
Net current period other comprehensive income (loss)	(95,126)	564	24,732	(69,830)
Balance at September 30, 2021	\$ (91,645)	(4,096)	(46,985)	(142,726)

The related tax effects allocated to debt securities and cash flow hedges in AOCL for the nine months ended September 30, 2022 and 2021 are as follows:

<i>(in thousands)</i>	Gross Amount	Tax Component	Net of Tax
September 30, 2022			
Unrealized loss on AFS and HTM securities (1)	\$ (2,547,339)	724,045	(1,823,294)
Unrealized loss on cash flow hedges	(316,394)	88,633	(227,761)
Balance at September 30, 2022	\$ (2,863,733)	812,678	(2,051,055)
September 30, 2021			
Unrealized gain on AFS and HTM securities (1)	\$ (153,385)	57,644	(95,741)
Unrealized loss on cash flow hedges	(66,475)	19,490	(46,985)
Balance at September 30, 2021	\$ (219,860)	77,134	(142,726)

(1) Includes amortization of net unrealized loss on securities transferred to HTM.

12. Derivative Instruments and Hedging Activities

The Company enters into derivative financial instruments to manage exposures that arise from business activities that result in the receipt or payment of future known and uncertain cash amounts, the value of which are determined by interest rates. The Company's derivative financial instruments are used to manage differences in the amount, timing, and duration of the Company's known or expected cash receipts and its known or expected cash payments principally related to the Company's floating rate borrowings and fixed/floating rate loan portfolio.

Cash Flow Hedges of Interest Rate Risk

The Company's objective in using interest rate derivatives is to add stability to interest income/expense and to manage its exposure to interest rate movements. To accomplish this objective, the Company primarily uses interest rate swaps as part of its interest rate risk management strategy. Interest rate swaps designated as cash flow hedges involve the receipt/payment of variable amounts from a counterparty in exchange for the Company making/receiving fixed-rate payments over the life of the agreements without exchange of the underlying notional amount.

For derivatives designated and that qualify as cash flow hedges of interest rate risk, the gain or loss on the derivative is recorded in Accumulated other comprehensive income (loss) and subsequently reclassified into earnings in the same period during which the hedged transaction affects earnings and is presented in the same Consolidated Statements of Income line item as the earnings effect of the hedged item.

In 2018 and 2019, the Company entered into interest rate swaps to hedge the interest rate risk in the cash flows on the hedged forecasted issuance of fixed-rate borrowings. The total notional amount associated with these cash flow hedges was \$1.25 billion as of September 30, 2022. In addition, during 2021 and 2022, the Company entered into receive-fixed interest rate swaps to hedge against the risk of variability in the cash flows on its certain variable-rate loans. The total notional amount associated with these cash flow hedges was \$6.25 billion as of September 30, 2022. Based on the Company's current plans and intentions, it is probable that the hedged forecasted transactions will occur.

The following table presents the effect of cash flow hedge accounting on Accumulated other comprehensive income (loss) during the three and nine months ended September 30, 2022 and 2021:

(in thousands)	At or for the three months ended September 30,		At or for the nine months ended September 30,	
	2022	2021	2022	2021
Amount of loss reclassified from accumulated other comprehensive loss to interest expense	\$ 774	9,985	16,210	29,347
Amount of loss reclassified from accumulated other comprehensive loss to interest income	21,205	—	9,199	—
Amount of gain (loss) recognized in other comprehensive (loss) income	(89,700)	(843)	(274,405)	5,958

Total losses included in the Consolidated Statements of Income related to interest rate derivatives designated as cash flow hedges during the three and nine months ended September 30, 2022 were \$22.0 million and \$25.4 million, respectively, compared to \$10.0 million and \$29.3 million for the same periods in the prior year. Amounts reported in Accumulated other comprehensive income (loss) related to derivatives will be reclassified to interest expense/income as interest payments are made/received on the Company's variable-rate liabilities/assets. Based upon current market conditions and interest rate environment, the Company estimates an additional \$23.5 million and \$204.0 million will be reclassified as an increase to interest expense and a decrease to interest income, respectively, over the next twelve months.

Fair Value Hedges of Interest Rate Risk

The Company is exposed to changes in the fair value of certain prepayable fixed-rate assets due to changes in benchmark interest rates. The Company uses interest rate swaps to manage its exposure to changes in fair value on these instruments attributable to changes in the designated benchmark interest rate. Interest rate swaps designated as fair value hedges involve the payment of fixed-rate amounts to a counterparty in exchange for the Company receiving variable-rate payments over the life of the agreements without the exchange of the underlying notional amount. Gain or loss on the derivative as well as the offsetting loss or gain on the hedged item attributable to the hedged risk are recognized in Interest income for Loans and leases.

In 2018, the Company entered into interest rate swaps with a total notional of \$650.0 million to hedge certain fixed-rate commercial real estate loans. During 2020 and 2021, \$200.0 million and \$250.0 million of these interest rate swaps matured, respectively. During 2022, the remaining notional amount of \$200.0 million matured. Prior to the maturity of the remaining fair value hedge transaction in the first quarter of 2022, the fixed-rate payment related to the net settlement of these interest rate swaps was in excess of the floating rate received. As such, Interest income from Loans and leases, net was reduced by zero and \$1.1 million for the three and nine months ended September 30, 2022, respectively.

As of September 30, 2022, no outstanding fair value hedge transactions remain. As of December 31, 2021, the following amounts were recorded on the balance sheet related to cumulative basis adjustments for fair value hedges.

<i>(in thousands)</i>		December 31, 2021
Line Item in the Consolidated Statement of Financial Condition in Which the Hedged Item is Included	Carrying Amount of the Hedged Assets	Cumulative Amount of Fair Value Hedging Adjustment Included in the Carrying Amount of the Hedged Assets
Loans and leases (1)	\$ 198,906	1,094

(1) These amounts include the amortized cost basis of closed portfolios of loans and leases used in designated hedging relationships in which the hedged item is the stated amount of assets in the closed portfolios anticipated to be outstanding for the designated hedge period. At December 31, 2021, the amortized cost basis of the closed portfolios used in these hedging relationships was \$309.7 million; the cumulative basis adjustments associated with these hedging relationships was \$1.1 million; and the amount of the designated hedged items was \$198.9 million.

As of September 30, 2022, the remaining fair value hedge transaction had fully matured. The effect of gain or (loss) from derivatives designated as fair value hedges on the Consolidated Statements of Income for the three and nine months ended, September 30, 2021 were as follows:

<i>(in thousands)</i>		Three months ended September 30, 2021	Nine months ended September 30, 2021
Derivative - interest rate swaps:			
Interest income	\$	1,626	(2,502)
Hedged item - loans:			
Interest income		(1,615)	2,494
Net effect on Interest income	\$	11	(8)

Non-designated Hedges

From time to time, the Bank has entered into risk participation agreements with external lenders where they are sharing their risk of default on the interest rate swaps on participated loans. We either pay or receive a fee depending on the participation type. Risk participation agreements are credit derivatives not designated as hedges. Credit derivatives are not speculative and are not used to manage interest rate risk in assets or liabilities. Changes in the fair value in credit derivatives are recognized directly in earnings.

The Bank also executes interest rate swaps with customers to facilitate their respective risk management strategies. These swaps with customers are simultaneously offset by swaps that the Bank executes with a third party, such that the Bank minimizes its net risk exposure resulting from such transactions. As the swaps associated with this program do not meet the strict hedge accounting requirements, changes in the fair value of both the customer swaps and the offsetting swaps are recognized directly in earnings.

The Bank also enters into foreign currency swaps and forwards to economically hedge our foreign currency loans. Additionally, in connection with negotiating credit facilities, we may obtain equity warrant assets giving us the right to acquire stock in private, venture-backed companies in the technology and life science/healthcare industries.

The following table presents the fair value of the Company's derivative financial instruments, as well as their classification on the Consolidated Statement of Financial Condition at September 30, 2022 and December 31, 2021, respectively:

(in thousands)	Fair Values of Derivative Instruments			
	Asset Derivatives		Liability Derivatives	
	Balance Sheet Location	Fair Value	Balance Sheet Location	Fair Value
September 30, 2022				
Derivatives designated as hedging instruments				
Interest Rate Contracts	Other Assets	\$ 379	Other Liabilities (2)	\$ 348,600
Total derivatives designated as hedging instruments		\$ 379		\$ 348,600
Derivatives not designated as hedging instruments				
Interest Rate Contracts	Other Assets	\$ 14,855	Other Liabilities	\$ 172,831
Other Contracts (1)	Other Assets	29,094	Other Liabilities	1,458
Total derivatives not designated as hedging instruments		\$ 43,949		\$ 174,289
December 31, 2021				
Derivatives designated as hedging instruments				
Interest Rate Contracts	Other Assets	\$ —	Other Liabilities (2)	\$ 19,870
Total derivatives designated as hedging instruments		\$ —		\$ 19,870
Derivatives not designated as hedging instruments				
Interest Rate Contracts	Other Assets	\$ 14,639	Other Liabilities	\$ 22,330
Other Contracts (1)	Other Assets	4,378	Other Liabilities	6,672
Total derivatives not designated as hedging instruments		\$ 19,017		\$ 29,002

(1) Other contracts include risk participation agreements, foreign exchange contracts and venture capital related equity warrants.

(2) Relates to cash flow hedges of interest rate risk with certain variable-rate loans that were executed in over-the-counter markets. As of September 30, 2022 and December 31, 2021, we had \$367.0 million and \$27.0 million in collateral pledged against these transactions, respectively.

We centrally clear our derivatives, except for certain interest rate contracts executed in over-the-counter ("OTC") markets, with our third party counterparties through the Chicago Mercantile Exchange ("CME") by posting required initial and variation margins. CME legally characterizes variation margin payments for centrally cleared derivatives as settlements of the derivatives' exposures rather than collateral. As a result, the variation margin payment and the related derivative instruments are considered a single unit of account for accounting and financial reporting purposes. The Bank's clearing agent for interest rate and derivative contracts centrally cleared through the CME settles the variation margin daily with the CME; therefore, those interest rate derivative contracts the Bank clears through the CME are reported at a fair value of approximately zero at September 30, 2022. Derivative contracts executed in OTC markets represent contracts executed bilaterally with counterparties not settled through an organized exchange or directly cleared through a central clearing house. We manage the credit risk related to OTC derivatives by entering into transactions with creditworthy counterparties and by maintaining collateral arrangements.

The following table presents the effect of derivatives not designated as hedging instruments on the Consolidated Statements of Income for the three and nine months ended September 30, 2022 and 2021:

(in thousands)		Three months ended September 30,		Nine months ended September 30,	
		2022	2021	2022	2021
Derivatives Not Designated as Hedging Instruments under Subtopic 815-20	Location of Gain or (Loss) Recognized in Income on Derivative	Amount of Gain or (Loss) Recognized in Income on Derivative		Amount of Gain or (Loss) Recognized in Income on Derivative	
Interest Rate Contracts	Other income / (expense)	\$ 1,382	1,336	7,317	1,605
Other Contracts (1)	Other income / (expense)	21,565	3,740	49,212	14,470
Total		\$ 22,947	5,076	56,528	16,075

(1) Other contracts include risk participation agreements, foreign exchange contracts and venture capital related equity warrants.

The gain related to other contracts was \$21.6 million and \$49.2 million for the three and nine months ended September 30, 2022, respectively and the loss related to other contracts was \$3.7 million and \$14.5 million for the three and nine ended September 30, 2021, respectively. These gains (losses) principally relate to income recognized on foreign currency swaps used to economically hedge our foreign currency loans. The increases in both periods were primarily driven by the appreciation of US dollar in relation to other currencies when compared to the same periods last year. When considering the related foreign currency loan revaluation, there was a net gain of \$703,000 and \$950,000 for the three and nine months ended September 30, 2022, respectively and there was a net (loss) of \$(352,000) and \$(118,000) for three and nine months ended September 30, 2021, respectively.

13. Leases

As lessee, the Bank has operating leases primarily consisting of real estate related arrangements. As lessor, all of the Bank's leases are equipment leases financed by Signature Financial ("SF"), the Bank's specialty finance subsidiary.

Lessee Leasing Arrangements

We determine if an arrangement is a lease at inception. None of our identified leases meet the criteria of financing leases as of September 30, 2022, and therefore all are accounted for as operating leases. These leases are typically long term and contain renewal options at a rate comparable to the fair market rent upon renewal. Most of our leases do not have early termination options. However, those that do have an early termination option contain varying degrees of economic penalty should the termination option be exercised.

Real estate operating leases are included in Operating lease right-of-use assets ("ROU") and Operating lease liabilities in our Consolidated Statements of Financial Condition. The ROU assets represent our right to use the underlying asset for the lease term and the lease liabilities represent our obligation to make lease payments arising from the lease. The ROU assets and liabilities are recognized at lease commencement and are primarily based on the present value of lease payments over the lease term. The Bank uses our incremental borrowing rate ("IBR") at lease commencement as the discount rate for initial measurement of the lease liability. The IBR is the interest rate the Bank would have to pay to borrow on a collateralized basis over a similar term and for an amount equal to the lease payments in a similar economic environment.

Lease expense is recognized on a straight-line basis over the lease term including contracts with outstanding landlord provided lease incentives as of lease commencement date. For these leases, the monthly straight-line expense is reduced ratably by the amount of lease incentives over the term of the lease. As the Bank elected the practical expedient to not separate non-lease and associated lease components as lessee, to the extent that an operating lease has both lease and non-lease components, they are combined and all contract consideration is allocated to the single lease component.

The following table presents our lease cost and other information related to our operating leases for the periods presented:

<i>(dollars in thousands)</i>	<i>Three months ended September 30,</i>		<i>Nine months ended September 30,</i>	
	2022	2021	2022	2021
Operating lease cost	10,047	8,903	29,414	26,809
Total lease cost	10,047	8,903	29,414	26,809
<i>Other Information</i>				
Cash paid for amounts included in the measurement of operating lease liabilities	\$ 8,854	8,762	27,192	25,187
Right-of-use assets obtained in exchange for new operating lease liabilities	\$ 4,358	97	53,684	12,222
	September 30, 2022	September 30, 2021		
Weighted-average remaining lease-term Operating leases - (in years)	10	10		
Weighted-average discount rate - operating leases	3.01 %	3.03 %		

The following table presents the remaining maturity of lease liabilities as of September 30, 2022, as well as the reconciliation of undiscounted lease payments to the discounted operating lease liabilities as recognized in the Consolidated Statements of Financial Condition:

(in thousands)

Years Ending December 31,	
2022 (excluding the nine months ended September 30, 2022) (1)	\$ 8,856
2023	40,480
2024	37,802
2025	35,673
2026	32,836
Thereafter	197,060
Total undiscounted operating lease payments	352,707
Less: present value adjustment	66,427
Operating lease liabilities	\$ 286,280

(1) Net of \$15.5 million of landlord provided lease incentives that are expected to be received in 2022.

Lessor Leasing Arrangements

Signature Financial offers a variety of financing and leasing products, including equipment, transportation, commercial marine and national franchise leasing through direct and indirect funding by leveraging our capital markets and third party funding groups and partnering with banks who own leasing companies, independent finance companies, equipment vendors and investment institutions.

The standard leases are typically repayable on a level monthly basis with terms ranging from 24 to 120 months. At the end of the lease term, the lessee usually has the option to return the equipment, to renew the lease or purchase the equipment at the then fair market value ("FMV") price or at a bargain purchase price. For leases with a FMV renewal/purchase option, the relevant residual value assumptions are based on the estimated value of the leased asset at the end of lease term, including evaluation of key factors, such as, the estimated remaining useful life of the leased asset, its historical secondary market value including history of the lessee executing the FMV option, overall credit evaluation and return provisions.

Signature Financial's strategy is to acquire the leased asset at fair market value and provide funding to the respective lessee at acquisition cost, less any volume or trade discounts, as applicable. Therefore, there is generally no selling profit or loss to recognize or defer at inception of lease. The only element of profit is from financing charges. As of September 30, 2022, Signature Financial has no equipment leases classified as operating leases. Therefore, their leases are either accounted for as sales type or direct financing leases.

The following table presents the components of lease income for the three and nine months ended September 30, 2022 and 2021:

(in thousands)	Three months ended September 30,		Nine months ended September 30,	
	2022	2021	2022	2021
Interest income on lease receivables	\$ 11,643	10,103	32,578	31,467
Interest income from accretion of unguaranteed residual assets	1,007	951	3,133	3,174
Total lease income (1)	\$ 12,650	11,054	35,712	34,641

(1) Included in Interest income - Loans and leases within the Consolidated Statements of Income.

The components of net investment in sales-type and direct financing leases, including the carrying amount of lease receivable, as well as the unguaranteed residual asset were as follows:

(in thousands)	September 30, 2022	December 31, 2021
Net investment in the lease - lease payment receivable (1)	\$ 1,203,489	1,023,082
Net investment in the lease - unguaranteed residual assets	184,285	145,284
Total net investments in leases	\$ 1,387,774	1,168,366

(1) Includes the guaranteed residual assets value of \$34.9 million and \$31.5 million as of September 30, 2022 and December 31, 2021, respectively.

The following table presents the remaining maturity analysis of the undiscounted lease receivables as of September 30, 2022, as well as the reconciliation to the total amount of receivables recognized in the Consolidated Statements of Financial Condition:

(in thousands)

Years Ending December 31,		
2022 (excluding the nine months ended September 30, 2022)	\$	101,859
2023		366,520
2024		292,074
2025		211,674
2026		139,928
Thereafter		124,851
Total undiscounted lease payments		1,236,907
Less: present value adjustment		68,351
Lease receivables recognized	\$	1,168,556

14. Segment Reporting

On an annual basis, we reevaluate our segment reporting conclusions. Based on our internal operating structure and the relative significance of the specialty finance business, we determined our operations are organized into two reportable segments representing our core businesses – Commercial Banking and Specialty Finance.

Commercial Banking consists principally of commercial real estate lending, commercial and industrial lending, fund banking, venture banking, and commercial deposit gathering activities.

Specialty Finance consists principally of financing and leasing products, including equipment, transportation, commercial marine, municipal, sustainable energy and national franchise financing and/or leasing.

Segment information is reported using a “management approach” that is based on the way management organizes the segments for purposes of making operating decisions and assessing performance.

Management’s accounting process uses various estimates and allocation methodologies to measure the performance of the segments. To determine financial performance for each segment, the Company allocates funding costs and certain non-interest expenses to each segment, as applicable. Management does not consider income tax expense when evaluating segment profitability and, therefore, it is not disclosed in the tables below. Instead, the Bank’s income tax expense is calculated and evaluated at a consolidated level.

The following table presents financial data of our reportable segments (inter-segment assets have not been eliminated):

(in thousands)	At or for the three months ended September 30,		At or for the nine months ended September 30,	
	2022	2021	2022	2021
Commercial Banking				
Interest income	\$ 935,682	518,541	2,276,002	1,474,121
Interest expense	302,363	74,844	496,441	239,468
Provision for (recovery of) credit losses	25,668	3,188	21,795	35,400
Non-interest income	42,166	29,702	111,164	82,406
Non-interest expense	214,241	171,628	595,816	483,061
Income before income taxes	\$ 435,576	298,583	1,273,114	798,598
Total assets	\$ 114,346,448	107,846,086	114,346,448	107,846,086
Specialty Finance				
Interest income	\$ 59,282	48,361	159,080	146,988
Interest expense	18,611	11,182	41,986	37,037
Provision for credit losses	3,398	797	14,214	7,765
Non-interest income	1,591	1,673	4,671	5,194
Non-interest expense	11,226	9,623	33,089	36,756
Income before income taxes	\$ 27,638	28,432	74,462	70,624
Total assets	\$ 6,767,119	5,360,257	6,767,119	5,360,257

The following table provides reconciliations of net interest income, provision for (recovery of) credit losses, non-interest income, non-interest expense, income before income taxes, and total assets for our reportable segments to the Consolidated Financial Statement totals:

(in thousands)	At or for the three months ended September 30,		At or for the nine months ended September 30,	
	2022	2021	2022	2021
Net interest income:				
Commercial Banking	\$ 633,319	443,697	1,779,561	1,234,653
Specialty Finance	40,671	37,179	117,094	109,951
Consolidated	\$ 673,990	480,876	1,896,655	1,344,604
Provision for (recovery of) credit losses:				
Commercial Banking	\$ 25,668	3,188	21,795	35,400
Specialty Finance	3,398	797	14,214	7,765
Consolidated	\$ 29,066	3,985	36,009	43,165
Non-interest income:				
Commercial Banking	\$ 42,166	29,702	111,164	82,406
Specialty Finance	1,591	1,673	4,671	5,194
Eliminations (1)	(6)	(8)	(18)	(164)
Consolidated	\$ 43,751	31,367	115,817	87,436
Non-interest expense:				
Commercial Banking	\$ 214,241	171,628	595,816	483,061
Specialty Finance	11,226	9,623	33,089	36,756
Eliminations (1)	(6)	(8)	(18)	(164)
Consolidated	\$ 225,461	181,243	628,887	519,653
Income before income taxes:				
Commercial Banking	\$ 435,576	298,583	1,273,114	798,598
Specialty Finance	27,638	28,432	74,462	70,624
Consolidated	\$ 463,214	327,015	1,347,576	869,222
Total assets:				
Commercial Banking	\$ 114,346,448	107,846,086	114,346,448	107,846,086
Specialty Finance	6,767,119	5,360,257	6,767,119	5,360,257
Eliminations (1)	(6,644,821)	(5,355,604)	(6,644,821)	(5,355,604)
Consolidated	\$ 114,468,746	107,850,739	114,468,746	107,850,739

(1) Eliminations related to intercompany funding.

ITEM 2. MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

PRIVATE SECURITIES LITIGATION REFORM ACT SAFE HARBOR STATEMENT

This Quarterly Report on Form 10-Q and oral statements made from time-to-time by our representatives contain "forward-looking statements" within the meaning of the Private Securities Litigation Reform Act of 1995 that are subject to risks and uncertainties. You should not place undue reliance on such statements because they are subject to numerous risks and uncertainties relating to our operations and the business environment in which we operate, all of which are difficult to predict and many of which are beyond our control. Forward-looking statements include information concerning our possible or assumed future results of operations, including descriptions of our business strategy, expectations, beliefs, projections, anticipated events or trends, growth prospects, financial performance, and the impact of the COVID-19 pandemic and the conflict in Ukraine on each of the foregoing and on our business overall, as well as similar expressions concerning matters that are not historical facts. These often include words such as "may," "believe," "expect," "anticipate," "potential," "opportunity," "intend," "plan," "estimate," "could," "project," "seek," "target," "goal," "should," "will," or "would," or the negative of these words and phrases or similar words and phrases. Forward-looking statements may also address our sustainability progress, plans, and goals (including climate change and environmental-related matters and disclosures), which may be based on standards for measuring progress that are still developing, internal controls and processes that continue to evolve, and assumptions that are subject to change in the future.

All forward-looking statements may be impacted by a number of risks and uncertainties. These statements are based on assumptions that we have made in light of our industry experience as well as our perception of historical trends, current conditions, expected future developments and other factors we believe are appropriate under the circumstances including, without limitation, those related to:

- earnings growth;
- revenue growth;
- net interest margin;
- deposit growth, including short-term escrow deposits, brokered deposits and off-balance sheet deposits;
- future acquisitions;
- performance, credit quality and liquidity of investments made by us, including our investments in certain mortgage-backed and similar securities;
- loan and lease origination volume;
- the interest rate environment;
- non-interest income levels, including fees from product sales;
- credit performance of loans made by us;
- monetary and fiscal policies of the U.S. Government, including policies of the U.S. Treasury and the Federal Reserve;
- our ability to maintain, generate and/or raise capital;
- changes in the regulatory environment and government intervention in the banking industry, including the impact of the Dodd-Frank Wall Street Reform, and the Economic Growth, Regulatory Relief, and Consumer Protection Act;
- Federal Deposit Insurance Corporation ("FDIC") assessments;
- margins on sales or securitizations of loans;
- market share;
- expense levels;
- hiring of new private client banking teams;
- results from new business initiatives;
- future dividends and share repurchases;
- other business operations and strategies;
- changes in federal, state, or local tax laws; and
- the impact of new accounting pronouncements.

As you read and consider the forward-looking statements, you should understand that these statements are not guarantees of performance or results. They involve risks, uncertainties and assumptions and can change as a result of many possible events or factors, not all of which are known to us or in our control. All of these factors are subject to additional uncertainty in the context of the COVID-19 pandemic and the conflict in Ukraine, which are having impacts on all aspects of our operations, the financial services industry and the economy as a whole. Additional risks are described in our quarterly and annual reports filed with the FDIC. Although we believe that these forward-looking statements are based on reasonable assumptions, beliefs and expectations, if a change occurs or our beliefs, assumptions, or expectations were incorrect, our business, financial condition, liquidity or results of operations may vary materially from those expressed in our forward-looking statements. You should be aware that many factors could affect our actual financial results or results of operations and could cause actual results to differ materially from those in the forward-looking statements including, without limitation, the following factors:

- disruption and volatility in global financial markets;
- changes in U.S. trade policies, including the imposition of tariffs;
- difficult market conditions adversely affecting our industry;
- fiscal challenges facing the U.S. government could negatively impact financial markets which in turn could have an adverse effect on our financial position or results of operations;
- our ability to maintain the continuity, integrity, security and safety of our operations;

- our inability to successfully implement our business strategy;
- our inability to successfully integrate new business lines into our existing operations;
- changes to existing statutes and regulations or the way in which they are interpreted and applied by courts or governmental agencies;
- our vulnerability to changes in interest rates;
- the replacement of LIBOR as a financial benchmark presents risks to the financial instruments originated or held by us;
- competition with many larger financial institutions which have substantially greater financial and other resources than we have, as well as financial technology companies and other non-bank entities that presently are not subject to extensive regulation and oversight;
- government intervention in the banking industry, new legislation and government regulation;
- illiquid market conditions and downgrades in credit ratings;
- adverse developments in the residential mortgage market;
- inability of U.S. agencies or U.S. government-sponsored enterprises to pay or to guarantee payments on their securities in which we invest;
- material risks involved in commercial lending;
- a downturn in the economy and the real estate market of the New York metropolitan area or on the West Coast;
- risks associated with our loan portfolio growth;
- our failure to effectively manage our credit risk;
- lack of seasoning of mortgage loans underlying our investment portfolio;
- our allowance for credit losses for loans and leases (“ACLL”) may not be sufficient to absorb actual losses;
- our reliance on the Federal Home Loan Bank of New York for secondary and contingent liquidity sources;
- our dependence upon key personnel;
- our inability to acquire suitable private client banking teams or manage our growth;
- our charter documents and regulatory limitations may delay or prevent our acquisition by a third party;
- curtailment of government guaranteed loan programs could affect our SBA business;
- our use of brokered deposits and continuing to be “well-capitalized”;
- our extensive reliance on outsourcing to provide cost-effective operational support;
- system failures or breaches of our network security;
- data security breaches;
- decreases in trading volumes or prices;
- exposure to legal claims and litigation;
- our ability to pay cash dividends or engage in share repurchases is restricted;
- potential responsibility for environmental claims;
- climate change and related legislative and regulatory initiatives may result in operational changes and expenditures that could significantly impact our business;
- downgrades of our credit rating;
- our inability to raise additional funding needed for our operations;
- inflation or deflation;
- misconduct of employees or their failure to abide by regulatory requirements;
- fraudulent or negligent acts on the part of our clients or third parties;
- failure of our brokerage clients to meet their margin requirements;
- severe weather;
- acts of war or terrorism;
- technological changes;
- work stoppages, financial difficulties, fire, earthquakes, flooding or other natural disasters;
- changes in federal, state or local tax laws;
- changes in accounting standards, policies, and practices or interpretation of new or existing standards, policies, and practices, as may be adopted by the bank regulatory agencies, the Financial Accounting Standards Board, or the Securities and Exchange Commission (the “SEC”);
- changes in our reputation and negative public opinion;
- fluctuations in FDIC insurance premiums;
- regulatory net capital requirements that constrain our brokerage business;
- soundness of other financial institutions;
- our ability to enter new markets successfully and capitalize on growth opportunities;
- changes in consumer spending, borrowing and savings habits;
- changes in our organization, compensation and benefit plans; and
- changes in the financial condition or future prospects of issuers of securities that we own.

These factors include the risks discussed under the section entitled “Item 1A. - Risk Factors” in our Annual Report on Form 10-K for the year ended December 31, 2021, as well as the same section later in this report.

You should keep in mind that any forward-looking statement made by us in this document or elsewhere speaks only as of the date on which we make it. New risks and uncertainties arise from time to time, and it is impossible for us to predict these events or how they may affect us. We have no duty to, and do not intend to, and disclaim any obligation to, update or revise any industry information or forward-looking statements in this document after the date on which they are made, except as

required under the U.S. federal securities laws. In light of these risks and uncertainties, you should keep in mind that any forward-looking statement made in this document or elsewhere might not reflect actual results.

Company Background

We are a New York-based full-service commercial bank with 40 private client offices located throughout the metropolitan New York area, as well as those in Connecticut, California and North Carolina. Through its single-point-of-contact approach, the Bank's private client banking teams serves the needs of privately owned businesses, their owners and senior managers.

Through our Signature Financial subsidiary, a specialty finance company based in Melville, Long Island, we offer a variety of financing and leasing products, including equipment, transportation, commercial marine, sustainable energy, and national franchise financing and/or leasing. Signature Financial's clients are located throughout the United States.

We provide brokerage, asset management and insurance products and services through our Signature Securities subsidiary, a licensed broker-dealer and investment adviser.

Through our Signature Public Funding subsidiary based in Towson, Maryland, we provide a range of municipal finance and tax-exempt lending and leasing products to government entities throughout the country, including state and local governments, school districts, fire and police and other municipal entities. The subsidiary is overseen by the management team of Signature Financial who has extensive experience in municipal finance.

Additionally, through a representative office of the Bank in Houston, Texas, we purchase, securitize and sell the guaranteed portions of U.S. Small Business Administration ("SBA") loans.

Recent Developments

Team Expansion

During the 2022 third quarter, the Bank onboarded two private client banking teams, including one team in New York and one team on the West Coast during the quarter. This brings the total teams hired to 13 for the year, inclusive of the addition of the Healthcare Banking and Finance business. After considering these recent additions, our overall West Coast presence now consists of 33 private banking teams. Our pipeline for additional teams this year remains strong and we expect to continue to see further opportunity to add teams on both coasts.

Healthcare Banking and Finance business

During the 2022 second quarter, the Bank added the Healthcare Banking and Finance business, with the onboarding of 10 colleagues to provide lending services and garner deposits to clients within the healthcare arena. The Healthcare Banking and Finance team is focused on serving for-profit and non-profit companies which provide a range of healthcare services, as well as senior housing owners and operators, hospitals, large physician practices, ambulatory surgery centers, drug and rehabilitations facilities, skilled nursing homes and facilities offering independent living, assisted living and memory care and continuing care retirement communities. Since beginning operations in the second quarter of 2022, the Healthcare Banking and Finance team originated \$354.5 million in loans.

Corporate Mortgage Finance business

In 2021, the Bank added the Corporate Mortgage Finance business which primarily provides mortgage warehouse lines of credit to licensed mortgage lenders. These are short-term lines of credit secured by mortgage loans originated or purchased by the mortgage lender with the intent to sell or securitize within the secondary market to institutional investors. The warehouse line funding and advance repayment cycle typically occurs within an 18 to 30 day period dependent on the timing of the mortgage loan closing by our client, and their subsequent sale of the loan to the institutional investor. The individual mortgage loans are typically eligible for sale to U.S. Government agencies and government-sponsored enterprises. As of September 30, 2022, mortgage warehouse line of credit related outstandings totaled \$929.9 million.

Digital Asset Activities

The Bank began its digital asset banking initiative with the onboarding of a private client group in the first quarter of 2018. The team has business banking relationships with many institutional participants that make up the digital asset ecosystem, including stablecoin issuers, exchanges, custodians, digital miners, institutional traders, and more. Since 2018, the team has seen significant growth in digital asset related deposits due to our client's increasing adoption of and investments in cryptocurrencies and stablecoins. The Bank does not onboard stablecoin issuers with algorithmic backing, or those that do not hold a 1:1 reserve of USD or USD equivalents to coin outstanding.

In 2019, the Bank launched its proprietary block-chain based payment solution, Signet, to allow for real-time payments and help to connect participants in the ecosystem by offering real-time execution, 24/7/365. The digital asset ecosystem was the

first adopter of the Signet platform. In 2022, the Bank launched the addition of a new feature allowing its clients to initiate real-time Fedwire transactions through Signet, directly through its Application Programming Interface (API). The addition of this Fedwire feature enables Signet clients to execute both Signet blockchain and traditional Fedwire payments through one API, providing our clients with greater flexibility in automating treasury management workflows via our integrated payments service. The Bank does not hold any cryptocurrencies, either through this platform or otherwise. Instead, the Bank provides our digital asset clients this payment platform to hold their US dollar (USD) deposits. These USD deposits can be transferred to other clients on a real-time basis on the Signet platform in order to settle the USD portion of a client's cryptocurrency transaction.

The Bank previously offered a loan product collateralized by certain cryptocurrencies which included Bitcoin. In addition to being collateralized by cryptocurrency, these loans were full recourse and underwritten to the client's financial statements. The product was only offered to select institutional clients within the digital asset ecosystem and we continue to be diligent and prudent in the rollout, as we evaluate the related risks and rewards. As of September 30, 2022, there are no outstanding loan exposures.

Common Stock Dividend

The Bank declared a cash dividend of \$0.56 per share, or a total of \$35.3 million payable on or after November 10, 2022 to common shareholders of record at the close of business on October 28, 2022. During the quarter, the Bank also declared and paid a cash dividend of \$0.56 per share, or a total of \$35.3 million, for the second quarter of 2022.

Any future determination to pay dividends will be at the discretion of our Board of Directors and will be dependent upon then-existing conditions, including our financial condition and results of operations, capital requirements, commercial real estate concentration, contractual restrictions, business prospects and other factors that the Board of Directors considers relevant.

Preferred Stock Dividend

On September 30, 2022, the Bank paid a cash dividend of \$12.50 per share to preferred shareholders of record at the close of business on September 16, 2022. The Bank also declared a cash dividend of \$12.50 per share payable on December 30, 2022 to preferred shareholders of record at the close of business on December 16, 2022. See the Preferred Stock footnote to our Consolidated Financial Statements for additional information.

Social Impact

Signature Bank's theme of 'Looking Forward. Giving Back.' is part of our permanent purpose and ongoing mission. With our continuous focus on social impact, including practices relating to human capital, diversity, equity and inclusion, along with strategies to support and cultivate community engagement and our approach to sustainability efforts as individuals and as an institution, the Bank continues to expand and dedicate its corporate governance and ethical progress in these areas and incorporates related considerations in the priorities of our Board of Directors, as well as executive and senior management. Namely, the Bank:

- Hired our Chief Social Impact Officer;
- Founded our Social Impact Board Committee comprised of our three founders and three of our independent directors to provide oversight and guidance with respect to social impact;
- Created a Social Impact purpose statement to clearly communicate our mission to colleagues, clients, communities and shareholders to ensure commitment is incorporated throughout our organization and all we do;
- Formed our Social Impact Steering Committee to drive the development, implementation, effectiveness and communication of our social impact initiatives, programs, policies and strategies;
- Held Environmental, Social & Governance (ESG) training for senior management and the Board;
- Remains focused on climate risk - main accomplishments and initiatives include:
 - We expanded our environmentally themed product and service offerings focused on climate change and sustainability, including the addition of Impact Certificates of Deposit and an increased commitment to sustainability-related equipment financing for commercial enterprises and municipal entities;
 - We entered the pilot stage of a dedicated 'Go Green' Environmental Impact Lending Program offering attractive financing for energy-efficiency and sustainability-related capital projects;
 - We became a supporter of Task Force on Climate-Related Financial Disclosure (TCFD); and
 - We formed a team to identify, collect and calculate Scope 1 & 2 greenhouse gas (GHG) emissions for future disclosure.

- Appointed a Vice President – Talent Acquisition Manager and filled the newly created role of Talent Diversity Program Manager to support our efforts to build a more diverse, inclusive family of colleagues. We actively promote awareness, and education regarding different cultures through Bank-wide colleague communications, special events, and participation in personal experience sharing initiatives;
- Conducts diversity awareness events for colleagues related to Black History Month, Asian Pacific American Heritage Month, Pride Month, Hispanic Heritage Month, and National Women's History Month, and mandates diversity training for all colleagues;
- Launched the Women's Council and Pride Council, both Colleague Resource Groups, which are all-volunteer organizations established to "promote a safe, welcoming and nurturing forum to address important topics and provide new opportunities for positive impacts on all of our colleagues;" and
- Continues to provide charitable grants to education, health, community services, the arts, social and other related initiatives.

The above includes certain highlights from our social impact initiatives. Additionally, our annual Social Impact Report, which is aligned with Sustainability Accounting Standards Board ("SASB") commercial bank disclosure topics, details our Environmental, Social, and Governance ("ESG") efforts and programs. The Bank issued its 2021 Social Impact Report in July 2022.

Critical Accounting Policies

We follow financial accounting and reporting policies that are in accordance with U.S. generally accepted accounting principles ("GAAP"). On an ongoing basis, we evaluate our significant accounting policies and associated estimates applied in our consolidated financial statements. Some of these accounting policies require management to make difficult, subjective or complex judgments. The policies noted below, however, are deemed to be our "critical accounting policies" under the definition given to this term by the SEC - those policies that are most important to the presentation of a company's financial condition and results of operations, and require management's most difficult, subjective or complex judgments, often as a result of the need to make estimates about the effect of matters that are inherently uncertain.

The judgments used by management in applying the critical accounting policies may be affected by deterioration in the economic environment, which may result in changes to future financial results. Specifically, subsequent evaluations of the loan portfolio, in light of the factors then prevailing, may result in significant changes to the allowance for credit losses for loans and leases ("ACLL") in future periods, and the inability to collect on outstanding loans could result in increased loan losses.

The allowance for credit losses ("ACL"), includes the allowance for credit losses associated with funded commercial and consumer loans and leases, as well as the reserve for unfunded lending commitments. The allowance for funded loans is established through a provision for credit losses charged to current earnings and an adjustment to the ACLL. The allowance for the unfunded portion is based on utilization assumptions and is established through a provision charged to Non-interest expense and is recorded in Accrued expenses and other liabilities. The ACL reserve, including the ACLL for the funded portion and the reserve for the unfunded portion, represents management's estimate of current expected credit losses ("CECL") in the Company's loan and lease portfolio over its expected life, which is the contractual term adjusted for expected prepayments and options to extend the contractual term that are not unconditionally cancellable by us. The ACLL is initially recognized upon origination or purchase of the loans and leases, and subsequently remeasured on a recurring basis.

The expected life is comprised of two stages with stage one being the reasonable and supportable ("RNS") period that we can reasonably and supportably forecast future economic conditions to estimate expected credit losses; and stage two being the period subsequent to the RNS period, or the reversion period, for which the estimate of credit losses reverts to a long-term historical loss rate. During the RNS period, historical loss experience is to be adjusted for asset-specific risk characteristics, i.e., underwriting standards, portfolio mix or asset term; and for economic conditions, including both current conditions and reasonable and supportable forecasts of future conditions. During the reversion period, no adjustments are made to historical loss rate other than applicable asset specific risk characteristics.

Loans and leases that share similar credit risk characteristics, such as product type, collateral type, risk rating, vintage, asset size, etc., are grouped into respective pools for "collective assessment." A loan or a lease that does not have similar risk characteristics with other loans/leases is subject to "individual assessment." As of September 30, 2022, all loans are pooled for collective assessment, except for nonaccrual loans and troubled debt restructurings, which are individually assessed for ACLL given the unique status of each individual loan.

Collectively Assessed Allowance

Our segmentation for collectively assessed loans and leases is comprised of two major categories, commercial loans and other, with "other" including consumer and residential loans. Commercial loans are grouped into two sub-segments: credit-rated and non-credit rated. Credit-rated commercial loans are further segregated into commercial real estate ("CRE") and commercial and industrial ("C&I") portfolios. The largest segment of our loan portfolio is comprised of credit-rated commercial loans, representing 99.8% of our total loan portfolio, excluding loans held for sale, as of September 30, 2022.

Credit-rated CRE loans are comprised of three sub-categories of loans: commercial property, multi-family and acquisition, development and construction ("ADC"), while the rated C&I loans consist of ten sub-categories including fund banking, specialty finance, venture capital, owner-occupied, traditional C&I, commercial mortgage finance, commercial loans secured by 1-4 family real estate, asset based lending, other C&I, as well as personal loans for commercial use. In addition, we created a component within each portfolio segment for the respective unfunded lending commitments to reflect our off balance sheet credit exposures.

Quantitative models with varying degrees of complexity are utilized for ACL estimation. The selection of models is based on the composition of the related portfolio segment, materiality of the portfolio, the availability of loan level versus pool level data, the chosen statistical modeling methodology, and how we manage the associated credit risks.

We estimate the ACLLL for our credit-rated CRE loans utilizing a loan-level probability of default ("PD") and loss given default ("LGD") model. PD represents the likelihood of default over the loan's expected life. The attribute most significant to calculating the PD is the net operating income (NOI) from the underlying collateral, which in turn, determines the debt service coverage ratio ("DSCR"). The loss given default is an estimate of the severity of loss should a default occur, which is estimated using an updated Loan to Value ("LTV") ratio as of each reporting date. The related ACLLL model multiplies each loan's derived macroeconomic adjusted PD, LGD and the amortized cost to estimate the associated reserve at a loan level.

Our C&I loans are modeled using vendor-based loss rate models. Specifically, the allowance for our specialty finance, traditional C&I and owner-occupied real estate loans is calculated using a vendor-based loss rate model which projects reserves based primarily on the North American Industry Classification System (NAICS) code, the assigned risk rating and the associated term of the loan. When assigning a credit rating to a loan, we use an internal nine-level rating system in which a rating of one carries the lowest level of credit risk and is used for borrowers exhibiting the strongest financial condition. Loans rated one through six are deemed to be of acceptable quality and are considered "Pass." Loans that are deemed to be of questionable quality are rated seven (special mention). Loans with adverse classifications (substandard or doubtful) are rated eight or nine, respectively. The credit ratings are periodically reviewed to reflect changes in asset specific risk factors. The related ACLLL model multiplies each loan's derived macroeconomic adjusted loss rate and the amortized cost of each loan to estimate the associated reserve.

For our remaining C&I portfolio segments including fund banking, commercial mortgage finance, venture capital, non-rated commercial loans, as well as consumer loans, a lifetime loss rate methodology utilizing a single loss rate based on historical net charge-offs is applied for the reserve estimation due to their unique borrowing terms, lack of loss history or limited loss experience, as well as borrower and event specific factors that impact credit risk. The expected lifetime credit losses for these C&I portfolios are estimated at a loan level by multiplying the derived historical loss rates and amortized cost of each loan. For all remaining smaller portfolio segments such as residential loans, a more simplified loss rate methodology which uses lifetime PD and LGD is applied for reserve estimation and considers loan level cash flows over the remaining contractual life. This related ACLLL model multiplies the estimated PD, LGD and amortized cost to calculate the associated reserve for each loan.

The following key factors and assumptions are incorporated in the above-mentioned models utilized for the ACLLL reserve under CECL:

- a historical loss period, which represents a full economic credit cycle utilizing internal loss experience, as well as industry and peer historical loss data;
- a single economic forecast scenario;
- an initial RNS period of two years and a reversion period using a straight-line approach that extends through the shorter of one year or the end of the remaining contractual term, for all portfolios, except for certain C&I portfolios; these C&I portfolios incorporate a reasonable and supportable forecast of various macroeconomic variables such that each macroeconomic variable for the remaining contractual term will revert to a long-term expectation starting in years two to three, and will largely be completed within the first five years of the forecast, and
- expected prepayment rates based on our historical experience.

Forward-looking economic information primarily includes gross domestic product ("GDP"), unemployment rates, central-bank interest rates, credit spreads, and property price indices, which are used as inputs to the respective models of expected credit losses and the related ACL reserve. The Bank primarily uses external sources of information for economic forecasting. Our Economic Forecast Committee reviews, modifies as necessary, and approves macroeconomic forecast scenarios and variables to formulate management's view of the most probable future outlook of economic developments to be used in the ACLLL estimation process. At each reporting date, the allowance is determined using the latest available single forward-looking economic scenario, e.g., Moody's Consensus forecast. If the designated single forecast is not deemed to be incorporating certain idiosyncratic event(s) and the impact of such event(s), a qualitative adjustment may be recorded, to include an alternative upside or downside scenario(s) and capture any uncertainty related to such event(s). Other qualitative adjustments or model overlays may also be recorded based on expert credit judgment in circumstances where, in the Bank's view, the existing regulatory guidance, inputs, assumptions, and/or modelling techniques do not capture all relevant risk factors. The use of qualitative reserves may require significant judgment that may impact the amount of allowance recognized. Recurring qualitative adjustments are made to capture certain model limitations, such as the model's lack of consideration for the liquidation of collateral for our specialty finance portfolio.

In addition, non-recurring qualitative loss factors that are not already incorporated in the modeling are also considered on a quarterly basis to determine applicability, and assess whether there are any risks not currently being captured in our respective quantitative models. The following lists non-recurring qualitative factors considered on a quarterly basis:

- The nature and volume of the entity's financial asset(s) for certain applicable portfolio segment(s);
- The entity's lending policies and procedures, including changes in lending strategies, underwriting standards, collection, write-off, and recovery practices, as well as knowledge of the borrower's operations or the borrower's standing in the community;
- The quality of the entity's credit review system;
- The experience, ability, and depth of the entity's management, lending staff, and other relevant staff; and
- The environmental factors of a borrower and the areas in which the entity's credit is concentrated, such as:
 1. Regulatory, legal, or technological environment to which the entity has exposure;
 2. Changes and expected changes in the general market condition of either the geographical area or the industry to which the entity has exposure; and
 3. Changes and expected changes in international, national, regional, and local economic and business conditions and developments in which the entity operates, including the condition and expected condition of various market segments.

For C&I and specialty finance loans, significant risk rating changes are evaluated to determine the impact of loan review results on the respective model reserve calculation through a quantitatively supported qualitative adjustment. For all CRE loans, NOI and DSCR information is analyzed at an industry level to determine whether there are any trends, credit enhancements or risk factors not already addressed in our input information or by the model assumptions, including our macroeconomic forecast.

On a quarterly basis, or more frequently as deemed necessary, key factors and assumptions are reviewed and refreshed to ensure applicability, while the overall ACLLL methodology is reviewed at least annually.

Individually Assessed Allowance

When an individual loan no longer demonstrates similar credit characteristics as other loans within its current segment, and does not share similar credit characteristics of any other segment(s), it is to be individually assessed for credit losses. This generally happens when a loan is placed on non-accrual, a troubled debt restructuring ("TDR"), or we are reasonably expecting to modify a loan as a TDR. A TDR is reasonably expected when the Bank has knowledge that the borrower is experiencing financial difficulties and has concluded that modification is the best course of action, which is generally evidenced by the approval of a credit offering memo ("COM") for an identified problem loan.

For both a TDR and a reasonably expected TDR, we record a provision for credit loss, if any, based on the present value of expected future cash flows including the value of concessions made by the Bank, discounted at the original loan's effective interest rate over the extended term post modification if the modification involves a term extension. If the loan is collateral dependent, for which repayment is expected to be derived substantially through the operation or sale of the collateral and where the borrower is experiencing financial difficulties, the ACLLL is based on the fair value of the collateral less estimated costs to sell, if applicable, regardless if the repayment is expected substantially through the sale of the collateral or from the operation of collateral. At the time of restructuring, we determine whether a TDR loan should accrue interest based on the accrual status of the loan immediately prior to modification. Additionally, an accruing loan that is modified as a TDR may remain in accrual status if, based on a credit analysis, collection of principal and interest in accordance with the modified terms is reasonably assured, and the borrower demonstrated sustained historical repayment performance for a reasonable period prior to modification. A nonaccrual TDR loan will be returned to accrual status when all the principal and interest amounts contractually due are brought current and future payments are reasonably assured. Additionally, there should be a sustained period of repayment performance (generally a period of six months) by the borrower in accordance with the modified contractual terms. In years subsequent to the year of restructuring, the loan is not reported as a TDR loan if it was restructured at a market interest rate and it is performing in accordance with its modified terms. Other TDRs, however, are reported as such for as long as the loan remains outstanding.

In 2020 and 2021, the CARES Act and banking regulatory agencies provided relief related to TDR accounting as a result of the COVID-19 pandemic. The reliefs included that loans modified as a result of COVID-19 that were current as of December 31, 2019 were exempt from TDR classification under US GAAP. Additionally, banking regulatory agencies issued interagency guidance that COVID-19 related short-term modifications (i.e., six months or less) granted to borrowers that were current as of the loan modification program implementation date were not TDRs. For past due status, the CARES Act also provided relief for lenders to continue to report loans in the same delinquency status they were in at the time of modification. The aforementioned reliefs provided under the CARES Act guidance and banking regulatory agencies were applied from March 1, 2020 through December 31, 2021 when they expired on January 1, 2022.

Management is primarily responsible for assessing the overall adequacy of the allowance on a quarterly basis. In addition, reserve adequacy is assessed by an internal Loan Quality Review Committee, which includes members of senior management, accounting, credit and risk management, and is presented to our Board of Directors for their review and

consideration on a quarterly basis. Reserve adequacy is also assessed by our independent risk management function, which performs independent credit reviews and validations of the allowance models employed.

In addition, bank regulators, as an integral part of their supervisory functions, periodically review our loan portfolio and related ACLLL. These regulatory agencies may disagree with our methodology, which could result in changes to our current ACL estimates or processes and result in an increase to our provision for loan and lease losses or the recognition of further loan charge-offs based upon their judgments, which may be different from ours. An increase in the ACLLL as a result of these judgments could materially adversely affect our financial condition and results of operations.

New Accounting Standards

(i) Not Yet Adopted

In March 2020, the FASB issued ASU 2020-04, *Reference Rate Reform (Topic 848): Facilitation of the Effects of Reference Rate Reform on Financial Reporting*. The ASU provides entities with optional guidance to ease the potential burden associated with transitioning from reference rates that are expected to be discontinued, such as LIBOR. Specifically, the ASU provides guidance related to contract modifications, hedge accounting, and held-to-maturity (HTM) debt securities. The guidance also allows for a one-time election to sell and/or transfer debt securities classified as HTM to be made at any time after March 12, 2020 but no later than December 31, 2022. The ASU allows entities to apply the standard as of the beginning of the interim period between March 12, 2020 and December 31, 2022. The expedients and exceptions provided by this ASU for contract modifications are permitted to be adopted any time through December 31, 2022 and do not apply to contract modifications made and hedging relationships entered into or evaluated after December 31, 2022, except for certain optional expedients elected for certain hedging relationships existing as of December 31, 2022. The impact of this ASU to the Company's Consolidated Financial Statements is not expected to be material.

In March 2022, the FASB issued ASU 2022-02, *Financial Instruments - Credit Losses (Topic 326), Troubled Debt Restructurings and Vintage Disclosures*. This ASU addresses areas identified by the FASB as part of its post-implementation review of the credit losses standard in ASU 2016-13, *Financial Instruments - Credit Losses (Topic 326): Measurement of Credit Losses on Financial Instruments ("CECL")*. ASU 2022-02 eliminates the accounting guidance for TDRs by creditors that have adopted the current CECL credit losses standard. Specifically, rather than applying the recognition and measurement guidance for TDRs, this ASU requires entities to evaluate receivable modifications, consistent with the accounting for other loan modifications, to determine whether a modification made to a borrower results in a new loan or a continuation of the existing loan. In addition, under the new ASU, entities are no longer required to use a discounted cash flow ("DCF") method to measure the ACL as a result of a modification or restructuring with a borrower experiencing financial difficulty. If a DCF method is used, the post modification-derived effective interest rate is to be used, instead of the original interest rate as stipulated under the current GAAP. This ASU also enhances the disclosure requirements related to certain modifications of receivables made to borrowers experiencing financial difficulty. This ASU amends the guidance on "vintage disclosures" to require disclosure of current-period gross write-offs by year of origination. We have adopted ASU 2016-13 on January 1, 2020 and therefore ASU 2022-02 is effective for fiscal years beginning after December 15, 2022, with early adoption permitted. The Company is currently assessing the impact of this ASU to its Consolidated Financial Statements.

(ii) Recently Adopted

In March 2022, the FASB issued ASU 2022-01, *Derivatives and Hedging (Topic 815): Fair Value Hedging - Portfolio Layer Method*. This ASU expands entities' ability to hedge the benchmark interest rate risk of portfolios of financial assets (or beneficial interests) in a fair value hedge. The ASU also expands the use of the portfolio layer method, previously referred to as the last-of-layer method, to allow multiple hedges of a single closed portfolio of assets using spot starting, forward starting, and amortizing-notional swaps. The guidance also permits both prepayable and non prepayable financial assets to be included in the closed portfolio of assets hedged in a portfolio layer hedge. The ASU further requires that basis adjustments not be allocated to individual assets for active portfolio layer method hedges, but rather be maintained on the closed portfolio of assets as a whole. For public entities, the guidance is effective for fiscal years beginning after December 15, 2022 and early adoption is permitted. We adopted this ASU on January 1, 2022 and its impact to the Company's Consolidated Financial Statements was not material.

On January 7, 2021, the FASB issued ASU 2021-01, an update to ASU 2020-04, which clarified the scope of the optional relief for reference rate reform provided by ASC Topic 848. The ASU permitted entities to apply certain of the optional practical expedients and exceptions in ASC 848 to the accounting for derivative contracts and hedging activities that may be affected by changes in interest rates used for discounting cash flows, computing variation margin settlements and calculating price alignment interest (the "discounting transition"). These optional practical expedients and exceptions could be applied to derivative instruments impacted by the discounting transition even if such instruments did not reference a rate that was expected to be discontinued. The ASU was effective immediately and an entity may elect to apply the amendments as of any date from the beginning of an interim period that included or was subsequent to March 12, 2020 or on a prospective basis to new modifications from any date within an interim period that included or was subsequent to January 7, 2021, up to the date that financial statements were available to be issued. We adopted this ASU on January 7, 2021 and its impact to the Company's Consolidated Financial Statements was not material.

In August 2020, the FASB issued ASU 2020-08, *Codification Improvements to Subtopic 310-20, Receivables - Nonrefundable Fees and Other Costs*. The ASU provided clarification to the existing guidance regarding when an entity should evaluate the referenced guidance related to callable debt securities carried at a premium. This ASU impacted the amortization period for nonrefundable fees and other costs if the callable debt security has its amortized cost exceeding the amount repayable by the issuer at the next call date at the respective reporting date. The guidance was effective for fiscal years beginning after December 15, 2020 and early adoption was not permitted. We adopted this ASU on January 1, 2021 and its impact to the Company's Consolidated Financial Statements was not material.

In January 2020, the FASB issued ASU 2020-01, *Investments-Equity Securities (Topic 321), Investments-Equity Method and Joint Ventures (Topic 323), and Derivatives and Hedging (Topic 815): Clarifying the Interactions between Topic 321, Topic 323, and Topic 815*. The new guidance amended the accounting for the measurement of certain options and forward contracts used to acquire equity securities. In addition, it required a remeasurement of the equity investment immediately before or after its transition into and out of equity method accounting if the measurement alternative is applied prior to the transfer. The guidance was effective for fiscal years beginning after December 15, 2020. We adopted this ASU on January 1, 2021 and its impact to the Company's Consolidated Financial Statements was not material.

In December 2019, the FASB issued ASU 2019-12, *Income Taxes (Topic 470), Simplifying the Accounting for Income Taxes*. The ASU eliminated certain exceptions related to the rate approach for intraperiod tax allocation, the methodology for calculating income taxes in an interim period and the recognition of deferred tax liabilities for outside basis differences. It also clarified and simplified other aspects of the accounting for income taxes. The guidance was effective for fiscal years beginning after December 15, 2020. We adopted this ASU on January 1, 2021 and its impact to the Company's Consolidated Financial Statements was not material.

RESULTS OF OPERATIONS

FINANCIAL SUMMARY

	Three months ended September 30,		Nine months ended September 30,	
	2022	2021	2022	2021
<i>(in thousands, except ratios and per share amounts)</i>				
PER COMMON SHARE				
Earnings per common share - basic	\$ 5.59	\$ 3.91	\$ 16.21	\$ 10.79
Earnings per common share - diluted	\$ 5.57	\$ 3.88	\$ 16.11	\$ 10.68
Weighted average common shares outstanding - basic	62,440	59,284	62,186	57,152
Weighted average common shares outstanding - diluted	62,673	59,745	62,597	57,740
Book value per common share	\$ 110.96	\$ 114.97	\$ 110.96	\$ 114.97
SELECTED FINANCIAL DATA				
Return on average total assets	1.24 %	0.93 %	1.18 %	0.95 %
Return on average common shareholders' equity	18.42 %	13.63 %	17.93 %	13.44 %
Efficiency ratio (1)	31.41 %	35.38 %	31.25 %	36.29 %
Yield on interest-earning assets	3.44 %	2.17 %	2.76 %	2.34 %
Yield on interest-earning assets, tax-equivalent basis (2)	3.45 %	2.18 %	2.77 %	2.35 %
Cost of deposits and borrowings	1.14 %	0.32 %	0.62 %	0.38 %
Net interest margin	2.37 %	1.88 %	2.19 %	1.99 %
Net interest margin, tax-equivalent basis (2)(3)	2.38 %	1.88 %	2.20 %	1.99 %

(1) The efficiency ratio is considered a non-GAAP financial measure and is calculated by dividing non-interest expense by the sum of net interest income before provision for loan and lease losses and non-interest income. This ratio is a metric used by management to evaluate the performance of the Bank's business activities. A decrease in our efficiency ratio represents improvement.

(2) Based on the 21 percent U.S. federal statutory tax rate for the periods presented. The tax-equivalent basis is considered a non-GAAP financial measure and should be considered in addition to, not as a substitute for or superior to, financial measures determined in accordance with GAAP. This ratio is a metric used by management to evaluate the impact of tax-exempt assets on the Bank's yield on interest-earning assets and net interest margin.

(3) See "Net Interest Margin Analysis" for related calculation.

CAPITAL RATIOS

	September 30, 2022	June 30, 2022	December 31, 2021	September 30, 2021
Tangible common equity (4)	6.10 %	6.31 %	6.02 %	6.45 %
Tier 1 leverage	8.47 %	7.92 %	7.27 %	7.83 %
Common equity Tier 1 risk-based	10.11 %	9.99 %	9.60 %	10.49 %
Tier 1 risk-based	10.90 %	10.79 %	10.51 %	11.53 %
Total risk-based	11.99 %	11.88 %	11.76 %	12.96 %

(4) We define tangible common equity as the ratio of total tangible common equity to total tangible assets (the "TCE ratio"). Tangible common equity is considered to be a non-GAAP financial measure and should be considered in addition to, not as a substitute for or superior to, financial measures determined in accordance with GAAP. The TCE ratio is a metric used by management to evaluate the adequacy of our capital levels. In addition to tangible common equity, management uses other metrics, such as Tier 1 capital related ratios, to evaluate capital levels.

Net Income

Net income for the third quarter of 2022 was a record \$358.5 million or \$5.57 diluted earnings per share, compared to \$241.4 million, or \$3.88 diluted earnings per share, for the third quarter of 2021. The increase in net income in the third quarter of 2022, versus the comparable quarter last year, was primarily the result of an increase of \$193.1 million in net interest income, fueled by strong average loan and securities growth, as well as the increase in interest rates and utilization of our excess cash. Non-interest income increased by \$12.4 million, primarily driven by a \$9.0 million increase in fees and service charges due to the continued growth of our business, primarily Fund Banking, as well as a \$4.8 million increase in other income, including foreign currency activity and mark-to-market gains related to our non-hedging derivatives. These increases were partially offset by a \$44.2 million increase in non-interest expenses predominantly due to a \$16.6 million increase in salaries and benefits from the significant hiring related to our national banking practices, private client banking teams, and operational personnel, as well as a \$2.0 million increase in professional fees related to various new projects initiated to support the growing needs of the Bank and our clients.

Net income for the nine months ended September 30, 2022 was \$1.04 billion, or \$16.11 diluted earnings per share, compared to \$646.4 million or \$10.68 diluted earnings per share, for the nine months ended September 30, 2021. The increase in net income in the first three quarters of 2022, versus the comparable period last year, was primarily due to an increase of \$552.1 million in net interest income, fueled by strong growth in average interest-earning assets, higher prevailing market interest rates, utilization of excess cash. These increases were offset by an increase of \$109.2 million in non-interest expense primarily due to a rise of \$57.6 million in salaries and benefits from the significant hiring for the new national banking practices, coupled with the addition of 12 private client banking teams in New York and on the West Coast, as well as the launch of the Healthcare Banking and Finance business team in 2022. The increase also related to a rise of \$11.1 million in professional fees related to various new projects initiated to support the growing needs of the Bank and our clients.

Returns on average common shareholders' equity and average total assets for the third quarter of 2022 were 18.42% and 1.24%, respectively, compared to 13.63% and 0.93% for the third quarter last year. Returns on average common shareholders' equity and average total assets for the nine months ended September 30, 2022 were 17.93% and 1.18%, respectively, compared to 13.44% and 0.95%, for the same period last year.

Net Interest Income

Net interest income is the difference between interest earned on assets and interest incurred on liabilities. The following table presents an analysis of net interest income by each major category of interest-earning assets and interest-bearing liabilities for the quarters ended September 30, 2022 and 2021:

	Three months ended September 30, 2022			Three months ended September 30, 2021		
	Average Balance	Interest Income/ Expense	Average Yield/ Rate	Average Balance	Interest Income/ Expense	Average Yield/ Rate
<i>(dollars in thousands)</i>						
INTEREST-EARNING ASSETS						
Short-term investments	\$ 11,841,743	70,187	2.37 %	29,167,303	11,399	0.16 %
Investment securities	26,692,621	138,746	2.08 %	16,579,859	61,925	1.49 %
Commercial loans, mortgages and leases	73,351,038	764,036	4.13 %	55,309,881	481,360	3.45 %
Residential mortgages and consumer loans	114,959	1,135	3.92 %	144,144	1,187	3.27 %
Loans held for sale	609,232	4,220	2.75 %	460,689	1,625	1.40 %
Total interest-earning assets (1)	112,609,593	978,324	3.45 %	101,661,876	557,496	2.18 %
Non-interest-earning assets	1,988,330			823,307		
Total assets	\$ 114,597,923			102,485,183		
INTEREST-BEARING LIABILITIES						
Interest-bearing deposits						
NOW and interest-bearing demand	\$ 23,809,493	132,226	2.20 %	19,884,855	18,261	0.36 %
Money market	38,511,269	144,716	1.49 %	39,193,202	29,412	0.30 %
Time deposits	2,118,538	9,094	1.70 %	1,823,747	3,599	0.78 %
Non-interest-bearing demand deposits	38,215,860	—	— %	29,804,055	—	— %
Total deposits	102,655,160	286,036	1.11 %	90,705,859	51,272	0.22 %
Subordinated debt	571,048	6,167	4.32 %	569,642	6,167	4.33 %
Other borrowings	1,622,209	10,160	2.48 %	2,819,680	17,405	2.45 %
Total deposits and borrowings	104,848,417	302,363	1.14 %	94,095,181	74,844	0.32 %
Other non-interest-bearing liabilities	1,517,872			918,894		
Preferred equity	708,173			708,173		
Common equity	7,523,461			6,762,935		
Total liabilities and shareholders' equity	\$ 114,597,923			102,485,183		
OTHER DATA						
Net interest income / interest rate spread (1)		\$ 675,961	2.31 %		482,652	1.86 %
Tax-equivalent adjustment		(1,971)			(1,776)	
Net interest income, as reported		<u>\$ 673,990</u>			<u>480,876</u>	
Net interest margin			2.37 %			1.88 %
Tax-equivalent effect			0.01 %			— %
Net interest margin on a tax-equivalent basis (1)			2.38 %			1.88 %
Ratio of average interest-earning assets to average interest-bearing liabilities			107.40 %			108.04 %

(1) Presented on a tax-equivalent, non-GAAP, basis for municipal leasing and financing transactions recorded in *Commercial loans, mortgages and leases* using the U.S. federal statutory tax rate of 21 percent for the periods presented.

The following table presents an analysis of net interest income by each major category of interest-earning assets and interest-bearing liabilities for the nine months ended September 30, 2022 and 2021:

	Nine months ended September 30, 2022			Nine months ended September 30, 2021		
(dollars in thousands)	Average Balance	Interest Income/ Expense	Average Yield/ Rate	Average Balance	Interest Income/ Expense	Average Yield/ Rate
INTEREST-EARNING ASSETS						
Short-term investments	\$ 20,380,482	126,673	0.83 %	23,379,293	23,179	0.13 %
Investment securities	25,721,818	361,106	1.87 %	14,429,186	181,191	1.67 %
Commercial loans, mortgages and leases	68,928,819	1,899,230	3.68 %	52,301,338	1,377,883	3.52 %
Residential mortgages and consumer loans	124,538	3,195	3.43 %	150,901	3,807	3.37 %
Loans held for sale	512,145	8,397	2.19 %	289,334	3,202	1.48 %
Total interest-earning assets (1)	115,667,802	2,398,601	2.77 %	90,550,052	1,589,262	2.35 %
Non-interest-earning assets	1,660,536			887,206		
Total assets	\$ 117,328,338			91,437,258		
INTEREST-BEARING LIABILITIES						
Interest-bearing deposits						
NOW and interest-bearing demand	\$ 21,138,343	199,393	1.26 %	18,162,301	57,760	0.43 %
Money market	40,517,114	225,834	0.75 %	34,827,306	93,386	0.36 %
Time deposits	1,616,414	13,153	1.09 %	1,818,535	12,578	0.92 %
Non-interest-bearing demand deposits	41,784,797	—	— %	25,356,430	—	— %
Total deposits	105,056,668	438,380	0.56 %	80,164,572	163,724	0.27 %
Subordinated debt	570,700	18,448	4.31 %	672,093	22,900	4.54 %
Other borrowings	2,162,659	39,613	2.45 %	2,904,905	52,844	2.43 %
Total deposits and borrowings	107,790,027	496,441	0.62 %	83,741,570	239,468	0.38 %
Other non-interest-bearing liabilities	1,309,110			841,763		
Preferred equity	708,173			708,088		
Common equity	7,521,028			6,145,837		
Total liabilities and shareholders' equity	\$ 117,328,338			91,437,258		
OTHER DATA						
Net interest income / interest rate spread (1)	\$ 1,902,160	2.15 %		1,349,794	1.96 %	
Tax-equivalent adjustment	(5,505)			(5,190)		
Net interest income, as reported	\$ 1,896,655			1,344,604		
Net interest margin		2.19 %			1.99 %	
Tax-equivalent effect		0.01 %			0.00 %	
Net interest margin on a tax-equivalent basis (1)		2.20 %			1.99 %	
Ratio of average interest-earning assets to average interest-bearing liabilities		107.31 %			108.13 %	

(1) Presented on a tax-equivalent, non-GAAP, basis for municipal leasing and financing transactions recorded in *Commercial loans, mortgages and leases* using the U.S. federal statutory tax rate of 21 percent for the periods presented.

Interest income and interest expense are affected both by changes in the volume of interest-earning assets and interest-bearing liabilities and by changes in yields and interest rates. The table below analyzes the impact of changes in volume (changes in average outstanding balances multiplied by the prior period's rate) and changes in interest rate (changes in interest rates multiplied by the current period's average balance). Changes that are caused by a combination of interest rate and volume changes are allocated proportionately to both changes in volume and changes in interest rate. The effect of nonperforming assets is included in the table below.

	Three months ended September 30, 2022 vs. 2021			Nine months ended September 30, 2022 vs. 2021		
	Change Due to Rate	Change Due to Volume	Total Change	Change Due to Rate	Change Due to Volume	Total Change
<i>(in thousands)</i>						
INTEREST INCOME						
Short-term investments	\$ 65,559	(6,771)	58,788	106,467	(2,973)	103,494
Investment securities	39,050	37,771	76,821	38,111	141,804	179,915
Commercial loans, mortgages and leases (1)	125,664	157,012	282,676	83,295	438,052	521,347
Residential mortgages and consumer loans	188	(240)	(52)	53	(665)	(612)
Loans held for sale	2,071	524	2,595	2,729	2,466	5,195
Total interest income	232,532	188,296	420,828	230,655	578,684	809,339
INTEREST EXPENSE						
Interest-bearing deposits						
NOW and interest-bearing demand	110,361	3,604	113,965	132,169	9,464	141,633
Money market	115,816	(512)	115,304	117,191	15,257	132,448
Time deposits	4,913	582	5,495	1,973	(1,398)	575
Total interest-bearing deposits	231,090	3,674	234,764	251,333	23,323	274,656
Subordinated debt	(15)	15	—	(997)	(3,455)	(4,452)
Other borrowings	147	(7,392)	(7,245)	271	(13,502)	(13,231)
Total interest expense	231,222	(3,703)	227,519	250,607	6,366	256,973
Net interest income	\$ 1,310	191,999	193,309	(19,952)	572,318	552,366

(1) Presented on a tax-equivalent, non-GAAP, basis for municipal leasing and financing transactions recorded in *Commercial loans, mortgages and leases* using the U.S. federal statutory tax rate of 21 percent for the periods presented.

Net interest income for the third quarter of 2022 was \$674.0 million, an increase of \$193.1 million, or 40.2%, compared to \$480.9 million for the third quarter last year. The increase in net interest income for the third quarter of 2022 was largely driven by a \$10.95 billion increase in average interest-earning assets and a 127 basis point increase in yield on interest-earning assets to 3.45% due to higher prevailing market interest rates, as well as the deployment of cash into higher yielding assets, when compared to the same period of last year. The increase was partially offset by an eighty-two basis point increase in the average cost of funds to 1.14% due to the higher interest rate environment in the third quarter of 2022 and a \$11.95 billion increase in average total deposits compared to the third quarter of 2021. The 50 basis point increase in net interest margin on a tax-equivalent basis to 2.38% for the third quarter of 2022 compared to 1.88% for the same period last year, is primarily due to our continuous emphasis on cash deployment into securities and loans and higher prevailing market interest rates. During the third quarter of 2022, the increase in interest-earning asset yields far outpaced the rise in our cost of funds, which resulted in significant margin expansion when compared to the third quarter of 2021.

Net interest income for the nine months ended September 30, 2022 was \$1.90 billion, an increase of \$552.1 million, or 41.1%, compared to \$1.34 billion for the same period in 2021. The increase in net interest income for the nine months ended September 30, 2022 was largely driven by a \$25.12 billion increase in average interest-earning assets and a forty-three basis point increase in yield on interest-earning assets to 2.77% due to higher prevailing market interest rates, as well as the deployment of cash into higher yielding assets, when compared to the same period last year. The increase was partially offset by a twenty-three basis point increase in average cost of funds to 0.62% due to the higher interest rate environment for the first three quarters of 2022, partially offset by a \$24.89 billion increase in average total deposits compared to the same period last year. These same factors contributed to the twenty-one basis point increase in net interest margin on a tax-equivalent basis to 2.20% for the nine months ended September 30, 2022, compared to 1.99% for the same period last year.

Total investment securities averaged \$26.69 billion for the quarter ended September 30, 2022, compared to \$16.58 billion for the third quarter of 2021. The overall yield on the securities portfolio in the current quarter was 2.08%, an increase of 59 basis points when compared to 1.49% for the third quarter last year due to current higher replacement rates and slower conditional prepayment rate speeds. Our portfolio primarily consists of high quality and highly-rated mortgage-backed securities, commercial mortgage-backed securities, and collateralized mortgage obligations issued by government agencies, government-sponsored enterprises, and private issuers. At September 30, 2022, the baseline average duration of our

investment securities portfolio increased to approximately 4.55 years, compared to 3.01 years at September 30, 2021 due to the higher interest rate environment in 2022.

Total commercial loans, mortgages and leases averaged \$73.47 billion in the third quarter of 2022, an increase of \$18.01 billion, or 32.5%, when compared to the third quarter of 2021. The average yield on this portfolio increased 68 basis points to 4.13% from the third quarter last year, primarily driven by the growth in floating rate very well-secured capital call lines, a higher interest rate environment, and the impact of our significant excess cash balance on yields in early 2022. Prepayment penalty income was \$2.3 million and \$14.9 million for three and nine month periods ended September 30, 2022, respectively, compared to \$3.3 million and \$16.9 million for the same periods last year. Our commercial real estate loans (including multi-family loans) normally have a term of ten years, with a fixed rate of interest in years one through five and a rate that either adjusts annually or is fixed for the five years that follow. Loans that prepay in the first five years generate prepayment penalties ranging from one to five percentage points of the then-current loan balance, depending on the remaining term of the loan. If a loan is still outstanding in the sixth year and the borrower selects the fixed rate option, the prepayment penalties typically reset to a range of one to five percentage points over years six through ten. It is difficult to predict the level of prepayment activity in future periods as it depends on market conditions, real estate values, the actual or perceived direction of market interest rates and the contractual repricing and maturity dates of commercial real estate loans.

Average non-interest-bearing demand deposits for the third quarter of 2022 were \$38.22 billion, an increase of \$8.41 billion, or 28.2%, when compared to the third quarter of 2021. Non-interest-bearing demand deposits continue to comprise a significant component of our deposit mix, 36.4% of all deposits at September 30, 2022. Additionally, average NOW and interest-bearing demand and money market accounts totaled \$62.32 billion for the third quarter of 2022, an increase of \$3.24 billion, or 5.5%, when compared to the third quarter of 2021. Core deposits have provided us with a source of stable and relatively low cost funding, which has positively affected our net interest margin and income. As a result of the current higher market interest rate environment, our funding cost for NOW and interest-bearing demand accounts increased to 2.20% for the third quarter of 2022 compared to 0.36% for the third quarter of 2021. Our funding cost for money market accounts increased to 1.49% for the quarter ended September 30, 2022 compared to 0.30% for the third quarter of 2021.

For the third quarter of 2022, average total borrowings decreased \$1.20 billion, or 35.3% to \$2.19 billion compared to \$3.39 billion for the third quarter of 2021. The decrease in average total borrowings, when compared to the third quarter of 2021, was primarily attributable to our continued ability to fund our loan and security growth with deposits. The average cost of total borrowings remained stable at 2.96% and 2.77% for the third quarter of 2022 and 2021, respectively.

Provision for Credit Losses

Our provision for credit losses was \$29.1 million for the quarter ended September 30, 2022, compared to \$4.0 million for the third quarter last year, an increase of \$25.1 million. For the nine months ended September 30, 2022, our provision for credit losses was \$36.0 million, compared to \$43.2 million for the same period last year, a decrease of \$7.2 million. The increase in the Bank's provision for credit losses for the three months ended September 30, 2022 was primarily driven by a deteriorating macroeconomic forecast, namely slower forecasted GDP growth, higher unemployment rate forecasts, persisting inflation, higher interest rates due to the Federal Reserve's frequent rate hikes, and forecasted widening credit spreads.

For additional information about the provision for credit losses and the ACLLL, see the discussion of asset quality and the ACLLL later in this report, as well as in Allowance for Credit Losses footnote to our Consolidated Financial Statements.

Non-Interest Income

	Three months ended September 30,		Nine months ended September 30,,	
(in thousands)	2022	2021	2022	2021
Fees and service charges:				
Lending fees	\$ 15,281	10,398	41,627	28,531
Deposit / Treasury management	5,124	3,803	15,080	9,939
Trade finance fees	2,548	1,862	7,342	6,251
Other fees	6,052	3,969	12,436	8,846
Total Fees and service charges	29,005	20,032	76,485	53,567
Commissions	4,490	4,331	12,998	12,233
Net losses on sales of securities	—	—	(816)	—
Net gains on sale of loans	2,132	3,651	8,427	14,104
Other income:				
Foreign currency exchange	7,500	2,916	17,889	7,268
Non-hedging derivatives	3,146	729	8,331	1,464
Low income housing tax credit investment amortization (1)	(1,277)	(1,109)	(4,010)	(3,380)
Equity investments	(1,436)	466	(4,333)	1,680
Other income	191	351	846	500
Total non-interest income	\$ 43,751	31,367	115,817	87,436

(1) Relates to low income housing tax credit (LIHTC) investments not accounted under the proportional amortization method. The amortization expense for our LIHTC investments accounted under the proportional amortization method are recorded as an income tax expense.

For the quarter ended September 30, 2022, non-interest income was \$43.8 million, an increase of \$12.4 million, or 39.5%, when compared to the third quarter of last year. The increase was primarily attributable to a \$9.0 million increase in fees and service charges primarily related to fees associated with our Fund Banking loan portfolio, a \$4.6 million increase in foreign currency spot activity due to our geographic expansion and client growth, and a \$2.4 million increase in unrealized mark-to-market gains (from a prior year loss) related to our non-hedging derivatives. These increases were partially offset by a \$1.5 million decrease in net gains on sale of loans and a \$1.9 million decrease in other income principally related to our equity method investments, when compared to the same period last year.

For the nine months ended September 30, 2022, non-interest income was \$115.8 million, an increase of \$28.4 million, or 32.5%, when compared to the same period last year. The increase was primarily attributable to a \$22.9 million increase in fees and service charges primarily related to fees associated with our Fund Banking loan portfolio, a \$10.6 million increase in foreign currency spot activity due to our geographic expansion and client growth, and a \$6.9 million increase in unrealized mark-to-market gains related to our non-hedging derivatives. These increases were partially offset by a \$5.7 million decrease in net gains on sale of loans and a \$6.0 million decrease in other income principally related to our equity method investments, when compared to the same period last year.

Non-Interest Expense

For the quarter ended September 30, 2022, non-interest expense was \$225.5 million, an increase of \$44.2 million, or 24.4%, when compared to the same period last year. The increase was predominantly due to an increase of \$16.6 million in salaries and benefits from the significant hiring of private client banking teams, as well as the launch of a national banking practice, the Healthcare Banking and Finance business team in 2022, along with increased compensation costs associated with the hiring of operational support to meet the Bank's growing needs, as well as an increase of \$14.5 million client related expenses that are activity driven and have increased with the growth in our businesses. Further contributing to the increase was a \$0.8 million increase in FDIC assessment fees due to deposit balance increases, and a \$2.0 million increase in professional fees and a \$2.2 million increase in information technology expenses related to the continued growth of our business and various new projects initiated to support the growing needs of our clients.

For the nine months ended September 30, 2022, non-interest expense was \$628.9 million, an increase of \$109.2 million, or 21.0%, when compared to the same period last year. The increase was primarily driven by an increase of \$57.6 million in salaries and benefits mostly attributable to the addition of six private client banking teams in New York and on the West Coast, as well as the aforementioned Healthcare Banking and Finance team during the first three quarters of 2022, along with increased compensation costs associated with the hiring of operational support to meet the Bank's growing needs. Further

contributing to the increase was an increase of \$20.5 million of client related expenses that are activity driven and have increased with the growth in our businesses, an increase of \$6.5 million in FDIC assessment fees due to deposit balance increases, an increase of \$11.1 million in professional fees and an increase of \$9.5 million in information technology expenses related to the continued growth of our business and various new projects initiated to support the growing needs of our clients.

Stock-Based Compensation

We recognize compensation expense in our Consolidated Statement of Income for all stock-based compensation awards over the requisite service period with a corresponding credit to additional paid-in capital. Compensation expense is measured based on grant date fair value and is included in salaries and benefits (non-interest expense).

As of September 30, 2022, our total unrecognized compensation cost related to unvested restricted shares was \$96.4 million, which is expected to be recognized over a weighted-average period of 1.53 years. During the three and nine months ended September 30, 2022, we recognized compensation expense of \$15.1 million and \$43.7 million, respectively, for restricted shares. The total fair value of restricted shares that vested during the three and nine months ended September 30, 2022 was eight thousand and \$108.4 million, respectively.

Income Taxes

Income tax expense for the quarter ended September 30, 2022 was \$104.7 million reflecting an effective tax rate of 22.6%, compared to income tax expense of \$85.6 million for the quarter ended September 30, 2021, reflecting an effective tax rate of 26.2%. The decrease in the effective tax rate is primarily a result of an increase in tax benefits associated with the strategic growth of our sustainable finance lending portfolio.

For the nine months ended September 30, 2022, the provision for income taxes was \$311.4 million reflecting an effective tax rate of 23.1%, compared to \$222.8 million for the nine months ended September 30, 2021 reflecting an effective tax rate of 25.6%. The decrease in the effective tax rate is primarily due to one-time tax benefits totaling \$41.6 million, mostly related to the vesting of employee stock based compensation awards at a price significantly higher than the fair market value at the time of grant and an increase in tax benefits associated with the strategic growth of our sustainable finance lending portfolio.

Segment Results

On an annual basis, we reevaluate our segment reporting conclusions. Based on our internal operating structure and the relative significance of the specialty finance business, our operations are organized into two reportable segments representing our core businesses – Commercial Banking and Specialty Finance.

Commercial Banking principally consists of commercial real estate, commercial and industrial lending, fund banking, venture banking, and other commercial deposit gathering activities, while Specialty Finance principally consists of financing and leasing products, including equipment, transportation, commercial marine, municipal, sustainable energy and national franchise financing and/or leasing. The primary factors considered in determining these reportable segments include the nature of the underlying products and services offered, how products and services are provided to our clients, and our internal operating structure.

The segment information reported uses a “management approach” based on how management organizes its segments for purposes of making operating decisions and assessing performance. The Bank’s segment results are intended to reflect each segment as if it were a stand-alone business. Management’s accounting process uses various estimates and allocation methodologies to measure the performance of the segments. To determine financial performance for each segment, the Company allocates funding costs and certain non-interest expenses to each segment, as applicable. Management does not consider income tax expense when assessing segment profitability and, therefore, it is not disclosed in the tables below. Instead, the Bank’s income tax expense is calculated and evaluated at a consolidated level.

The following tables present the financial data for each reportable segment for the periods presented:

<i>(in thousands)</i>	Commercial Banking	Specialty Finance	Eliminations (1)	Consolidated
Three months ended September 30, 2022				
Net interest income	\$ 633,319	40,671	—	673,990
Provision for (recovery of) credit losses	25,668	3,398	—	29,066
Total non-interest income	42,166	1,591	(6)	43,751
Total non-interest expense	214,241	11,226	(6)	225,461
Income before income taxes	435,576	27,638	—	463,214
Total assets	\$ 114,346,448	6,767,119	(6,644,821)	114,468,746
Three months ended September 30, 2021				
Net interest income	\$ 443,697	37,179	—	480,876
Provision for (recovery of) credit losses	3,188	797	—	3,985
Total non-interest income	29,702	1,673	(8)	31,367
Total non-interest expense	171,628	9,623	(8)	181,243
Income before income taxes	298,583	28,432	—	327,015
Total assets	\$ 107,846,086	5,360,257	(5,355,604)	107,850,739

(1) Eliminations related to intercompany funding.

<i>(in thousands)</i>	Commercial Banking	Specialty Finance	Eliminations (1)	Consolidated
Nine months ended September 30, 2022				
Net interest income	\$ 1,779,561	117,094	—	1,896,655
Provision for (recovery of) credit losses	21,795	14,214	—	36,009
Total non-interest income	111,164	4,671	(18)	115,817
Total non-interest expense	595,816	33,089	(18)	628,887
Income before income taxes	1,273,114	74,462	—	1,347,576
Total assets	\$ 114,346,448	6,767,119	(6,644,821)	114,468,746
Nine months ended September 30, 2021				
Net interest income	\$ 1,234,653	109,951	—	1,344,604
Provision for credit losses	35,400	7,765	—	43,165
Total non-interest income	82,406	5,194	(164)	87,436
Total non-interest expense	483,061	36,756	(164)	519,653
Income before income taxes	798,598	70,624	—	869,222
Total assets	\$ 107,846,086	5,360,257	(5,355,604)	107,850,739

(1) Eliminations related to intercompany funding.

Commercial Banking

Commercial Banking consists principally of commercial real estate lending, commercial and industrial lending, fund banking, venture banking, and other commercial deposit gathering activities.

(in thousands)	At or for the three months ended September 30,		At or for the nine months ended September 30,	
	2022	2021	2022	2021
Net interest income	\$ 633,319	443,697	1,779,561	1,234,653
Provision for (recovery of) credit losses	25,668	3,188	21,795	35,400
Total non-interest income	42,166	29,702	111,164	82,406
Total non-interest expense	214,241	171,628	595,816	483,061
Income before income taxes	435,576	298,583	1,273,114	798,598
Total assets	\$ 114,346,448	107,846,086	114,346,448	107,846,086

Commercial Banking net interest income for the three months ended September 30, 2022 increased \$189.6 million, or 42.7%, to \$633.3 million, when compared to \$443.7 million for the same period last year. Commercial Banking net interest income for the nine months ended September 30, 2022 increased \$544.9 million, or 44.1%, to \$1.78 billion, when compared to \$1.23 billion for the same period last year. The increases in net interest income were largely driven by an increase in average interest-earning assets and an increase in yield on these assets, due to higher prevailing market interest rates as well as the deployment of cash into higher yielding assets, partially offset by an increase in average cost of funds compared with the same periods last year.

The provision for credit losses increased \$22.5 million, or over 100%, to \$25.7 million for the quarter ended September 30, 2022, compared to \$3.2 million for the same period prior year. The increase in the Bank's provision for credit losses for the quarter ended September 30, 2022 was primarily attributable to a deteriorating macroeconomic forecast, slower forecasted GDP growth, higher unemployment rate forecasts, persisting inflation, higher interest rates due to the Federal Reserve's frequent rate hikes, and forecasted widening credit spreads. For the nine months ended September 30, 2022, the provision for credit losses decreased \$13.6 million, or 38.4%, to a \$21.8 million reserve build, compared to a \$35.4 million reserve build for the same period last year. The decrease in the Bank's provision for credit losses for the nine months ended September 30, 2022 was predominantly attributable to improved market conditions in our multifamily portfolio compared with the same period last year, partially offset by deterioration in our macroeconomic forecast. For additional information about the provision for credit losses, see the discussion of asset quality and the ACL later in this report, as well as in Allowance for Credit Losses footnote to our Consolidated Financial Statements.

Non-interest expense was \$214.2 million for the quarter ended September 30, 2022, an increase of \$42.6 million, or 24.8%, when compared to \$171.6 million for the quarter ended September 30, 2021. For the nine months ended September 30, 2022, non-interest expense was \$595.8 million, an increase of \$112.8 million, or 23.3%, when compared to the same period last year. The increase was predominantly due to the addition of new private client banking teams, national banking practices, and operational personnel, as well as client activity related expenses that have increased with the growth in our clients and businesses.

The increase of \$6.50 billion in total assets, or 6.0%, from \$107.85 billion as of September 30, 2021 to \$114.35 billion as of September 30, 2022, was primarily attributable to continued growth in our commercial and industrial portfolios, primarily fund banking, as well as a significant increase in our investment portfolio due to continued strong deposit growth compared to the same period last year.

Specialty Finance

Specialty Finance consists principally of financing and leasing products, including equipment, transportation, commercial marine, municipal, sustainable energy and national franchise financing and/or leasing. Specialty Finance's clients are located throughout the United States.

(in thousands)	At or for the three months ended September 30,		At or for the nine months ended September 30,	
	2022	2021	2022	2021
Net interest income	\$ 40,671	37,179	117,094	109,951
Provision for (recovery of) credit losses	3,398	797	14,214	7,765
Total non-interest income	1,591	1,673	4,671	5,194
Total non-interest expense	11,226	9,623	33,089	36,756
Income before income taxes	27,638	28,432	74,462	70,624
Total assets	\$ 6,767,119	5,360,257	6,767,119	5,360,257

Specialty Finance net interest income was \$40.7 million for the quarter ended September 30, 2022, an increase of \$3.5 million, or 9.4%, when compared to \$37.2 million for the same period last year. Net interest income was \$117.1 million for the nine months ended September 30, 2022, an increase of \$7.1 million, or 6.5% when compared to the same period last year. The increase in both periods was primarily attributable to the continued loan growth in our equipment lending portfolios.

The provision for credit losses increased \$2.6 million, or over 100%, from \$0.8 million for the quarter ended September 30, 2021 to \$3.4 million for the quarter ended September 30, 2022. For the nine months ended September 30, 2022, the provision for credit losses increased \$6.4 million, or 83.1%, to \$14.2 million. The increase in both periods was primarily attributable to continued loan growth when compared to the same period last year, as well as deterioration in the macroeconomic forecast. For additional information about the provision for credit losses, see the discussion of asset quality and the ACL later in this report, as well as in Allowance for Credit Losses footnote to our Consolidated Financial Statements.

Non-interest expense was \$11.2 million for the quarter ended September 30, 2022, an increase of \$1.6 million or 16.7%, when compared to \$9.6 million for the same period last year. The increase is primarily attributable to continued business expansion. For the nine months ended September 30, 2022, non-interest expense was \$33.1 million, a decrease of \$3.7 million, or 10.0%, when compared to \$36.8 million for the same period last year. The decrease was primarily attributable to a decrease in taxi medallion repossessed asset valuation expense, partially offset by an increase due to continued business expansion, when compared to the same periods last year.

The increase of \$1.41 billion in total assets, or 26.2%, from \$5.36 billion as of September 30, 2021 to \$6.77 billion as of September 30, 2022, was primarily attributable to the continued growth in our equipment lending portfolios.

FINANCIAL CONDITION

Securities Portfolio

Securities in our investment portfolio are designated as either available-for-sale (“AFS”) or held-to-maturity (“HTM”) based upon various factors, including asset/liability management strategies, liquidity and profitability objectives and regulatory requirements. AFS securities may be sold prior to maturity, based upon asset/liability management decisions and are carried at fair value.

Unrealized gains and losses on AFS securities are recorded in accumulated other comprehensive loss, net of tax, in shareholders' equity. A decline in fair value below amortized cost basis of an AFS security is assessed whether it is caused by credit-related or noncredit-related factors. Credit attributable losses are recognized as an allowance on the balance sheet with a corresponding adjustment to current earnings; while the non-credit related component is recognized in accumulated other comprehensive loss, net of tax. The total amount of impairment loss is limited to the difference between the security's amortized cost and fair value, i.e., the “fair value floor.” Both the allowance and the adjustment to net income can be reversed if conditions change subsequently.

HTM securities are reviewed upon acquisition to determine whether it has experienced a more-than-insignificant deterioration in credit quality since its original issuance date, i.e., if they meet the definition of a purchased credit impaired asset (“PCDs”). No HTM securities were identified as PCDs as of September 30, 2022. As a result, our HTM securities are carried at cost and adjusted for amortization of premiums or accretion of discounts, which are periodically adjusted for estimated prepayments. Expected credit losses on HTM debt securities through the life of the financial instrument are estimated and recognized as an allowance on the balance sheet with a corresponding adjustment to current earnings. As of period end, substantially all of our HTM securities are guaranteed by the U.S. Government, issued by government sponsored entities (“GSEs”) or U.S. Government agencies, and have a zero loss assumption, leaving only a few HTM securities where a reserve is applicable. Subsequent favorable or adverse changes in expected cash flow will first decrease or increase the allowance for credit losses. If the change in expected cash flows has reduced the allowance to a level below zero, the accretable yield is adjusted on a prospective basis.

At September 30, 2022, our total securities portfolio was \$26.05 billion and primarily consisted of mortgage-backed securities (“MBSs”) and collateralized mortgage obligations (“CMOs”) issued by U.S. Government agencies (\$2.30 billion), government-sponsored enterprises (\$19.73 billion), and private issuers (\$905.3 million). As of September 30, 2022, 83.0% of our securities portfolio had a AAA credit rating, 96.8% had a credit rating of A or better, and 99.7% were rated investment grade or better. Overall, our securities portfolio had a weighted average duration of 4.55 years and a weighted average life of 5.85 years as of September 30, 2022. For further discussion of our investment securities and the related determination of fair value, see Fair Value Measurements and Securities footnotes to our Consolidated Financial Statements.

The agency MBS portfolio primarily consists of adjustable-rate hybrid securities, fixed-rate balloon and seasoned 15-year structures. The agency CMO portion of our portfolio primarily consists of short duration planned amortization and sequential structures, collateralized by conforming first lien residential mortgages. The private CMO portfolio consists of prime borrowers with seasoned underlying mortgages and supportive credit enhancement. Our asset-backed portfolio primarily consists of intermediate term fixed rate AAA and floating rate AA/A rated credit card, auto and home equity collateralized securities and collateralized debt obligations.

At September 30, 2022, the net unrealized loss on securities, net of tax effect, was \$1.82 billion as reflected in accumulated other comprehensive loss, compared to a net unrealized loss of \$174.7 million at December 31, 2021. The increase in unrealized losses is due to the prevailing higher interest rate environment and the pace at which interest rate hikes have occurred in 2022. The fair value of our AFS securities is affected by several factors, including (i) credit spreads, (ii) the interest rate environment, (iii) unemployment rates, (iv) delinquencies and defaults on the mortgages underlying such obligations, (v) changes in interest rates resulting from expiration of the fixed rate portion of adjustable rate mortgages, (vi) changing home prices, (vii) market liquidity for such obligations, and (viii) uncertainties with respect to government-sponsored enterprises such as Fannie Mae and Freddie Mac, which guarantee many of the debt securities we own. The estimated effect of possible changes in interest rates on our earnings and equity is discussed in “Item 3. Quantitative and Qualitative Disclosures About Market Risk.”

We continue to closely monitor the securities in our investment portfolio, and other than those securities for which we have recorded credit losses, we have no intent to sell these securities, and we believe it is not more likely than not that we will be required to sell these investments before recovery of their amortized cost basis. In the event these securities demonstrate an adverse change in expected cash flows and we no longer expect to recover the amortized cost basis or if we change our intent to hold these securities, the security's cost basis will be written down to its fair value through earnings. If there is an existing allowance for credit losses, the allowance will be written off against the security's amortized cost basis first with the remaining difference between the fair value and amortized cost recognized as a loss in earnings.

Loan Portfolio

The following table presents information regarding the composition of our loan portfolio, including loans held for sale, as of the dates indicated:

(dollars in thousands)	September 30, 2022		December 31, 2021	
	Amount	Percentage	Amount	Percentage
Mortgage loans:				
Multi-family residential property	\$ 18,930,325	25.45%	16,113,590	24.68%
Commercial property	11,453,602	15.40%	10,682,276	16.36%
Acquisition, development and construction loans	1,533,990	2.06%	1,514,011	2.32%
1-4 family residential property	392,248	0.53%	450,782	0.69%
Home equity lines of credit	57,229	0.08%	69,156	0.11%
Other loans:				
Fund banking	29,789,283	40.05%	26,300,495	40.29%
Specialty finance	6,381,854	8.58%	5,276,337	8.08%
Other commercial and industrial	5,185,387	6.97%	3,689,486	5.66%
PPP loans	170,396	0.23%	835,743	1.28%
SBA guaranteed portion	473,868	0.64%	341,604	0.52%
Consumer	7,108	0.01%	7,509	0.01%
Sub-total / Total	74,375,290	100.00%	65,280,989	100.00%
Premiums, deferred fees and costs	(10,341)		(31,426)	
Total	\$ 74,364,949		65,249,563	

Total loans increased by \$9.12 billion to \$74.36 billion at September 30, 2022 from \$65.25 billion at December 31, 2021, primarily as a result of growth in Fund Banking, Commercial Real Estate, Commercial Mortgage Finance, Specialty Finance, Venture Banking, Asset Based Lending, West Coast C&I teams and our new Healthcare Banking and Finance Team, who all contributed to growth during the first three quarters of 2022, exhibiting our overall business diversification. Our total loan-to-deposit ratio, excluding loans held for sale, increased to 71.8% as of September 30, 2022 when compared to 61.1% at December 31, 2021, primarily as a result of continued strong loan growth during the first three quarters of 2022.

Substantially all of the collateral for our loans secured by real estate is located within the New York metropolitan area. As a result, our financial condition and results of operations may be affected by changes in the economy and the real estate market of the New York metropolitan area. A prolonged period of economic recession or other adverse economic conditions in the New York metropolitan area may result in an increase in nonpayment of loans, a decrease in collateral value, and an increase in our ACL.

We only securitize the U.S. Government guaranteed portion of SBA loans, and we have not securitized any of our loans secured by real estate. As a result, we have not made any representations to, and do not have obligations to, third-party purchasers regarding any such loans.

In order to manage credit quality, we view the Bank's loan portfolio by various segments and classes of loans. For commercial loans, we assign individual credit ratings ranging from 1 (lowest risk) to 9 (highest risk) as an indicator of credit quality. These ratings are based on specific risk factors, including (i) historical and projected financial results of the borrower, (ii) market conditions of the borrower's industry that may affect the borrower's future financial performance, (iii) business experience of the borrower's management, (iv) nature of the underlying collateral, if any, and (v) history of the borrower's payment performance. See Loans and Leases, Net footnote to our Consolidated Financial Statements for the summary of our portfolio of commercial loans by credit rating as of September 30, 2022 and December 31, 2021.

Asset Quality

Nonperforming Assets

Nonperforming assets include nonaccrual loans and investment securities as well as other real estate owned and other repossessed assets. Loans are generally placed on nonaccrual status upon becoming 90 days past due, for single family property loans, based on contractual terms. In the case of commercial loans and loans secured by real estate, exceptions may be made if the loan has sufficient collateral value, based on a current appraisal, and is in process of collection. Additionally, other considerations are made in determining whether a loan should be classified as nonaccrual, including whether the loan is to a borrower in an industry experiencing economic stress, whether the borrower is experiencing other issues such as inadequate cash flow, or the nature of the underlying collateral and whether it is susceptible to deterioration in realizable value.

At the time a loan is placed on nonaccrual status, the accrued but uncollected interest receivable is reversed and accounted for on a cash basis or cost recovery basis, until qualifying for return to accrual status. Management's classification of a loan as nonaccrual does not necessarily indicate that the principal of the loan is uncollectible in whole or in part.

The following table summarizes our nonperforming assets, accruing troubled debt restructured loans, loans that were 90 days past due as to principal or interest, other impaired loans, and certain asset quality indicators as of the dates indicated:

<i>(dollars in thousands)</i>	September 30, 2022	June 30, 2022	December 31, 2021	September 30, 2021
Nonaccrual assets:				
Loans	\$ 131,520	109,753	103,560	107,562
Troubled debt restructured loans	53,780	58,136	114,735	57,822
Investment securities, at fair value	—	—	700	695
Other repossessed assets	1,627	4,173	5,658	15,874
Total nonperforming assets	\$ 186,927	172,062	224,653	181,953
Accruing troubled debt restructured loans (1)	\$ 357,895	363,279	323,435	308,873
Accruing loans past due 90 days or more (2):				
Loans	\$ 29,536	49,076	3,078	77,622
Loans held for sale (3)	\$ 4,160	6,810	12,112	3,536
Asset Quality Ratios:				
Total nonaccrual loans to total loans	0.25 %	0.23 %	0.34 %	0.28 %
Total nonperforming assets to total assets	0.16 %	0.15 %	0.19 %	0.15 %
ACLLL to nonaccrual loans	250.87 %	265.63 %	217.32 %	302.85 %

(1) Includes reasonably expected TDRs.

(2) See Loans and Leases, Net footnote for full delinquency status of our loan portfolio.

(3) Accruing loans held for sale past due 90 days or more are comprised of U.S. Government guaranteed SBA loans.

Significant nonaccrual loans at September 30, 2022 primarily consisted of 15 commercial property loans, predominantly retail commercial property loans, totaling \$123.0 million, four multi-family loans totaling \$39.5 million, and seven commercial and industrial loans, totaling \$14.0 million. Each nonaccrual loan is being actively managed by the Bank, and the ACL includes a specific allocation for each individual loan, when appropriate.

Nonaccrual investment securities at September 30, 2022 and December 31, 2021 were zero and \$700,000, respectively. At December 31, 2021, the nonaccrual investment security consisted of one bank-collateralized pooled trust preferred AFS security which was sold during 2022.

As of September 30, 2022, accruing loans past due 30 to 89 days were \$68.8 million, including \$16.0 million of loans that subsequently made payments by October 12, 2022. Accruing loans past due 30 to 89 days were \$97.5 million as of December 31, 2021.

As of September 30, 2022, loans past due 90 days or more and still accruing totaled \$33.7 million. At December 31, 2021, loans past due 90 days or more and accruing primarily consisted of \$12.1 million of government-guaranteed SBA loans and two acquisition, development and construction loans totaling \$2.3 million that were well secured and in process of collection.

For economic reasons and to maximize the recovery of loans, we may work with borrowers experiencing financial difficulties and will consider modifications to a borrower's existing loan terms and conditions that we would not otherwise consider, commonly referred to as TDRs. Our TDRs consist of those loans where we modify the contractual terms of the loan, such as (i) a deferral of the loan's principal amortization through either interest-only or reduced principal payments, (ii) a reduction in the loan's contractual interest rate, (iii) principal forgiveness, or (iv) an extension of the loan's contractual term. For a summary of our accounting methodologies relating to TDRs, see the Allowance for Credit Losses for Loans and Leases section of our Critical Accounting Policies. Additionally, for a discussion of our TDRs and the related financial effects, see Allowance for Credit Losses footnote to our Consolidated Financial Statements.

Our repossessed assets as of September 30, 2022 and December 31, 2021 totaled \$1.6 million and \$5.7 million, respectively. The decrease is primarily driven by the sale of approximately \$2.2 million of repossessed equipment and \$1.6 million of repossessed taxi medallions during the first three quarters of 2022.

COVID-19 Related Loan Modifications

As of September 30, 2022, the Bank had zero outstanding non-payment deferrals, compared with \$8.3 million, or 0.01% of total loans, at December 31, 2021. Additionally, as of September 30, 2022, \$657.1 million, or 0.89% of total loans, is comprised of modified principal and interest payments, predominantly interest-only structures. This compares to the modified principal and interest payments of \$1.88 billion, or 2.9% of total loans at December 31, 2021. The positive trend is the result of the continued economic recovery coming out of the lows of the COVID-19 pandemic.

Allowance for Credit Losses for Loans and Leases

Our ACLLL for funded loans and leases is established through a provision for credit losses for loans and leases charged to current earnings and an adjustment to the Allowance for credit losses for loans and leases. It represents management's estimate of CECL in the Company's loan and lease portfolio over its expected life. The ACLLL estimation is inherently subjective as it requires the use of a broad range of information including asset specific risk characteristics, information about past events and current conditions, as well as the macroeconomic forecast during the RNS period, all of which are susceptible to potential significant revision as more information becomes available.

At September 30, 2022 and December 31, 2021, our ACLLL totaled \$464.9 million and \$474.4 million, respectively, which represents 0.63% and 0.73% of total loans and leases (excluding loans held for sale), as of both period end dates, respectively. For a summary of our accounting methodologies relating to the ACL for loans and leases, see the Allowance for Credit Losses for Loans and Leases section of our Critical Accounting Policies.

The provision for credit losses for loans and leases is a charge to earnings to maintain the ACL for loan and leases at a level consistent with management's assessment of the loan portfolio in light of past events, current economic conditions and the macroeconomic forecast during the RNS period. For the three and nine months ended September 30, 2022, we recorded a provision of \$29.1 million and \$36.0 million, respectively, as compared to \$4.0 million and \$43.2 million for the comparative periods in the prior year, respectively. The increase in our provision for credit losses for the three months ended September 30, 2022 was predominantly attributable to a deteriorating macroeconomic forecast, slower forecasted GDP growth, higher unemployment rate forecasts, persisting inflation, higher interest rates due to the Federal Reserve's frequent rate hikes, and forecasted widening credit spreads. The decrease in our provision for credit losses for the nine months ended September 30, 2022 was predominantly attributable to improvements in NYC multi-family market, partially offset by the aforementioned deterioration in the macroeconomic forecast. The overall multi-family sector improvement is apparent in the forecast assumptions, but also with increasing post-pandemic rent levels resulting in a larger degree of improving debt service coverage ratios in the current year compared with the same period last year. In recent years, the portfolio mix of our loan growth has continued to shift from commercial real estate to fund banking. As fund banking loans generally possess stronger credit quality, as evident in the portfolio risk rating composition, a lower loss rate is ascribed, which also further contributed to this decrease. See Allowance for Credit Losses footnote for additional information regarding the period over period provision for credit losses fluctuations.

The following table allocates our ACLLL to the respective portfolio categories and includes the percentage of loans in each category as of the dates indicated:

	September 30, 2022			December 31, 2021		
(dollars in thousands)	Loan Amount	Allowance Amount	Allowance as a % of Loan Amount	Loan Amount	Allowance Amount	Allowance as a % of Loan Amount
Mortgage loans:						
Multi-family residential property	\$ 18,930,325	70,582	0.37 %	16,113,590	80,633	0.50 %
Commercial property (2)	11,453,602	186,947	1.63 %	10,682,276	221,631	2.07 %
Acquisition, development and construction loans	1,533,990	85,361	5.56 %	1,514,011	67,498	4.46 %
1-4 family residential property	392,248	7,516	1.92 %	450,782	7,350	1.63 %
Home equity lines of credit	57,229	2,173	3.80 %	69,156	2,545	3.68 %
Other commercial loans:						
Fund banking	29,789,283	3,817	0.01 %	26,300,495	4,334	0.02 %
Specialty finance	6,381,854	74,995	1.18 %	5,276,337	62,119	1.18 %
Commercial and industrial	5,185,387	32,705	0.63 %	3,689,486	27,482	0.74 %
PPP loans (1)	170,396	—	— %	835,743	—	— %
Other loans:						
Consumer	7,108	762	10.72 %	7,509	797	10.61 %
Total	\$ 73,901,422	464,858	0.63 %	64,939,385	474,389	0.73 %

(1) Zero ACL for PPP loans due to government guarantee associated with the program.

(2) Loss rate decline from December 31, 2021 to September 30, 2022 was primarily attributable to \$44.5 million charge-offs on two retail commercial property loans, which were fully reserved for and the reserves were released to cover the charge-offs of their respective individually assessed reserves. See Allowance for Credit Losses for Loans from the Asset Quality section above for detailed discussions.

Summary of Loan Loss Experience

The following table presents a summary by loan portfolio segment of our ACLLL, loan loss experience, and provision for credit losses for the periods indicated:

(dollars in thousands)	At or for the three months ended September 30,		At or for the nine months ended September 30,	
	2022	2021	2022	2021
Beginning balance - ACLLL	\$ 445,965	514,794	474,389	508,299
Charge-offs:				
Credit-rated commercial loans	(10,238)	(19,318)	(52,124)	(55,219)
Non-rated commercial loans	(102)	(102)	(131)	(372)
Residential mortgages	(1,286)	—	(1,926)	—
Consumer loans	(37)	(24)	(59)	(44)
Total charge-offs	(11,663)	(19,444)	(54,240)	(55,635)
Recoveries:				
Credit-rated commercial loans	1,374	2,048	6,241	4,872
Non-rated commercial loans	40	53	170	185
Residential mortgages	15	19	109	24
Consumer loans	7	8	44	40
Total recoveries	1,436	2,128	6,564	5,121
Net charge-offs	(10,227)	(17,316)	(47,676)	(50,514)
Provision	29,120	3,384	38,145	43,077
Ending balance - ACLLL	\$ 464,858	500,862	464,858	500,862
Ratio:				
ACLLL to total loans	0.63%	0.85%	0.63%	0.85%

The following table presents the ratio of net charge-offs by loan portfolio categories to average loans outstanding for the periods indicated:

(in thousands)	Three months ended September 30,				Nine months ended September 30,			
	2022		2021		2022		2021	
	Net Charge-offs (recoveries)	Ratio (2)	Net Charge-offs (recoveries)	Ratio (2)	Net Charge-offs (recoveries)	Ratio (2)	Net Charge-offs (recoveries)	Ratio (2)
Mortgage loans:								
Multi-family residential property	\$ 3,780	0.02 %	6,691	0.05 %	1,169	— %	7,230	0.02 %
Commercial property	5,363	0.03 %	8,195	0.06 %	45,627	0.09 %	29,162	0.07 %
Acquisition, development and construction loans	—	— %	(22)	— %	—	— %	3,353	0.01 %
1-4 family residential property	344	— %	(2)	— %	968	— %	854	— %
Home equity lines of credit	1,230	0.01 %	(17)	— %	1,152	— %	(17)	— %
Commercial & industrial loans (1):	—	— %	—	— %	—	— %	—	— %
Fund banking	—	— %	—	— %	—	— %	—	— %
Specialty finance	(450)	— %	(918)	(0.01) %	(991)	— %	1,777	— %
Other commercial and industrial	(70)	— %	3,373	0.02 %	(264)	— %	8,151	0.02 %
Consumer	30	— %	16	— %	15	— %	4	— %
Total net charge-offs	\$ 10,227	0.06 %	17,316	0.12 %	47,676	0.09 %	50,514	0.12 %
Average loans outstanding	\$ 73,465,997		55,454,025		69,053,357		52,452,239	

(1) Excludes PPP loans.

(2) Ratios are annualized.

For the quarter ended September 30, 2022, net charge-offs were \$10.2 million, compared to \$17.3 million for the same period last year. Significant charge-offs during the quarter ended September 30, 2022 primarily consisted of \$5.4 million related to two commercial property loans, \$3.3 million related to one multi-family loan, and \$642,000 related to one home equity line of credit. Net charge-offs were \$47.7 million for the nine months ended September 30, 2022, when compared to \$50.5 million for the same period last year.

Deposits

The market for deposits continues to be very competitive. We primarily focus our deposit gathering efforts in the greater New York, Los Angeles and San Francisco metropolitan area markets with money center banks, regional banks and community banks as our primary competitors. Beginning in 2019, we expanded our deposit gathering efforts to the West Coast with the opening of our first full-service private client banking office in San Francisco, and further, with the addition of the Specialized Mortgage Banking Solutions team. Since then, we on-boarded 33 private client banking teams in the Greater Los Angeles, San Francisco and Central California markets. Additionally, in the third quarter of 2022, the Bank on-boarded six private client banking teams in New York. In the 2022 second quarter, the Bank launched a new national banking practice, the Healthcare Banking and Finance Team, to provide lending services and garner deposits in this space. We distinguish ourselves from competitors by focusing on our target market: privately owned businesses, their owners and their senior managers, as well as private equity firms and their general partners. This niche approach, coupled with our relationship-banking model, provides our clients with a personalized service, which we believe gives us a competitive advantage.

We offer a variety of deposit products to our clients at interest rates competitive with other banks. Our business deposit products include commercial checking accounts, money market accounts, escrow deposit accounts, cash concentration accounts and other cash management products. Our personal deposit products include checking accounts, money market accounts and certificates of deposit. We also allow our personal and business deposit clients to access their accounts, transfer funds, pay bills and perform other account functions over the internet through ATMs, and/or via our mobile banking app. Given our business model, our depositor base is more heavily weighted to larger uninsured deposits than many other banks. As of September 30, 2022, approximately 91.0% of our total deposits of \$93.56 billion were not FDIC-insured.

Core deposits, which exclude time deposits and brokered deposits, decreased \$4.78 billion to \$98.57 billion as of September 30, 2022, from \$103.36 billion as of December 31, 2021. This decline year-to-date was primarily due to outflows related to the Digital Asset Banking Team, which declined \$3.06 billion. These decreases were partially offset by additional deposits garnered by the new and existing private client banking teams on the east and west coast, as well as the Specialized Mortgage Banking Solutions and Healthcare Banking and Finance Teams.

The following table presents the composition of our deposit accounts as of the dates indicated:

<i>(dollars in thousands)</i>	<i>September 30, 2022</i>		<i>December 31, 2021</i>	
	Amount	Percentage	Amount	Percentage
Personal demand deposit accounts (1)	\$ 1,686,854	1.64%	1,996,840	1.88%
Business demand deposit accounts (1)	35,671,749	34.71%	42,068,163	39.64%
Brokered demand deposit accounts (1)	16,813	0.02%	298,212	0.28%
Personal NOW	35,324	0.03%	49,687	0.05%
Business NOW	23,054,998	22.43%	17,098,153	16.11%
Brokered NOW	1,004,242	0.98%	22,137	0.02%
Rent security	368,692	0.36%	333,914	0.31%
Personal money market accounts	4,431,175	4.31%	4,581,407	4.32%
Business money market accounts	33,323,727	32.42%	37,227,330	35.08%
Brokered money market accounts	398,281	0.39%	913,838	0.86%
Personal time deposits	352,697	0.34%	361,630	0.34%
Business time deposits	1,438,613	1.40%	1,170,691	1.10%
Brokered time deposits	992,349	0.97%	10,792	0.01%
Total	\$ 102,775,514	100.00%	106,132,794	100.00%
Demand deposit accounts (1)	\$ 37,358,603	36.35%	44,065,003	41.52%
NOW	23,090,322	22.47%	17,147,840	16.16%
Money market accounts	38,123,594	37.09%	42,142,651	39.71%
Time deposits	1,791,310	1.74%	1,532,321	1.44%
Brokered deposits (2)	2,411,685	2.35%	1,244,979	1.17%
Total	\$ 102,775,514	100.00%	106,132,794	100.00%
Personal	\$ 6,506,050	6.33%	6,989,564	6.59%
Business	93,857,779	91.32%	97,898,251	92.24%
Brokered deposits (2)	2,411,685	2.35%	1,244,979	1.17%
Total	\$ 102,775,514	100.00%	106,132,794	100.00%

(1) Non-interest bearing.

(2) Includes non-interest bearing deposits of \$16.8 million and \$298.2 million as of September 30, 2022 and December 31, 2021, respectively.

Borrowings

At September 30, 2022, our borrowings were \$2.18 billion, or 2.1% of our funding liabilities, compared to \$3.36 billion, or 3.1% of our funding liabilities, at December 31, 2021. The decrease in our borrowings, primarily reflects a \$1.18 billion decrease in the use of FHLB borrowings during the first three quarters of 2022, primarily due to prepayment of borrowings as a result of the significant excess cash balances and inflow of deposits reducing the need for external funding. In addition, we have the ability to borrow from the discount window of the Federal Reserve Bank of New York ("FRB"). At September 30, 2022 and December 31, 2021, the Bank had no borrowings from the FRB. These borrowings, excluding our issued subordinated debt, are typically collateralized by mortgage-backed and collateralized mortgage obligation securities, along with commercial real estate loans. We also hold \$118.1 million in Federal Home Loan Bank of New York ("FHLB") capital stock as required collateral for our outstanding borrowing position with the FHLB at September 30, 2022. Based on our financial condition, our asset size, the available capacity under our repurchase agreement lines, our FHLB line and our FRB line, and the amount of securities and loans available for pledging, we estimate our available consolidated capacity for additional borrowings to be approximately \$36.09 billion at September 30, 2022.

The following table presents our borrowing capacity with the listed institutions as of the dates indicated:

<i>(in thousands)</i>	<i>September 30, 2022</i>	<i>December 31, 2021</i>
Federal Home Loan Bank	\$ 23,414,758	14,344,299
Federal Reserve Bank	12,672,865	8,113,929
Total	\$ 36,087,623	22,458,228

On October 6, 2020, the Bank completed a public offering of \$375.0 million aggregate principal amount of Fixed-to-Floating Rate Subordinated Notes due 2030. These notes accrue interest at a fixed rate of 4.00% per annum for the first five years until October 2025. After this date and for the remaining five years of these notes' term, interest will accrue at a floating rate of three-month American Interbank Offered Rate ("AMERIBOR") plus 389 basis points. Additionally, during the floating rate period and at the Bank's option, these notes can be prepaid by the Bank. Net proceeds from this offering were used for general corporate purposes, including to support our growth.

Additionally, on November 1, 2019, the Bank issued \$200.0 million aggregate principal amount of Fixed-to-Floating Rate Subordinated Notes due November 1, 2029. These notes accrue interest at a fixed rate of 4.125% for the first five years until November 2024. After this date and for the remaining five years of the these notes' term, interest will accrue at a floating rate of LIBOR plus 255.9 basis points. Additionally, during the floating rate period and at the Bank's option, these notes can be prepaid by the Bank. Net proceeds from this offering were used for general corporate purposes and to repurchase our common stock.

In 2016, the Bank issued \$260.0 million aggregate principal amount of Variable Rate Subordinated Notes due April 19, 2026 to institutional investors. These notes accrued interest at a fixed rate of 5.30% for the first five years until April 2021. After this date and for the remaining five years of these notes' term, interest was scheduled to accrue at a floating rate of LIBOR plus 3.92%. On April 19, 2021, the Bank redeemed these notes at a price of 100% of the principal amount to be redeemed, or \$260.0 million, plus accrued and unpaid interest of \$6.9 million, totaling \$266.9 million.

As of September 30, 2022, subordinated debt is reported in the Consolidated Statements of Financial Condition net of deferred issuance costs of \$3.7 million related to the corresponding debt offerings.

The following table presents the maturity or re-pricing of our borrowings as of September 30, 2022:

<i>(in thousands)</i>					
3 months or less	3 - 12 months	1 - 3 years	Over 3 years	Total (1)	
\$ 1,271,000	130,000	153,738	625,000	2,179,738	

(1) Excludes \$3.7 million of deferred issuance costs reported as a direct reduction to the subordinated debt carrying amount in the Consolidated Statements of Financial Condition.

Off-Balance Sheet Arrangements

In the normal course of business, we have various outstanding commitments and contingent liabilities not reflected in the accompanying Consolidated Financial Statements.

We enter into transactions that involve financial instruments with off-balance sheet risks in the ordinary course of business to meet the financing needs of our clients. Such financial instruments include commitments to extend credit, standby letters of credit, and unused balances under confirmed letters of credit, all of which are primarily variable rate. Such instruments involve, to varying degrees, elements of credit and interest rate risk.

Our exposure to credit loss in the event of nonperformance by the other party with regard to financial instruments is represented by the contractual notional amount of those instruments. Financial instrument transactions are subject to our normal credit policies and approvals, financial controls and risk limiting and monitoring procedures. We generally require collateral or other security to support financial instruments with credit risk.

The following table presents a summary of our commitments and contingent liabilities:

<i>(in thousands)</i>	September 30, 2022	December 31, 2021
Unused commitments to extend credit	\$ 28,116,256	22,717,603
Financial standby letters of credit	783,137	701,208
Commercial and similar letters of credit	21,631	19,376
Total	\$ 28,921,024	23,438,187

Commitments to extend credit consist of agreements having fixed expiration or other termination clauses and may require payment of a fee. Total commitment amounts may not necessarily represent future cash requirements. We evaluate each client's creditworthiness on a case-by-case basis. Upon the extension of credit, we will obtain collateral, if necessary, based on our credit evaluation of the counterparty. Collateral held varies but may include deposits held in financial institutions, real estate, accounts receivable, property, plant and equipment and inventory. In addition, standby letters of credit are conditional commitments issued by us to guarantee the performance of our clients' obligations to a third party. Standby letters of credit are primarily used to support clients' business trade transactions and may require payment of a fee. The credit risk involved in issuing letters of credit is essentially the same as that involved in extending loan facilities to clients. At September 30, 2022 and December 31, 2021, our ACL on total unfunded commitments to extend credit totaled \$6.7 million and \$8.0 million, respectively.

We recognize a liability at the inception of the guarantee that is equivalent to the fee received from the client. This liability is amortized over the term of the guarantee on a straight-line basis. At September 30, 2022 and December 31, 2021, we had deferred revenue for commitment fees paid for the issuance of standby letters of credit in the amount of \$2.0 million, respectively. As of September 30, 2022 and December 31, 2021, we had commitments to sell loans totaling \$4.9 million and \$3.0 million, respectively.

Capital Resources

As a New York state-chartered bank, we are required to maintain minimum levels of regulatory capital. These standards generally are as stringent as the comparable capital requirements imposed on national banks. The FDIC is also authorized to impose capital requirements in excess of these standards on individual banks on a case-by-case basis.

Basel III Requirements

On July 9, 2013, the FDIC approved final rules that substantially amended the regulatory risk-based capital rules applicable to Signature Bank, effective beginning January 1, 2015. The FDIC's final capital rules included new risk-based capital and leverage ratios, which were phased into effect over a multi-year period, and refine the definition of what constitutes "capital" for purposes of calculating those ratios. Full implementation of the capital rules for all institutions began on January 1, 2019. The minimum capital-level requirements applicable to Signature Bank under the final rules represented the following changes to the bank's capital adequacy requirements: (i) a new common equity Tier 1 risk-based capital ratio; (ii) an increase in the Tier 1 risk-based capital ratio minimum requirement from 4.0% to 6.0%; and (iii) a Tier 1 leverage ratio minimum requirement of 4.0% for all institutions, where prior to January 1, 2015, banks that received the highest rating of five categories used by regulators to rate banks and were not anticipating or experiencing any significant growth were required to maintain a leverage capital ratio of at least 3.0%.

The final rules also established a "capital conservation buffer" above the new regulatory minimum capital requirements, which must consist entirely of common equity Tier 1 capital. The phase-in of the capital conservation buffer began on January 1, 2016, at a level of 0.625% of risk-weighted assets for 2016 and increased to 1.250% for 2017. The minimum buffer was 1.875% for 2018 and is currently 2.500%. As the capital rules are now fully implemented, the following effective minimum

capital ratios currently apply: (i) a common equity Tier 1 capital ratio (plus capital conservation buffer) of 7.0%, (ii) a Tier 1 capital ratio (plus capital conservation buffer) of 8.5%, and (iii) a total capital ratio (plus capital conservation buffer) of 10.5%. Under the final rules, institutions are subject to limitations on paying dividends, engaging in share repurchases, and paying discretionary bonuses if their capital levels fall below the buffer amount. These limitations establish a maximum percentage of eligible retained income that could be utilized for such actions.

Basel III provided discretion for regulators to impose an additional buffer, the “countercyclical buffer,” of up to 2.5% of common equity Tier 1 capital to take into account the macro-financial environment and periods of excessive credit growth. However, the final rules apply the countercyclical buffer only to “advanced approaches banks” (i.e., banking organizations with \$250 billion or more in total assets or \$100 billion or more in total consolidated assets and \$75 billion or more in short-term wholesale funding, non-bank assets, off-balance sheet exposures, or cross-jurisdictional activities, which currently excludes Signature Bank. The final rules also implement revisions and clarifications consistent with Basel III regarding the various components of Tier 1 capital, including common equity, unrealized gains and losses, as well as certain instruments that will no longer qualify as Tier 1 capital, some of which will be phased out over time.

The final rules set forth certain changes for the calculation of risk-weighted assets, which we have been required to utilize since January 1, 2015. The standardized approach final rule utilizes an increased number of credit risk exposure categories and risk weights, and also addresses: (i) an alternative standard of creditworthiness consistent with the requirement of Section 939A of the Dodd-Frank Act to remove any references to our requirements of reliance upon credit ratings; (ii) revisions to recognition of credit risk mitigation; (iii) rules for risk weighting of equity exposures and past due loans; (iv) revised capital treatment for derivatives and repo-style transactions; and (v) disclosure requirements for top-tier banking organizations with \$50 billion or more in total assets that are not subject to the “advance approaches rules.” Based on our current capital composition and levels, we believe that we are in compliance with the requirements as set forth in the final rules as they are presently in effect.

We are also subject to FDIC regulations that apply to every FDIC-insured commercial bank and thrift institution, a system of mandatory and discretionary supervisory actions that generally become more severe as the capital levels of an individual institution decline. The regulations establish five capital categories for purposes of determining our treatment under these prompt corrective action (“PCA”) provisions: “well capitalized,” “adequately capitalized,” “undercapitalized,” “significantly undercapitalized,” or “critically undercapitalized.” As of September 30, 2022, the Bank’s capital ratios exceeded the minimum ratios established for a “well capitalized” institution.

Under the current PCA capital category definitions, we will be categorized as “well capitalized” if we (i) have a total risk-based capital ratio of 10.0% or greater; (ii) have a Tier 1 risk-based capital ratio of 8.0% or greater; (iii) have a common equity Tier 1 risk-based capital ratio of 6.5% or greater; (iv) have a leverage ratio of 5.0% or greater; and (v) are not subject to any written agreement, order, capital directive, or PCA directive issued by the FDIC to meet and maintain a specific capital level.

We will be categorized as “adequately capitalized” if we have (i) a total risk-based capital ratio of 8.0% or greater; (ii) a Tier 1 risk-based capital ratio of 6.0% or greater; (iii) a common equity Tier 1 capital ratio of 4.5% or greater; and (iv) a leverage ratio of 4.0% or greater (3.0% if we are rated in the highest supervisory category).

We will be categorized as “undercapitalized” if we have (i) a total risk-based capital ratio that is less than 8.0%; (ii) a Tier 1 risk-based capital ratio that is less than 6.0%; (iii) a common equity Tier 1 capital ratio that is less than 4.5%; or (iv) a leverage ratio that is less than 4.0%.

We will be categorized as “significantly undercapitalized” if we have (i) a total risk-based capital ratio that is less than 6.0%; (ii) a Tier 1 risk-based capital ratio that is less than 4.0%; (iii) a common equity Tier 1 capital ratio that is less than 3.0%; or (iv) a leverage ratio that is less than 3.0%.

We will be categorized as “critically undercapitalized” and subject to provisions mandating appointment of a conservator or receiver if we have a ratio of “tangible equity” to total assets that is 2.0% or less. “Tangible equity” generally includes core capital plus cumulative perpetual preferred stock.

The capital amounts and ratios presented in the following table demonstrate that we were “well capitalized” as of September 30, 2022:

(dollars in thousands)	Actual		Required for Capital Adequacy Purposes		Required to be Well Capitalized	
	Amount	Ratio	Amount	Ratio	Amount	Ratio
Total capital (to risk-weighted assets)	\$10,764,012	11.99 %	7,183,542	8.00 %	8,979,427	10.00 %
Tier 1 capital (to risk-weighted assets)	9,790,263	10.90 %	5,387,656	6.00 %	7,183,542	8.00 %
Common equity Tier 1 capital (to risk-weighted assets)	9,082,090	10.11 %	4,040,742	4.50 %	5,836,628	6.50 %
Tier 1 leverage capital (to average assets)	9,790,263	8.47 %	4,623,494	4.00 %	5,779,367	5.00 %

On March 27, 2020, the Federal Reserve, FDIC and OCC issued an interim final rule that delays the estimated impact on regulatory capital stemming from the implementation of CECL for a transition period of up to five years, and we elected to utilize this five-year transition period option.

During the quarter, the Bank continued to pay a quarterly common stock cash dividend of \$0.56 per share, or a total of \$35.3 million, for the second quarter of 2022. The Bank declared a cash dividend of \$0.56 per share, or a total of \$35.3 million payable on or after November 10, 2022 to common stockholders of record at the close of business on October 28, 2022. While our common stock repurchase program is active, the Bank has not repurchased common stock since March 2020 - see Item 2. *Unregistered Sales of Equity Securities and Use of Proceeds* for more information.

Additionally, the Bank issued \$375.0 million and \$200.0 million of subordinated debt to institutional investors on October 6, 2020 and November 1, 2019, respectively. On April 19, 2021, the Bank redeemed its Variable Rate Subordinated Notes due April 19, 2026, at a price of 100% of the principal amount to be redeemed, or \$260.0 million, plus accrued and unpaid interest of \$6.9 million, totaling \$266.9 million. Outstanding subordinated debt further strengthens our Tier 2 capital position.

In addition, in January 2022, July 2021 and February 2021, the Bank raised \$731.7 million, \$654.8 million and \$707.8 million of common stock in a public offering, respectively. Also on December 17, 2020, the Bank issued 5.00% Noncumulative Perpetual Series A Preferred Stock for net proceeds, after underwriting discounts and expenses, were approximately \$708.0 million.

We also declare and pay a quarterly cash dividend to preferred shareholders and preferred stock dividend payment dates will be the 30th day of March, June, September and December of each year, commencing on March 30, 2021. On September 30, 2022, the Bank paid a cash dividend of \$12.50 per share to preferred shareholders of record at the close of business on September 16, 2022. The Bank also declared a cash dividend of \$12.50 per share payable on December 30, 2022 to preferred shareholders of record at the close of business on December 16, 2022.

The capital amounts and ratios presented in the following table demonstrate that we were “well capitalized” as of December 31, 2021:

(dollars in thousands)	Actual		Required for Capital Adequacy Purposes		Required to be Well Capitalized	
	Amount	Ratio	Amount	Ratio	Amount	Ratio
Total capital (to risk-weighted assets)	\$ 9,088,403	11.76 %	6,184,619	8.00 %	7,730,774	10.00 %
Tier 1 capital (to risk-weighted assets)	8,127,884	10.51 %	4,638,465	6.00 %	6,184,619	8.00 %
Common equity Tier 1 capital (to risk-weighted assets)	7,419,711	9.60 %	3,478,848	4.50 %	5,025,003	6.50 %
Tier 1 leverage capital (to average assets)	8,127,884	7.27 %	4,472,491	4.00 %	5,590,614	5.00 %

We have paid cash dividends to eligible common stockholders on a quarterly basis beginning in the third quarter of 2018. We also initiated a stock repurchase program in 2018 until it was suspended during the first quarter of 2020. No common stock has been repurchased since March 2020 – see Item 2. *Unregistered Sales of Equity Securities and Use of Proceeds* for more information.

Stress Testing

Prior to the second quarter of 2018, the Dodd-Frank Act required banks with total consolidated assets of more than \$10 billion to conduct annual stress tests. However, the Economic Growth, Regulatory Relief, and Consumer Protection Act caused changes in the Dodd-Frank Wall Street Reform and Consumer Protection Act. Specifically, the Economic Growth Act raised the asset threshold for required Dodd-Frank Act Stress Tests ("DFAST") from \$10 billion to \$250 billion for insured depository institutions and bank holding companies and made the requirement "periodic" rather than "annual." On October 15, 2019, the FDIC adopted a final rule implementing portions of the Economic Growth Act which, among other things, raised the minimum asset threshold for covered banks to conduct stress tests from \$10 billion to \$250 billion in total consolidated assets. As a result of this final rule, Signature Bank is no longer subject to the stress testing requirements established by the Dodd-Frank Act until it accumulates \$250 billion in total consolidated assets. However, the Bank will continue to perform capital stress testing on a situational and idiosyncratic basis, such as during our annual capital planning and budgeting processes, as well as to assess the ongoing impact of the Bank's growth and other economic impacting events.

Resolution Plan

On January 19, 2021, the FDIC issued a statement announcing the continuation of the requirement for insured depository institutions with \$100 billion or more in total assets to submit resolution plans that will facilitate the FDIC's resolution of the institution under the Federal Deposit Insurance Act in the event of the institution's failure. On June 25, 2021, the FDIC issued a statement describing the modified approach that it plans to take in implementing certain aspects of its resolution plan rule with respect to insured depository institutions with \$100 billion or more in total assets. The Bank surpassed the \$100 billion total asset mark in the third quarter of 2021 and will be required to submit a resolution plan when it has \$100 billion or more in total assets as determined based upon the average of its four most recent Federal Financial Institutions Examination Council Consolidated Reports of Condition and Income Form 031 ("Call Reports"). Submissions are on a three-year cycle, and we were notified by the FDIC in March 2022 that we are required to submit our initial resolution plan on or before June 30, 2023. We are actively working towards completion of our initial resolution plan and fully expect to submit our plan to the FDIC by the required date.

Liquidity

Liquidity is the measurement of our ability to meet our cash needs. Our objective in managing liquidity is to maintain our ability to meet loan commitments and deposit withdrawals, purchase investments and pay other liabilities in accordance with their terms, without an adverse impact on our current or future earnings. Our liquidity management is guided by policies developed and monitored by our asset/liability management committee and approved by our Board of Directors. The asset/liability management committee consists of, among others, our Chairman, President and Chief Executive Officer, Vice Chairman, Chief Operating Officer, Chief Financial Officer, Chief Investment Officer and Treasurer. These policies take into account the marketability of assets, the source and stability of deposits, our wholesale borrowing capacity and the amount of our loan commitments. While the Bank may raise funds through a common stock offering, preferred stock offering or debt issuance to facilitate continued growth, our primary source of liquidity has been core deposit growth.

Additionally, we have borrowing sources available to supplement deposit flows, including the FHLB, the FRB and repurchase agreement lines with other financial institutions. We also have access to the brokered deposit market, through which we have numerous alternatives and significant capacity, if needed. We also opportunistically access capital markets from time to time to obtain additional capital to support our growth as evidenced by our historical and recent common stock offerings, recent preferred stock issuance in December 2020, as well as our subordinated debt issuances. In January 2022, July 2021 and February 2021, the Bank raised \$731.7 million, \$654.8 million and \$707.8 million of common stock, respectively, in public offerings.

Credit availability at the FHLB and FRB is based on our financial condition, our asset size and the amount of collateral we hold at each institution. At September 30, 2022, our FHLB borrowings totaled \$1.45 billion with an average rate of 3.07% that mature by February 2025. We had no securities sold under repurchase agreements to the FHLB as of September 30, 2022. While not pledged, the FHLB held \$16.04 billion of securities as custodian as of the quarter end. These securities can be pledged towards future borrowings, as necessary. At September 30, 2022 and December 31, 2021, the Bank had no borrowings with the FRB. While not pledged, the FRB held \$10.55 billion of commercial real estate loans and \$2.13 billion of securities as custodian as of the quarter end. These assets can be pledged towards future borrowings, as necessary.

We also have repurchase agreement lines with several leading financial institutions totaling \$2.03 billion. At September 30, 2022, we had \$150.0 million of securities sold under repurchase agreements to one of these institutions. These borrowings have an average rate of 1.92% and with \$100.0 million maturing in August 2025 and the remaining \$50.0 million maturing in August 2026.

Based on our financial condition, our asset size, the available capacity under our repurchase agreement lines, our FHLB line and our FRB line, and the amount of securities and loans available for pledging, we estimate our available consolidated capacity for additional borrowings to be approximately \$36.09 billion as of September 30, 2022.

The Bank declared and paid a quarterly common stock cash dividend of \$0.56 per share, or a total of approximately \$30.0 million to \$36.0 million each quarter since the third quarter of 2018. The Bank declared a cash dividend of \$0.56 per share, or a total of \$35.3 million payable on or after November 10, 2022 to common stockholders of record at the close of business on October 28, 2022. During the quarter, the Bank also declared and paid a cash dividend of \$0.56 per share, or a total of \$35.3 million for the second quarter of 2022.

On September 30, 2022, the Bank paid a cash dividend of \$12.50 per share to preferred shareholders of record at the close of business on September 16, 2022. The Bank also declared a cash dividend of \$12.50 per share payable on December 30, 2022 to preferred shareholders of record at the close of business on December 16, 2022. See Preferred Stock footnote to our Consolidated Financial Statements for additional information.

In addition, in October 2018, the Bank's stockholders approved the repurchase of common stock from the Bank's shareholders in open market transactions in the aggregate purchase amount of up to \$500.0 million. The timing of the execution of this plan, as well as the amount repurchased, will be at the discretion of our Board of Directors and management, and will be dependent upon then-existing conditions, including our financial condition and results of operations, capital requirements, commercial real estate concentration, contractual restrictions, business prospects and other factors considered relevant. Share buybacks are also subject to regulatory approvals, which were received for the repurchase program of up to \$500.0 million in November 2018. We received shareholder and regulatory approval to continue the program in 2019 and on an annual basis.

On February 19, 2020, the Board of Directors approved an amendment to the stock repurchase program that restored the Bank's share repurchase authorization to an aggregate purchase amount of up to \$500.0 million from the \$220.9 million that was remaining under the original authorization as of December 31, 2019. The amended stock repurchase program was approved by the shareholders in April 2020. No common stock has been repurchased by the Bank since the first quarter of 2020. During the third quarter of 2022, we received our annual regulatory approval to extend the repurchase of the \$170.8 million remaining under the original authorization to September 30, 2023. We will seek separate regulatory approval for the additional \$279.1 million approved under the amended authorization in conjunction with the 2023 extension request. To date the Bank has repurchased 2,689,544 shares of common stock for a total of \$329.2 million, and the amount remaining under the amended authorization was \$450.0 million at September 30, 2022. On April 27, 2022, the stockholders approved the continuation of our share repurchase plan in an aggregate amount up to \$500.0 million.

ITEM 3. QUANTITATIVE AND QUALITATIVE DISCLOSURES ABOUT MARKET RISK

Market risk is defined as the sensitivity of income, fair values and capital to changes in interest rates, foreign currency exchange rates, commodity prices and other relevant market prices and rates. The primary risk to which we are exposed is interest rate movement inherent in our lending, investment portfolio management, deposit taking and borrowing activities. Substantially all of our interest rate risk arises from these activities, which are entered into for purposes other than trading.

The principal objective of asset/liability management is to manage the sensitivity of net income to changes in interest rates. Asset/liability management is governed by policies approved by our Board of Directors. Day-to-day oversight of this function is performed by our asset/liability management committee. Senior management and our Board of Directors, on an ongoing basis, review our overall interest rate risk position and strategies.

London Interbank Offered Rate (“LIBOR”) Transition Process

The process to discontinue LIBOR started in 2017 when the United Kingdom’s Financial Conduct Authority (“FCA”) first called for LIBOR to be phased out by 2021. The ICE Benchmark Administration, the publisher of LIBOR, provided notification that it discontinued publication of the one-week and two-month US Dollar LIBOR on December 31, 2021. The cessation of the publication of the principal tenors of U.S. dollar LIBOR (i.e., overnight, one-month, three-month, six-month and 12-month LIBOR) is scheduled for June 30, 2023.

In October 2020, the International Swaps and Derivatives Association (“ISDA”) announced fallback language for derivative contracts incorporating SOFR, as well as a process by which counterparties to such contracts could elect to apply the fallback language to existing derivatives on or after January 25, 2021. SOFR was identified by the Alternative Reference Rates Committee (ARRC), a group of private-market participants convened to help ensure a successful transition from LIBOR in the United States, as the recommended replacement to US Dollar LIBOR in the United States. The adoption of the fallback protocols does not change the index for subject agreements from LIBOR to SOFR, but simply creates the legal framework for the appropriate mechanisms to occur in the future.

In joint statements issued by the Federal Reserve, the OCC and the FDIC, the banking regulators encouraged U.S. banks to cease entering into new contracts that use U.S. dollar LIBOR as a reference rate by December 31, 2021. In accordance with guidance, since December 1, 2021, the Bank has ceased executing contracts that reference U.S. dollar LIBOR, with certain permissible limited exceptions while communications and learning activities to support customers and colleagues are ongoing. The replacement rates for LIBOR based benchmarks include American Interbank Offered Rate (“AMERIBOR®”), Secured Overnight Financing Rate (“SOFR”), Bloomberg Short Term Bank Yield Index (“BSBY”) and Sterling Overnight Index Average (“SONIA”). Furthermore, source systems have been updated to support alternative reference rates. The Bank engages with clients in relation to the transition from the principal tenors of U.S. dollar LIBOR and to support clients as they move to replacement rates.

The Bank has identified certain LIBOR-based contracts, which may include loans and leases, securities, derivative financial instruments, and long-term debt. To address the discontinuance of LIBOR in its current form, each business leader is actively addressing issues related to the phase out and transition away from LIBOR under the oversight of the General Counsel, Chief Operating Officer, Chief Financial Officer, Chief Lending Officer, Chief Administrative Officer and Chief Credit Officer. As of September 30, 2022, the Bank estimated that approximately two percent of its LIBOR-based loans have maturity dates prior to the cessation of LIBOR. Of the remaining loans, the Bank estimates that the majority of the contracts, mainly fund banking, contain fallback language. The Bank has limited remaining LIBOR-based loans in our commercial real estate and specialty finance portfolios, which we are actively working to amend. We are confident in timely remediation of this loan population based on its limited size.

Interest Rate Risk Management

Our asset/liability management committee seeks to manage our interest rate risk by structuring our balance sheet to maximize net interest income while maintaining an acceptable level of risk exposure to changes in market interest rates. The achievement of this goal requires a balance among liquidity, interest rate risk and profitability considerations. The committee meets regularly to review the sensitivity of assets and liabilities to interest rate changes, deposit rates and trends, the book and market values of assets and liabilities, unrealized gains and losses, purchase and sales activities and the maturities of investments and borrowings.

We use various asset/liability strategies including derivative instruments such as interest rate swaps, to manage and control the interest rate sensitivity of our assets and liabilities. These strategies include pricing of loans and deposit products, adjusting the terms of loans and borrowings, and managing the deployment of our securities and short-term assets to manage mismatches in interest rate re-pricing.

To effectively measure and manage interest rate risk, we use simulation analysis to determine the impact on net interest income under various hypothetical interest rate scenarios. Based on these simulations, we quantify interest rate risk and develop and implement appropriate strategies. As of September 30, 2022, we used a simulation model to analyze net interest

income sensitivity to both (i) a parallel shift in interest rates, in which the base market interest rate forecast was increased in quarterly increments over the first twelve months by 100, 200, 300 and 400 basis points and decreased by 100 basis points, followed by rates holding constant thereafter (“ramp scenario”) and (ii) a parallel and sustained shift in interest rates, in which the base market interest rate forecast was immediately increased by 100, 200, 300 and 400 basis points and decreased by 100 basis points (“shock scenario”).

The following table indicates the sensitivity of projected annualized net interest income to the interest rate movements described above at September 30, 2022:

<i>(dollars in thousands)</i>	Adjusted Net Interest Income	Change from Base
Ramp scenario:		
Base	\$ 3,011,756	— %
Down to 100 basis points	2,976,858	(1.2)%
Down to 200 basis points	2,935,088	(2.6)%
Down to 300 basis points	2,874,771	(4.6)%
Up to 100 basis points	3,055,900	1.5 %
Up to 200 basis points	3,145,522	4.4 %
Up to 300 basis points	3,233,163	7.4 %
Up to 400 basis points	3,319,101	10.2 %
Shock scenario:		
Base	\$ 3,011,756	— %
Down to 100 basis points	2,919,161	(3.1)%
Down to 200 basis points	2,807,435	(6.8)%
Down to 300 basis points	2,629,648	(12.7)%
Up to 100 basis points	3,122,230	3.7 %
Up to 200 basis points	3,273,942	8.7 %
Up to 300 basis points	3,424,461	13.7 %
Up to 400 basis points	3,564,731	18.4 %

We also use a simulation model to measure the impact that hypothetical market interest rate changes will have on the net present value of assets and liabilities, which is defined as market value of equity. As of September 30, 2022, we used a simulation model to analyze the market value of equity sensitivity to a parallel and sustained shift in interest rates, in which the base market interest rate forecast was immediately increased by 100, 200, 300 and 400 basis points and decreased by 100 basis points.

The following table indicates the sensitivity of market value of equity at September 30, 2022 to the interest rate movements described above (base case market value of equity is \$15.98 billion):

<i>(dollars in thousands)</i>	Sensitivity	Change from Base
Down to 100 basis points	\$ 369,361	(2.3)%
Down to 200 basis points	952,524	(6.0)%
Down to 300 basis points	1,772,398	(11.1)%
Up to 100 basis points	1,019,510	6.4 %
Up to 200 basis points	2,011,538	12.6 %
Up to 300 basis points	2,921,443	18.3 %
Up to 400 basis points	3,791,363	23.7 %

The market value of equity sensitivity analysis assumes an immediate parallel shift in interest rates and yield curves. The computation of prospective effects of hypothetical interest rate changes is based on numerous assumptions, including relative levels of interest rates, asset prepayments, deposit decay and changes in re-pricing levels of deposits to general market rates, and should not be relied upon as indicative of actual results. Further, the computations do not take into account any actions that we may undertake in response to future changes in interest rates.

ITEM 4. CONTROLS AND PROCEDURES

(a) *Disclosure Controls and Procedures.* The Company's management, with the participation of the Company's principal executive officer and principal financial officer, has evaluated the effectiveness of the Company's disclosure controls and procedures (as such term is defined in Rules 13a-15(e) and 15d-15(e) under the Securities Exchange Act of 1934, as amended the ("Exchange Act")) as of the end of the period covered by this report. Based on such evaluation, the Company's Chief Executive Officer and Chief Financial Officer have concluded that, as of the end of such period, the Company's disclosure controls and procedures are effective to ensure that information required to be disclosed by the Company in the reports that it files or submits under the Exchange Act, including this report, is recorded, processed, summarized and reported within the time periods specified in the rules and forms applicable to the Bank pursuant to the Exchange Act and that information required to be disclosed by the Company in the reports that it files or submits under the Exchange Act is accumulated and communicated to the Company's management, including the Company's principal executive officer and principal financial officer, as appropriate to allow timely decisions regarding the required disclosure.

(b) *Internal Control Over Financial Reporting.* There have not been any changes in the Company's internal control over financial reporting (as such term is defined in Rules 13a-15(f) and 15d-15(f) under the Exchange Act) during the fiscal quarter to which this report relates that have materially affected, or are reasonably likely to materially affect, the Company's internal control over financial reporting.

It should be noted that any system of internal controls, however well designed and operated, can provide only reasonable, and not absolute, assurance that the objectives of the system are met. In addition, the design of any control system is based in part upon certain assumptions about the likelihood of future events. Because of these and other inherent limitations of control systems, there can be no assurance that any design will succeed in achieving its stated goals under all potential future conditions, regardless of how remote.

PART II. OTHER INFORMATION

ITEM 1. LEGAL PROCEEDINGS

We are subject to various pending and threatened legal actions relating to the conduct of our normal business activities. In the opinion of management, the ultimate aggregate liability, if any, arising out of any such pending or threatened legal actions will not be material to our financial condition, results of operations, and liquidity.

ITEM 1A. RISK FACTORS

For information on risk factors, see "Risk Factors" in Part I -- Item 1A of our Annual Report on Form 10-K for the year ended December 31, 2021. We do not believe there were any material changes in the status of our risk factors from those previously disclosed and described in our Annual Report on Form 10-K for the year ended December 31, 2021, except for the following update:

Volatility in global financial markets might continue and the federal government may continue to take measures to intervene.

The federal government may, in response to economic downturns, take significant measures in the area of financial policy and banking regulation that may impact our business and the markets in which we compete. These have included such measures as the enactment of the Emergency Economic Stabilization Act of 2008 and the Dodd-Frank Act, taken in response to the financial crisis that began in late 2007, as well as the adoption of accommodative monetary policy. Federal financial regulators also may take a variety of regulatory and supervisory actions in respect of banks and other financial institutions in response to such events. Although the U.S. and global financial markets have been relatively stable in recent years, credit and capital markets have continued to experience periods of disruption and inconsistency following adverse changes in the global economy. We cannot predict the federal government's responses to any further dislocation and instability in the global economy, and potential future government responses and changes in law or regulation may affect our business, results of operations and financial conditions.

Additionally, economic conditions throughout the world remain uncertain. On February 24, 2022, Russian forces launched a military invasion of Ukraine. In response, the United States, the European Union ("EU"), United Kingdom and other governments have imposed significant economic sanctions on Russia, and Russia has responded with counter-sanctions. The war in Ukraine has disrupted international commerce and the global economy. The uncertain future development of this conflict could materially and adversely affect commerce, financial markets, including interest rates and credit spreads and economic conditions generally, around the world and in geographic regions where we and our customers operate. Other concerns about the EU, including Britain's departure from the EU ("Brexit") and the stability of the EU's sovereign debt, have caused uncertainty and disruption for financial markets globally. The ultimate effects of Brexit and the EU's financial support program, as well as the impact of any anticipated and future changes in global fiscal and monetary policy, are difficult to predict and may further deteriorate economic conditions or increase volatility in financial markets. We hold corporate debt securities issued by U.S. financial institutions that have material exposure to foreign countries. As such, deterioration of the economic conditions or increase in volatility of financial markets outside of the United States could have an adverse effect on the issuers of corporate debt that we hold. If such an effect were to negatively impact the ability of such issuers to pay their debts, it could have an adverse effect on our results of operations and financial condition. Global volatility may also produce exchange rate fluctuations and currency devaluations that negatively affect our business. Furthermore, a slowdown or deterioration of economic conditions in other parts of the world may have an adverse effect on economic conditions in the United States, which could materially and adversely affect our financial condition and results of operations. We cannot predict the federal government's response to any dislocation or instability in the United States, and potential future government responses and changes in law or regulation may affect our business, results of operations and financial condition.

ITEM 2. UNREGISTERED SALES OF EQUITY SECURITIES AND USE OF PROCEEDS

During the third quarter of 2022, we issued an aggregate of 1,690 shares of our common stock to certain participants under our Amended and Restated 2004 Equity Incentive Plan (the “Equity Incentive Plan”) as a result of the granting of restricted shares pursuant to the Equity Incentive Plan in reliance on the exemption provided by Section 3(a)(2) of the Securities Act of 1933.

Share Repurchase Program

On October 17, 2018, the Bank’s stockholders approved the repurchase of common stock from the Bank’s shareholders in open market transactions in the aggregate purchase amount of up to \$500.0 million. The timing of the execution of this plan, as well as the amount repurchased, will be at the discretion of our Board of Directors and management, and will be dependent upon then-existing conditions, including our financial condition and results of operations, capital requirements, commercial real estate concentration, contractual restrictions, business prospects and other factors considered relevant. Share buybacks are also subject to regulatory approvals, which were received for the repurchase program of up to \$500.0 million in November 2018. We received shareholder and regulatory approval to continue the program in 2019.

On February 19, 2020, the Board of Directors approved an amendment to the stock repurchase program that restored the Bank’s share repurchase authorization to an aggregate purchase amount of up to \$500.0 million from the \$220.9 million that was remaining under the original authorization as of December 31, 2019. The amended stock repurchase program was approved by the shareholders in April 2020. No common stock was repurchased by the Bank since the first quarter of 2020. During the third quarter of 2022, we received our annual regulatory approval to extend the repurchase of the \$170.8 million remaining under the original authorization to September 30, 2023. We will seek separate regulatory approval for the additional \$279.1 million approved under the amended authorization in conjunction with the 2023 extension request. To date, the Bank has repurchased 2,689,544 shares of common stock for a total of \$329.2 million, and the amount remaining under the amended authorization was \$450.0 million at September 30, 2022. On April 27, 2022, the stockholders approved the continuation of our share repurchase plan in an aggregate amount up to \$500.0 million.

ITEM 3. DEFAULTS UPON SENIOR SECURITIES

None.

ITEM 4. MINE SAFETY DISCLOSURES

Not applicable.

ITEM 5. OTHER INFORMATION

None.

ITEM 6. EXHIBITS

(a) The following exhibits are submitted herewith:

Exhibit Number	Description of Exhibit
31.1	Certification of the Principal Executive Officer pursuant to Section 302 of the Sarbanes-Oxley Act of 2002
31.2	Certification of the Principal Financial Officer pursuant to Section 302 of the Sarbanes-Oxley Act of 2002
32	Certification of Chief Executive Officer and Chief Financial Officer pursuant to Section 906 of the Sarbanes-Oxley Act of 2002

SIGNATURES

Pursuant to the requirements of the Securities Exchange Act of 1934, the Company has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

Date: November 9, 2022

Signature Bank

/s/ JOSEPH J. DEPAOLO

Joseph J. DePaolo

President and Chief Executive Officer

/s/ STEPHEN WYREMSKI

Stephen Wyremski

Senior Vice President and Chief Financial Officer

EXHIBIT INDEX

Exhibit Number	Description of Exhibit
31.1	Certification of the Principal Executive Officer pursuant to Section 302 of the Sarbanes-Oxley Act of 2002
31.2	Certification of the Principal Financial Officer pursuant to Section 302 of the Sarbanes-Oxley Act of 2002
32	Certification of Chief Executive Officer and Chief Financial Officer pursuant to Section 906 of the Sarbanes-Oxley Act of 2002

**Certification Pursuant to
Section 302 of the Sarbanes-Oxley Act of 2002**

I, Joseph J. DePaolo, certify that:

1. I have reviewed this quarterly report on Form 10-Q of Signature Bank;
2. Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;
3. Based on my knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the registrant as of, and for, the periods presented in this report;
4. The registrant's other certifying officer and I are responsible for establishing and maintaining disclosure controls and procedures (as defined in Exchange Act Rules 13a-15(e) and 15d-15(e)) and internal control over financial reporting (as defined in Exchange Act Rules 13a-15(f) and 15d-15(f)) for the registrant and have:
 - a) Designed such disclosure controls and procedures, or caused such disclosure controls and procedures to be designed under our supervision, to ensure that material information relating to the registrant, including its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this report is being prepared;
 - b) Designed such internal control over financial reporting, or caused such internal control over financial reporting to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles;
 - c) Evaluated the effectiveness of the registrant's disclosure controls and procedures and presented in this report our conclusions about the effectiveness of the disclosure controls and procedures, as of the end of the period covered by this report based on such evaluation; and
 - d) Disclosed in this report any change in the registrant's internal control over financial reporting that occurred during the registrant's most recent fiscal quarter (the registrant's fourth fiscal quarter in the case of an annual report) that has materially affected, or is reasonably likely to materially affect, the registrant's internal control over financial reporting; and
5. The registrant's other certifying officer and I have disclosed, based on our most recent evaluation of internal control over financial reporting, to the registrant's auditors and the Examining Committee of the registrant's Board of Directors (or persons performing the equivalent functions):
 - a) All significant deficiencies and material weaknesses in the design or operation of internal control over financial reporting which are reasonably likely to adversely affect the registrant's ability to record, process, summarize and report financial information; and
 - b) Any fraud, whether or not material, that involves management or other employees who have a significant role in the registrant's internal control over financial reporting.

Date: November 9, 2022

/s/ JOSEPH J. DEPAOLO

Joseph J. DePaolo

President and Chief Executive Officer

**Certification Pursuant to
Section 302 of the Sarbanes-Oxley Act of 2002**

I, Stephen Wyremski, certify that:

1. I have reviewed this quarterly report on Form 10-Q of Signature Bank;
2. Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;
3. Based on my knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the registrant as of, and for, the periods presented in this report;
4. The registrant's other certifying officer and I are responsible for establishing and maintaining disclosure controls and procedures (as defined in Exchange Act Rules 13a-15(e) and 15d-15(e)) and internal control over financial reporting (as defined in Exchange Act Rules 13a-15(f) and 15d-15(f)) for the registrant and have:
 - a) Designed such disclosure controls and procedures, or caused such disclosure controls and procedures to be designed under our supervision, to ensure that material information relating to the registrant, including its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this report is being prepared;
 - b) Designed such internal control over financial reporting, or caused such internal control over financial reporting to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles;
 - c) Evaluated the effectiveness of the registrant's disclosure controls and procedures and presented in this report our conclusions about the effectiveness of the disclosure controls and procedures, as of the end of the period covered by this report based on such evaluation; and
 - d) Disclosed in this report any change in the registrant's internal control over financial reporting that occurred during the registrant's most recent fiscal quarter (the registrant's fourth fiscal quarter in the case of an annual report) that has materially affected, or is reasonably likely to materially affect, the registrant's internal control over financial reporting; and
5. The registrant's other certifying officer and I have disclosed, based on our most recent evaluation of internal control over financial reporting, to the registrant's auditors and the Examining Committee of the registrant's Board of Directors (or persons performing the equivalent functions):
 - a) All significant deficiencies and material weaknesses in the design or operation of internal control over financial reporting which are reasonably likely to adversely affect the registrant's ability to record, process, summarize and report financial information; and
 - b) Any fraud, whether or not material, that involves management or other employees who have a significant role in the registrant's internal control over financial reporting.

Date: November 9, 2022

/s/ STEPHEN WYREMSKI

Stephen Wyremski

Senior Vice President and Chief Financial Officer

**Certification of Chief Executive Officer and Chief Financial Officer
Pursuant To 18 U.S.C. Section 1350, As Adopted Pursuant To
Section 906 of The Sarbanes-Oxley Act of 2002**

In connection with the Quarterly Report on Form 10-Q of Signature Bank (the "Company") for the period ended September 30, 2022, as filed with the Federal Deposit Insurance Corporation on the date hereof (the "Report"), Joseph J. DePaolo, as Chief Executive Officer of the Company, and Stephen Wyremski, as Chief Financial Officer of the Company, each hereby certify, pursuant to 18 U.S.C. § 1350, as adopted pursuant to § 906 of the Sarbanes-Oxley Act of 2002, that, to the best of his knowledge:

- (1) The Report fully complies with the requirements of Section 13(a) or 15(d) of the Securities Exchange Act of 1934; and
- (2) The information contained in the Report fairly presents, in all material respects, the financial condition and results of operations of the Company.

Date: November 9, 2022

/s/ JOSEPH J. DEPAOLO

Joseph J. DePaolo

President and Chief Executive Officer

/s/ STEPHEN WYREMSKI

Stephen Wyremski

Senior Vice President and Chief Financial Officer